OECD Economic Surveys

Slovak Republic

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OECD ECONOMIC SURVEYS

2001-2002

Slovak Republic

OECD

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BASIC STATISTICS OF THE SLOVAL REPUBLIC (2001)

THE LAND

Area (sq. km)	49 035
Agricultural area (sq. km)	24 400

Inhabitants in major cities (end-1999)	
Bratislava	448 292
Kosice	241 874
Presov	93 977
Nitra	87 591

THE PEOPLE

Population (thousands)	5 379
Inhabitants per sq. km	110
Average annual population growth (1990-2001, per cent)	0.1
Infant mortality (per thousand live-births, 1999)	8.3
Life expectancy (1999) : Males	69.0
Females	77.0
Registered unemployment, % of the labour force	18.2
LFS unemployment, % of the labour force	19.2
Employees (thousands) (LFS)	1 943

PRODUCTION

GDP (billion SKK)	964.6
GDP per capita (in US$, market exchange rate)	3 709
Gross domestic investment (% of GDP)	31.9

THE GOVERNMENT

Per cent of GDP	
General government revenue	46.4
General government expenditure	52.9
Public debt	43.0
Official foreign debt of the government and the NBS	14.0

Composition of the National Council of the Slovak Republic (elections of September 1998):	
Movement for a Democratic Slovakia and The Slovak Farmers Party	43
Slovak Democratic Coalition	42
Democratic Left Party	23
Hungarian Coalition Party	15
Slovak National Party	14
Party of Civic Understanding	13

FOREIGN TRADE

Exports of goods and services, % of GDP	75.9
Main exports of goods, % of total	
Mineral products	7.8
Chemical products	10.2
Base metals	15.1
Machinery	18.7
Transport equipment	20.6

Imports of goods and services, % of GDP	84.6
Main imports of goods, % of total	
Mineral products	16.5
Chemical products	13.8
Base metals	8.3
Machinery	25.3
Transport equipment	12.6

THE CURRENCY

Monetary unit: Slovak Koruna

Currency units per US dollar (period average)	
Year 2001	48.3
April 2002	47.1

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of Member countries.

•

The economic situation and policies of the Slovak Republic were reviewed by the Committee on 6 May 2002. The draft report was then revised in the light of the discussions and given final approval as the agreed report of the whole Committee on 23 May 2002.

•

The Secretariat's draft report was prepared for the Committee by Randall Jones and Teresa Santero under the supervision of Yutaka Imai.

•

The previous Survey of the Slovak Republic was issued in February 1999.

Assessment and recommendations

Following stabilisation polices in 1999 and 2000…

The Slovak Republic's accession to the OECD as the thirtieth member country in December 2000 followed the introduction of a number of reforms to advance its transition to a market economy. The accession occurred at the end of a period of sluggish economic growth due largely to macroeconomic stabilisation policies adopted to counteract the impact of earlier policies that had proved to be unsustainable. Final domestic demand fell by nearly 10 per cent between 1998 and 2000. Meanwhile, core inflation – which excludes administered prices and indirect taxes – slowed slightly and the current account deficit was halved to less than 4 per cent of GDP. A significantly positive contribution from external demand enabled Slovakia to avoid a recession, however, with output growing at a 2 per cent annual rate in 1999 and 2000.

… economic growth picked up in 2001, led by fixed investment…

Stabilisation policies and progress in structural reforms laid the foundation for an economic recovery in 2001 and led to an upgrading in Slovakia's sovereign credit rating to investment grade. Output growth accelerated to 3¼ per cent, fuelled by a double-digit rise in fixed investment due primarily to improved profitability and inflows of foreign direct investment. A rebound in real wages, which had fallen during the preceding two years, sparked a turnaround in private consumption. In contrast to the strength of domestic demand, a slowdown in world trade reduced the growth of Slovak exports and contributed to a widening of the current account deficit to almost 9 per cent of GDP in 2001. The overall pace of growth was insufficient to create an adequate number of jobs for the expanding labour force. The unemployment rate thus continued to rise, surpassing 19 per cent in 2001, while core inflation fell to a record low of 3.2 per cent at the end of that year.

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... and support from monetary and fiscal policy

The economic upturn was underpinned by expansionary macroeconomic policies. The central bank reduced short-term interest rates six times during the course of 2000. Although the policy interest rate was kept stable in the year from March 2001, it was low enough to keep real short-term market rates negative through much of the year. The supportive stance of monetary policy was accompanied by a loosening of fiscal policy. Substantial reductions in the personal and corporate income tax rates and the phasing out of the import surcharge as planned were not matched by comparable declines in public expenditures, resulting in an increase in the general government deficit to almost 4 per cent of GDP in 2001. Including the costs of bank restructuring and the honouring of loan guarantees, and adjusted for some privatisation-related revenues, the budget deficit was an estimated 6½ per cent of GDP.

The outlook for growth through 2003 is positive, with core inflation expected to stay low…

With a pick-up in external demand, the economic expansion is projected to accelerate somewhat over the next 18 months, pushing up the growth rate in both 2002 and 2003 to 4 per cent. Employment, which increased in 2001 for the first time since 1996, is expected to continue rising, and is likely to be sufficient to reverse the upward trend in unemployment. Nevertheless, the unemployment rate will remain high at over 18 per cent. The overall inflation rate is likely to slow from 7¼ per cent in 2001 to 5½ per cent in 2002, due to a temporary pause in the upward adjustment of administered prices – which account for a fifth of the consumer price index – before returning to 7 per cent in 2003. The rate of core inflation is expected to remain low at around 3¼ per cent.

… provided that the central bank continues to implement successfully its Monetary Programme

The favourable inflation outcome to date reflects the success of the National Bank of Slovakia in establishing the credibility of its Monetary Programme and its inflation projections. This has been accomplished while maintaining relatively low short-term interest rates, which has had the beneficial effect of limiting the cost of financing the public debt and of sterilising large inflows of capital linked to privatisation. While real interest rates were near zero in 2001, the expansionary impact was muted by the upgrading of the supervisory framework and the privatisation of the banking

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sector. As the banks develop new lending strategies, credit growth is showing signs of accelerating sharply in the low interest-rate environment. Thus, the central bank will need to be ready to raise short-term interest rates to meet its medium-term target of reducing overall inflation to 4½ per cent by 2005. Indeed, the official short-term rate was raised by 50 basis points at the end of April 2002. Achieving the medium-term inflation objective is important for promoting the convergence of Slovakia towards the inflation rate of euro-area countries.

One concern is the large current account deficit…

One risk to the positive outlook for growth is the possibility of difficulties in financing continued current account deficits. The recovery in export demand may narrow the deficit somewhat, but it is likely to remain large at around 7 per cent of GDP in 2003. The size of the deficit is due, to some extent, to the rapid restructuring of the Slovak economy, involving significant foreign direct investment inflows and imports of capital goods, as it becomes more fully integrated with EU countries. However, a continuation of the deficit at the level recorded in 2001 is not sustainable in the medium term. In 2002, at least, the partial privatisation of the gas utility should provide sufficient capital inflow to cover the external imbalance. However, as the number of companies remaining in government hands is reduced, the scope for financing continued external deficits through the further sale of state-owned enterprises will be increasingly limited.

… which should be countered by fiscal policy tightening…

A tightening of fiscal policy, in part to reduce the external imbalance to a more sustainable level, should be the top priority. Indeed, the Slovak authorities set a target, in the context of a Staff Monitored Programme with the International Monetary Fund, of reducing the budget deficit from around 4 per cent of GDP in 2001 to between 3 and 3½ per cent in 2002, excluding privatisation revenues and the costs of bank restructuring and of honouring loan guarantees. Measuring the fiscal balance has been complicated by large occasional expenditures and revenues during the past several years and the lack of methodologically-consistent and timely statistics. There are risks on both the expenditure and revenue sides in the 2002 budget. On the revenue side,

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an important risk is a shortfall in non-tax income, while on the expenditure side, social outlays and the government wage bill may exceed budgeted levels. Consequently, the deficit is likely to increase in 2002 despite strong economic growth. Controlling spending in order to meet the budget deficit target should be the central objective in 2002 and in the coming years. The recent decision to use privatisation revenues in 2002 to finance reform of the pension system and reduce government debt is a welcome step, but the authorities should also commit not to use such revenues to meet the deficit target in future years.

… which is also essential to stabilise public debt, increase economic efficiency and improve work incentives

The medium-term fiscal plan calls for a reduction in the deficit to 2 per cent of GDP by 2005, which is a challenging target, particularly given the possible budget slippage in 2002. In addition to helping to reduce the external deficit, achieving the planned fiscal consolidation would bring Slovakia closer to the balanced budget required by the Stability and Growth Pact in the European Economic and Monetary Union. Moreover, it would moderate the upward pressure on the public debt to GDP ratio, which increased from 32 per cent in 1999 to 43 per cent by the end of 2001 due largely to the cost of bank restructuring, and eventually stabilise it at below the 60 per cent criteria established in the Maastricht Treaty. Improving tax administration and broadening the tax base have a role to play in reducing the budget deficit. But there are several reasons why restraining the growth of spending should be the priority. *First*, further reducing the share of public expenditures in GDP, which is still over one-half according to ESA methodology, would lead to efficiency gains. *Second*, it would allow further reductions in tax rates and social contributions, which are so high as to create important disincentives for work that exacerbate the unemployment problem. One aspect of controlling spending – as well as the government's contingent liabilities – is limiting the large and growing stock of state guarantees on bank loans, which are provided mainly to state-owned enterprises in financial difficulty. Honouring these guarantees boosted government spending by more than 1 per cent of GDP in 2001, although the figure would have been higher had there been no rollover of existing guarantees. Despite a government commitment to limit

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their use, the stock of loan guarantees increased from 15 per cent of GDP in 2000 to 18 per cent in 2001.

The key to controlling spending is to reform the social security funds…

Controlling public expenditures requires an overhaul of the social security funds, which cover pensions, health, unemployment and sickness. Indeed, the rapid growth of spending by these funds has raised concern about their sustainability. These funds are independent institutions governed by tripartite councils consisting of employers, employees and the government. As a result, their priorities may differ from those of the government. However, the funds operate under government guarantees and receive direct state budget transfers to cover at least part of their deficits. It is essential that the system of social security funds be designed and run so as to provide social insurance which gives the right work incentives and ensures efficiency.

… notably the pension system…

The largest of the social security funds is that for pensions, which operates on a pay-as-you-go basis, financed by a contribution rate set at 28 per cent. Parliament has passed a law to reform the current system, including a gradual increase in the retirement age for women from the current range of 53 to 57 (depending on the number of children) to 60 years. In addition, the government is considering the creation of a second pillar that would be funded by 3.7 percentage points of the contribution rate and by using part of the privatisation revenues. However, more fundamental reforms are needed as demographic factors make the current system unsustainable. F*irst*, the envisaged funded pillar should play a much larger role to cope with population ageing. S*econd*, the retirement age should be raised to 65, the standard age in most OECD countries. T*hird*, the system should be actuarially fair. F*ourth*, eligibility requirements should be tightened.

… and the health fund, which has accumulated a significant level of debt…

The government is also committed to improving the healthcare system, which offers universal coverage to the population through compulsory social health insurance. However, the very wide scope of health services guaranteed by the law has led to a level of demand that exceeds the available public sources for financing such services. In addition, inefficiencies in the system and misdirected incentives have

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contributed to chronic financial problems. The accumulated debt of the health funds amounted to 1.8 per cent of GDP at the end of 2001. Measures to address the financial problems have led to inequality in access to treatment. Moreover, the debt reductions made thus far have provided only temporary financial, rather than fundamental, solutions to the problems in the current system, which require wide-ranging reforms. The priority should be to address fundamental issues, including narrowing the scope of health risks that are covered by social insurance and how to harness competition among insurance funds while achieving risk equalisation more effectively. The government has taken some measures to improve the operation of the current system, including a restructuring of the public hospitals and some changes in the methods of payment to service providers so as to give them appropriate incentives. The introduction of complementary insurance, which is currently under Parliamentary discussion, provides an opportunity to define a minimum coverage of risks by social insurance. Further debt relief should be made conditional on the implementation of systemic reforms.

… as well as social assistance, which is an important reason for Slovakia's high unemployment rate

Another priority in controlling public expenditure should be to limit the growth of social assistance, which has increased at a 22 per cent average annual rate during the past five years, in part reflecting the increase in unemployment. Social assistance is based on the Minimum Subsistence Income (MSI), which is constitutionally guaranteed to all Slovak families and is calculated according to family size. Although the size of the social assistance benefit varies according to employment status and willingness to work, it is applied uniformly across the country. In practice, the MSI assures social assistance that is very generous relative to wage levels; benefits for a family with two or more children can exceed the average net wage, making employment financially rewarding only for those with more skilled jobs where pay is significantly higher. The level of social assistance and the high tax rates needed to finance it thus reduce incentives to work, particularly for low-skilled persons with large families. With the massive job destruction associated with the transition to a market economy, a substantial number of job losers have been content to live on such assistance for

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extended periods of time. More than 60 per cent of the unemployed receive social assistance benefits, which have no time limits, to bring their income up to the MSI. Indeed, this is probably a major factor in the upward trend in the rate of unemployment, which is one of the highest in the OECD area and represents the most serious economic and social problem in the Slovak Republic today.

Reducing unemployment requires fundamental reforms in the social assistance system…

If labour market outcomes are to be improved in the short term, the generosity of social assistance benefits relative to wage levels would need to be reduced so as to increase incentives to work. To the extent that such reductions are judged to be socially unacceptable, other reforms have to be envisaged to lower the distortionary impact of social assistance. The introduction of the concept of "subjectively in need" – which halves benefits for persons who are voluntarily unemployed – is an important step and it should be applied to the maximum extent possible. Making benefits "activity-tested" will help to concentrate assistance on those who are willing to work, although determining eligibility may require increased resources for the National Labour Office. In addition, social assistance should be adjusted for regional differences in the cost of living. Finally, the authorities need to ensure that the gap between average wages and benefit levels rises over time to encourage participation. They might also consider introducing some type of "in-work" benefit to make employment more rewarding. All of these measures have been elements of success stories in welfare reform in some other OECD countries.

… and a lowering of the tax burden on labour…

Promoting employment growth also requires cutting labour costs by reducing the tax wedge. The recent reduction in personal income tax rates – from 15 to 10 per cent at low-income levels – is a positive step in this regard. However, the combined contribution rate to finance the social insurance programmes exceeds 50 per cent of gross wages – the highest in the OECD – and tends to discourage job creation, particularly for low-skilled persons. An overhaul of these programmes, particularly for health and pensions as discussed above, would allow a reduction in labour costs. Moreover, the social welfare aspects of these systems, such as the social pensions for the elderly, should be financed through general

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taxation. The authorities might also want to consider shifting some of the burden of financing social insurance programmes to general taxation so as to reduce the tax on labour.

… accompanied by an upgrading of the education system…

The key to improving labour market performance over the long term is to raise the productivity of workers. This would make work more attractive, assuming that social assistance benefits do not increase in line with wages. To boost productivity, it is important to upgrade the education system in both qualitative and quantitative terms. While the new law on higher education will increase the autonomy of the universities, less than a fifth of secondary school students are attending schools that lead to higher education, while the remainder study at technical and vocational schools that are aimed primarily at the industrial sector, an area that may diminish in relative importance in the future. School enrolment rates are relatively low at 73 per cent for upper secondary schools and less than 20 per cent for tertiary education. Improvements in the education system will require increasing expenditures on education, both public and private, from the current level of 3.9 per cent of GDP, the second-lowest in the OECD area.

… as well as measures to enhance wage flexibility and labour mobility…

Reforms to upgrade education and strengthen work incentives should be accompanied by measures to enhance wage flexibility. In particular, the wage tariff system, which sets minimum salaries for specific jobs, should be abolished. In addition, collective agreements reached at the national or sectoral level should not be imposed on firms that are not involved in the negotiations. Moreover, the practice of highly-centralised wage bargaining may be a factor in the large regional variations in unemployment rates, suggesting that a less centralised approach would be advantageous. Moreover, the regional variations also suggest a lack of labour mobility. In this regard, improving the functioning of the housing market, in part by abolishing controls on prices and rents and eliminating regulations that limit the market for new housing, should be a priority. Adjusting social assistance for regional differences in the cost of living as recommended above would also be beneficial in promoting internal migration towards areas with relatively strong demand for labour.

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… and employment flexibility

As for employment, there are a number of regulations that impinge on the flexibility of contractual agreements between management and employees. In particular, employment protection is high, including detailed and lengthy procedures for dismissing workers. Such regulations may discourage employers from hiring new workers. Other regulations contained in the new labour code, such as those on working hours, are burdensome, especially for small firms. Moreover, the code, which took effect in April 2002, confirmed the significant powers of trade unions in the management of firms and may have an adverse impact on job creation, in part by discouraging foreign direct investment. Allowing management a greater degree of freedom in the functional and geographical assignments of workers may boost productivity and have positive effects on employment.

A key to job creation will be the financial health of the recently restructured banking system…

Weak credit growth to the private sector has been another factor limiting the creation and growth of both firms and employment. The banking sector has been transformed during the past few years from one dominated by the government to one in which foreign investors play a leading role. As noted above, however, credit growth to the private sector has been sluggish as the new owners adapt to a changed environment. In the first quarter of 2002, however, there was a recovery in the growth of lending to the private sector, and this should be further facilitated by the recently-approved collateral reform that is to take effect in 2003. There has been an upgrading of the quality and number of bank supervisors and an increase in the frequency of on-site examinations. Maintaining a healthy banking sector requires that this trend continue in order to provide the prudential supervision needed to avoid the serious problems of under-capitalisation that occurred in the past. On the other hand, financing through capital markets plays a very minor role in Slovakia. The newly-created supervisor, the Financial Markets Authority, along with some recent legislative changes, should promote the development of sound non-bank financial institutions.

… and other measures to ensure a healthy business environment

A healthy business environment is another key to improving the performance of the Slovak economy and boosting job creation. Upgrading the corporate governance framework through the recent changes in the Commercial Code and easing requirements for new firm creation are two

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important improvements in this regard. In addition, an effective bankruptcy system is a crucial element of restructuring. Although a new law was introduced in 2000, further changes are needed to enhance the role of creditors, improve the quality of trustees and expand the capacity of the judicial system to make the bankruptcy system fully operative. Finally, the privatisation of state-owned enterprises, which has already increased the private sector's share of output to 84 per cent and helped to bring in technology and foreign management expertise, should be followed through. The shift from public to private ownership limits the scope for political interference and corruption that has proved to be problematic in the past. It also offers the possibility of enhanced efficiency and quality of service, though this depends on how regulatory oversight is exercised within the framework established by the newly-created Regulatory Office for Network Industries. It is important that policies regarding third-party access, service quality standards, the licensing of new entrants and price regulation boost competition. The reforms needed to improve the business climate and enhance labour market flexibility should also attract greater greenfield investment.

Summing up

With the radical re-orientation of policy since 1998, the Slovak Republic has created the institutions of a market economy and greatly enhanced market forces. Various structural reforms implemented since have raised the economy's productive potential and made it more resilient to shocks. Nevertheless, two imbalances stand out – a low employment to population ratio and a large current account deficit. These problems point to the need for both further structural reforms, especially in the labour market and the social welfare system, and macroeconomic measures to reduce the budget deficit. Meanwhile, monetary policy must continue to bear down on inflation, a task which will be made easier if budgetary consolidation is tackled. Failure to address the budget problem would leave the Slovak economy at risk, both in terms of the external deficit and the upward path of public debt. Spending restraint, which is essential to achieve the budget deficit target over the medium term, requires an ambitious overhaul of the social security and social assistance systems. Progress here is also needed to

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increase the incentives to work and to break any harmful links between unemployment and social protection. Enhancing wage and employment flexibility and promoting labour mobility, in part through a more efficient housing market, are also essential to encourage job creation. Improving labour market performance in the longer term depends on boosting the productivity of workers, notably through upgrading the education system. Further fostering a healthy business climate would also accelerate employment and output growth, in part by attracting greater inflows of foreign direct investment. In particular, making the bankruptcy framework an effective tool of corporate restructuring, following through on the privatisation of remaining state-owned enterprises and implementing the new competition policy law and corporate governance framework should help promote a vibrant enterprise sector. This should be accompanied by a continued upgrading of bank supervision to maintain the health of the restructured and privatised banking sector. In sum, reducing the government budget deficit and implementing structural reforms, particularly in the labour market, are crucial to maintain the expansion and accelerate the convergence with EU countries.

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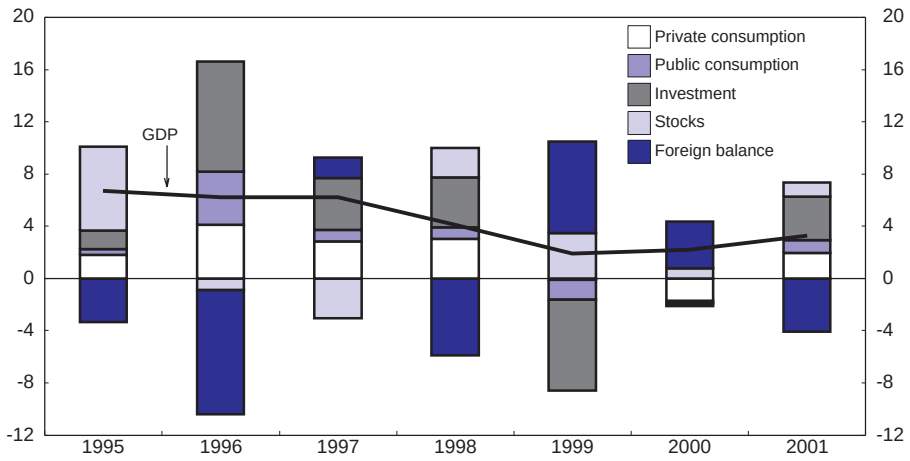
I. Recent trends and prospects

The Slovak economy has recovered from its economic downturn of 1998 to 2000, which reduced output growth to an annual rate of 2 per cent. The period of weak growth had resulted from a stabilisation package introduced to correct large imbalances, notably a current account deficit of nearly 10 per cent of GDP in 1998. The package consisted of fiscal tightening (see Chapter II) and a number of structural reforms to advance the development of a market economy (see Chapter IV). The initial result of this policy package was a nearly 10 per cent contraction in final domestic demand over the period 1998 to 2000, although a large positive contribution from external demand enabled the economy to avoid a recession (Figure 1). In 2001, domestic demand rebounded strongly, led by a

Figure 1. **Contributions to GDP growth**

Percentage points



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double-digit increase in fixed investment and a recovery in private consumption. The strength of domestic demand was sufficient to boost output growth to 3¼ per cent in 2001, despite the significant slowdown in most other OECD countries, which damped the expansion of Slovak exports. With a pick-up in exports, output growth is projected to accelerate to around 4 per cent in 2002 and 2003.

While growth prospects appear brighter, the economy is faced with both challenges and risks. In particular, the pace of growth has proven to be inadequate thus far to reduce the unemployment rate, which surpassed 19 per cent in 2001. At the same time, the gap between accelerating domestic demand in Slovakia and weaker demand in its major trading partners has more than doubled the current account imbalance to nearly 9 per cent of GDP in 2001. In 2002, at least, privatisation revenues provide sufficient inflows of foreign capital to cover the external imbalance. Finally, inflation, which slowed from a double-digit rate in 2000 to 7.3 per cent in 2001, is projected to fall to 5½ per cent in 2002 due to a pause in upward adjustments in administered prices. In 2003, however, inflation is expected to bounce back to around 7 per cent, well above the central bank's objective of 4½ per cent in 2005. After reviewing the factors responsible for the upturn in Slovakia, this chapter will examine developments in the three imbalances – the current account deficit, the rate of unemployment and the inflation rate.

Factors supporting the economic recovery

Sharp falls in investment in 1999 and private consumption in 2000 produced the double-digit drop in domestic demand recorded over that period (Table 1). To some extent, the rebound in 2001 reflects a bounce back from those

Table 1. **Demand and output**

Percentage change

	1994-2001	1996	1997	1998	1999	2000	2001
Private consumption	3.2	8.0	5.4	5.8	–0.2	–3.4	4.0
Government consumption	3.7	21.0	4.1	4.0	–6.9	–0.9	5.2
Gross fixed capital formation	6.3	32.0	12.0	11.1	–18.8	–0.7	11.6
Final domestic demand	4.2	17.1	7.2	7.2	–7.7	–2.1	6.5
Stockbuilding[1, 2]	1.4	–0.9	–3.0	2.3	3.5	0.8	1.1
Total domestic demand	5.6	16.1	4.3	9.5	–4.6	–1.3	7.3
Exports	8.0	0.7	17.6	12.2	3.4	15.9	6.5
Imports	9.9	17.2	13.1	19.9	–6.0	10.2	11.7
Foreign balance[1]	–1.3	–9.6	1.6	–5.9	7.0	3.6	–4.1
Gross domestic product	4.3	6.2	6.2	4.1	1.9	2.2	3.3

1. Contribution to growth.
2. Includes statistical discrepancy.

Source: Statistical Office of the Slovak Republic.

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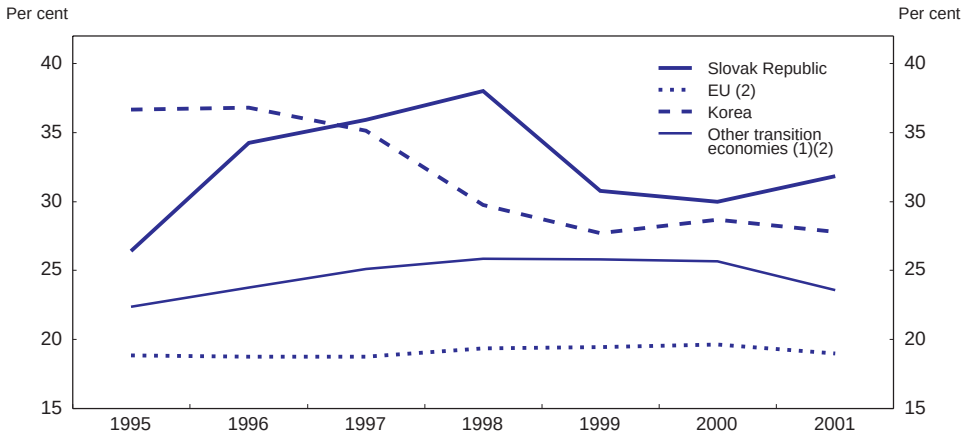
depressed conditions. In addition, there were a number of specific factors boosting investment and consumption, which are discussed below.

The boom in fixed investment

Gross fixed investment rose by 11½ per cent in 2001, reaching 31 per cent of GDP, well above the other OECD transition countries and the highest in the OECD area (Figure 2). The rebound in investment stopped the contraction of the construction sector, whose share of GDP has dropped from 6½ per cent of nominal GDP in 1998 to less than 5 per cent in 2000. The surge in total investment reflected a recovery in business-sector confidence (Figure 3). Indeed, in the industrial sector, confidence reached a record high at the beginning of 2001, although it subsequently declined during much of the year. Confidence may have been boosted by progress in structural reform, such as the rehabilitation of the banking sector and further privatisation (see Chapter IV), as well as the slowdown in inflation. In addition, Slovakia has been advancing in accession negotiations with the European Union. These positive trends helped to halve the spread on five-year Slovak Eurobonds from 200 basis points in mid-2000 to around 100 basis points and prompted two major rating agencies to boost the sovereign credit rating of the Slovak Republic to investment grade at the end of 2001.[1]

Figure 2. **Gross fixed investment**
As per cent of GDP



1. Czech Republic, Hungary and Poland.
2. Weighted average.
Source: OECD.

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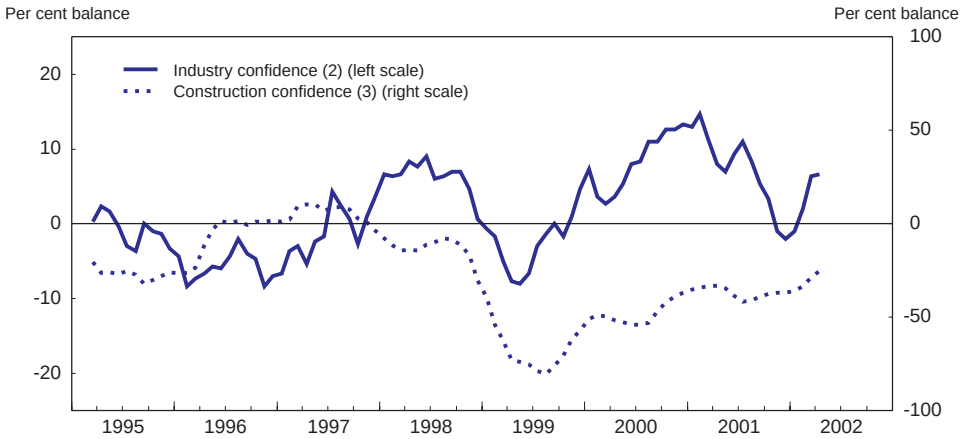
Figure 3. **Business sector confidence**[1]



1. Three-month moving average.
2. Survey of 342 firms representing 62 per cent of turnover.
3. Survey of 333 firms representing 81 per cent of the total volume of construction.

Source: Statistical Office of the Slovak Republic.

The increased availability of internal resources, due to improved profitability and the decline in the corporate tax rate from 40 to 29 per cent in 2001, was crucial in funding investment since structural changes in the financial sector (see Chapter IV) have resulted in credit-crunch conditions. Gross profit margins in private, domestic firms exceeded 5 per cent, compared to less than 2 per cent in 1999 (Figure 4), while the performance of foreign-controlled firms also improved. The increase in profitability was not limited to a small group of enterprises but rather reflected the fact that a number of loss-making companies returned to profitability or went out of business. Indeed, the ratio of firms earning profits to those making losses rose from 1.3 in 1999 to 1.9 in the first half of 2001, with the figure increasing in all sectors except agriculture (Figure 5). Moreover, the ratio of value added produced in profitable firms relative to that in loss-making firms jumped from 2.8 to 10.3 (Panel B), with the largest ratio recorded in manufacturing. The strong profit performance raised enterprises' own capital by 10 per cent in the non-financial corporate sector, with a 25 per cent gain achieved in the manufacturing sector.

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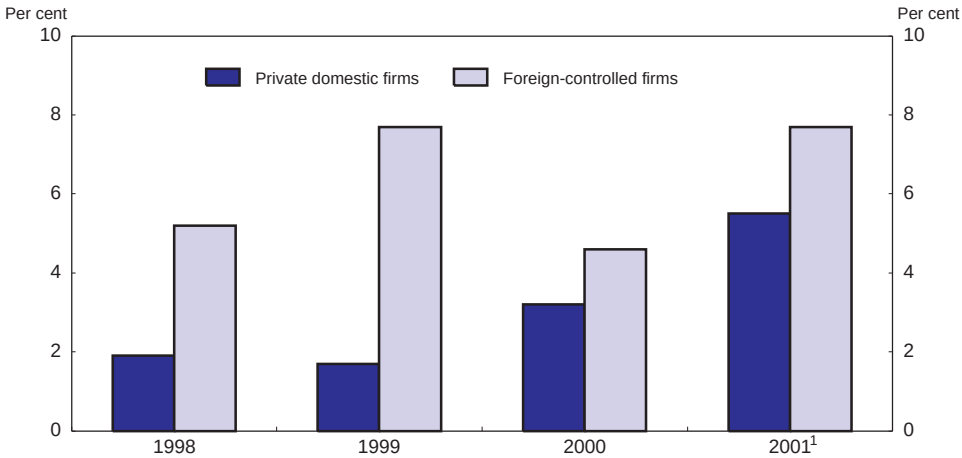
Figure 4. **Corporate profitability**
Gross profits as per cent of costs



1. First half of the year.
Source: Statistical Office of the Slovak Republic.

Large inflows of foreign direct investment (FDI) since 2000 (Table 2) have been a factor promoting the growth of fixed investment. Nearly half of the inflows in 2000 and 2001, though, were related to privatisation, which represents a change in ownership rather than investment. Indeed, the key inflow in 2000 was the sale of a 51 per cent stake in Slovak Telecom to Deutsche Telekom. Nevertheless, the requirement that the new owner invest 1 billion euros in Slovak Telecom's core business and complete full digitalisation of the fixed network by the end of 2004 is boosting investment. Moreover, the non-privatisation FDI inflow in 2000 presumably included a substantial amount of greenfield investment, although no figures are available. This appears to have continued in 2001, as the largest company in Slovakia (Volkswagen) expanded their plant in Bratislava in preparation for producing a new model in 2002.

The turnaround in consumption

The second key factor boosting domestic demand in 2001 was the 4 per cent rebound in private consumption, reflecting positive developments in both

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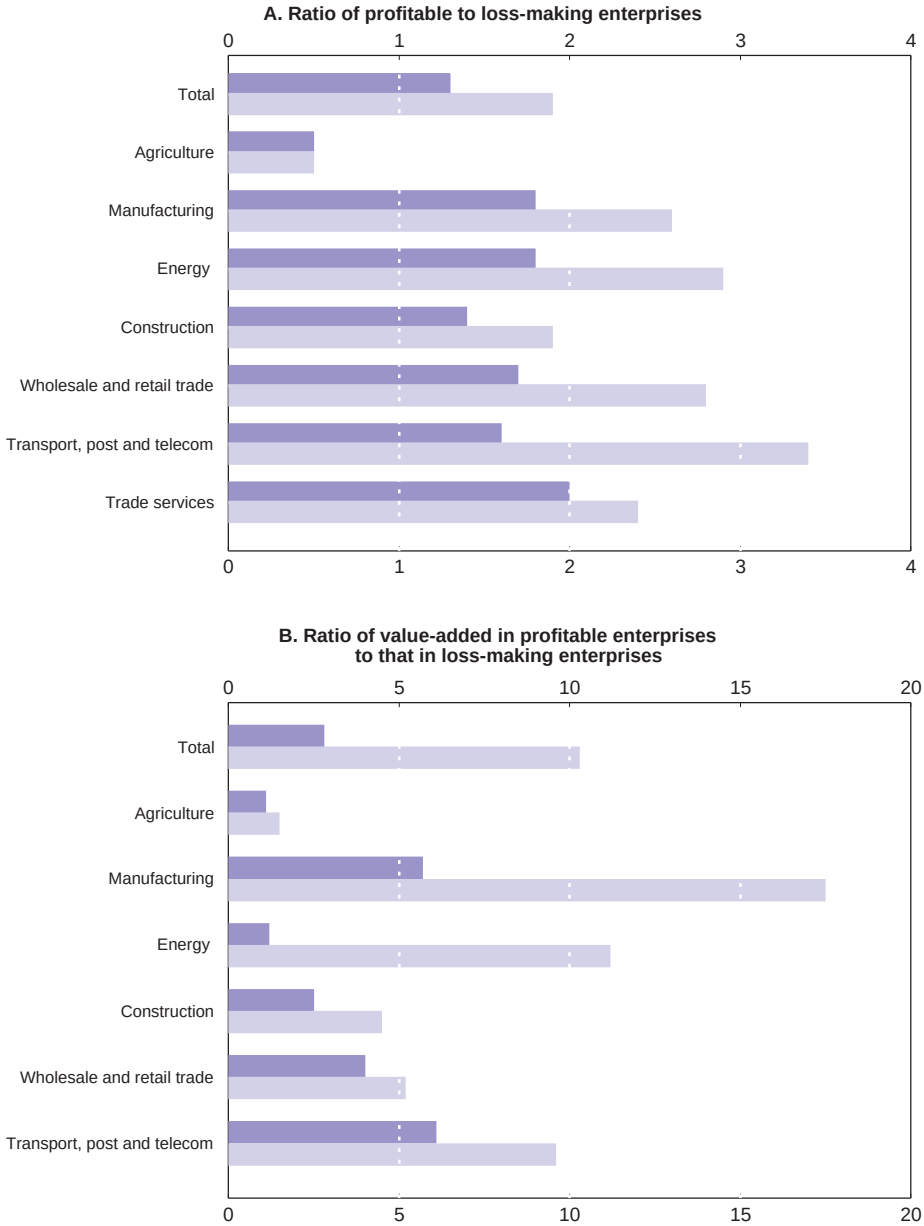
Figure 5. **Profitability of the corporate sector**



Source: Morvay (2001).

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Table 2. **Foreign direct investment inflows**
US$ millions on a net basis[1]

	1998	1999	2000	2001	Cumulative total	Per cent of total
A. By country						
Germany	79.9	76.9	552.1	62.0	1 064.2	22.8
Netherlands	158.9	6.7	581.6	113.3	975.5	20.9
Austria	32.0	–10.6	134.2	306.4	819.2	17.5
United Kingdom	79.2	–41.1	–69.8	86.8	180.5	3.9
Belgium	13.7	–2.0	22.6	2.2	107.3	2.3
Italy	–5.1	3.9	16.3	446.8	500.2	10.7
France	–13.7	–4.1	23.4	33.7	96.6	2.1
Spain	0.2	4.6	0.0	0.6	4.8	0.1
Luxembourg	0.2	1.8	3.8	3.6	10.7	0.2
Denmark	0.9	2.4	9.2	2.6	18.1	0.4
Finland	3.4	1.8	0.0	0.0	4.4	0.1
Sweden	–0.2	–2.1	3.3	0.0	15.8	0.3
EU Total	349.3	38.2	1 276.7	1 058.2	3 797.1	81.3
United States	77.4	66.2	–19.3	45.6	282.4	6.0
Czech Republic	3.8	–13.0	24.3	30.3	231.6	5.0
Hungary	–1.1	14.3	149.3	4.8	182.0	3.9
Switzerland	2.2	3.9	–2.5	9.9	43.0	0.9
Other countries	26.1	27.6	7.3	37.3	133.9	2.9
Total	**457.7**	**137.2**	**1 435.8**	**1 186.1**	**4 670.0**	**100.0**
B. By sector						
Manufacturing	305.5	80.4	839.9	130.6	2 009.2	43.0
Financial intermediation	61.1	–35.1	21.8	774.3	1 224.0	26.2
Transport and communications	2.0	1.6	551.3	48.3	650.7	13.9
Real estate	31.9	20.8	–1.3	25.0	135.9	2.9
Wholesale and retail trade	55.0	58.1	11.2	105.6	525.7	11.3
Mining and quarrying	0.1	0.0	15.0	3.2	34.4	0.7
Construction	3.2	–0.7	1.1	1.4	29.7	0.6
Hotels and restaurants	–1.5	8.4	–1.7	5.4	32.2	0.7
Other services	0.6	2.1	–1.2	2.9	13.2	0.3
Electricity, gas and water supply	0.0	–1.5	–0.9	68.1	7.9	0.2
Agriculture, hunting and forestry	–0.1	3.2	–0.4	0.0	3.9	0.1
Private households	0.0	0.0	0.0	19.4	0.0	0.0
Health and social work	–0.1	–0.1	1.0	0.2	1.6	0.0
Extra-territorial bodies	0.0	0.0	0.0	1.5	1.5	0.0
Total	**457.7**	**137.2**	**1 435.8**	**1 186.1**	**4 670.0**	**100.0**
Share of GDP	2.5	2.0	10.3	5.9	23.4	

1. Based on enterprise statements.
Source: National Bank of Slovakia.

employment and wages (see below) and a sharp deceleration of inflation from double-digit rates. This boosted households' real income by 2 per cent, reversing the decline of the two preceding years (Figure 6). The effect of higher income on consumption was amplified by a marked decline in the saving rate, which

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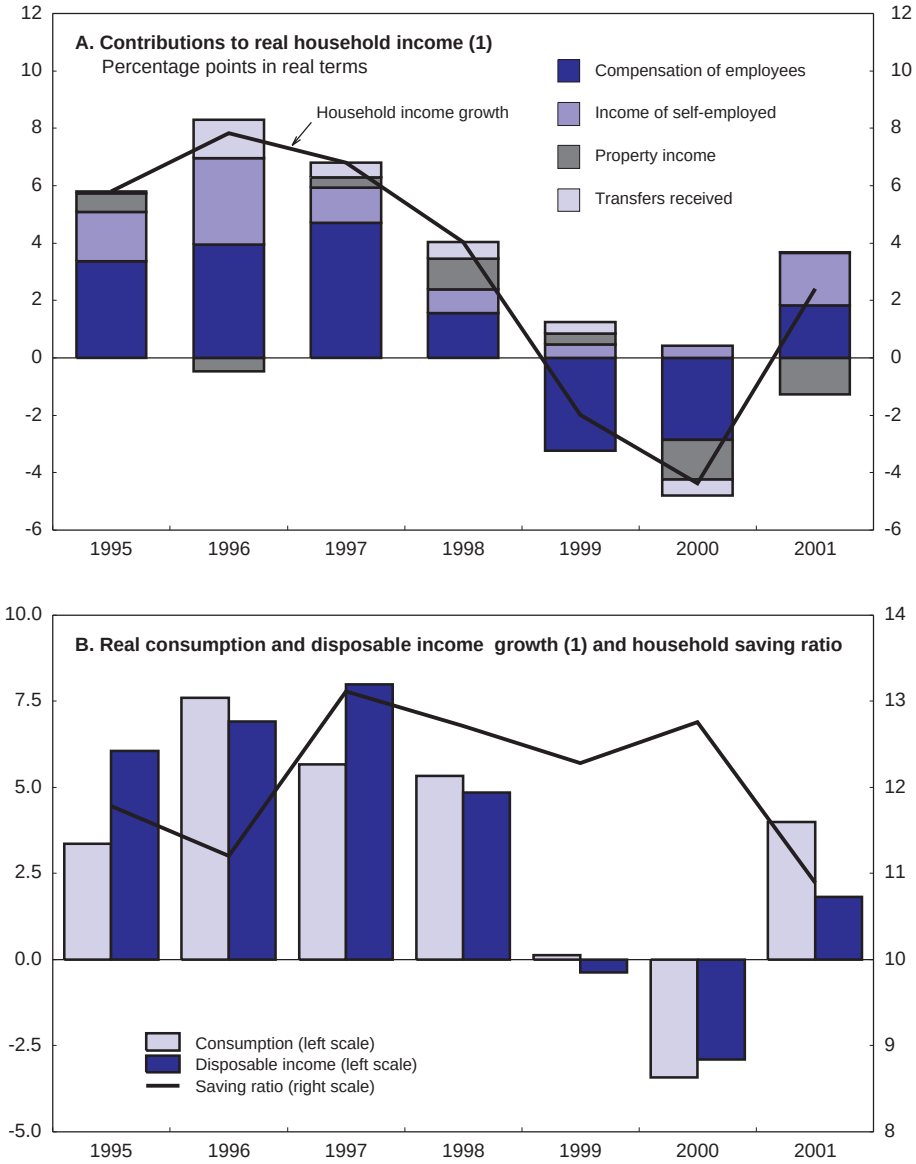
Figure 6. **Household income and private consumption**



1. Deflated by the private consumption deflator.
Source: OECD.

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reflected the one-off effect of bond redemption (Panel B). The redemption of SKK 30 billion (3 per cent of GDP) in National Property Fund bonds provided a boost to cash flow that appeared to have been largely spent. Approximately half of this amount went to households in the second half of 2001,[2] with the average benefit amounting to about three-fourths of the average monthly gross wage. Finally, the construction of a number of new shopping malls, primarily by foreign investors, may have encouraged consumers to spend. The rise in private consumption was accompanied by a rebound in public consumption, which rose 5 per cent in 2001 (see Chapter II), boosting growth by one percentage point.

The impact on the economic imbalances

The domestic demand-led recovery resulted in a sharp widening of the current account deficit in 2001, indicating that the reduction in 1999 and 2000 was only temporary. At the same time, there was a significant slowing in inflation, aided by the unwinding of oil price increases.[3] In the labour market, the upturn reversed the declining trend in employment but was not sufficient to lower the unemployment rate.

A *widening current account deficit*

The growth of Slovak exports of goods and services in volume terms fell by more than half to 6½ per cent in 2001, reflecting slower growth of foreign demand. Exports are sensitive to economic cycles in Europe,[4] given the fact that cars and iron and steel products account for a third of Slovakia's sales abroad. Indeed, export growth slowed from 19 per cent in the first half of 2001 (year-on-year in local currency) to 5 per cent in the second half. In addition, a slight deterioration in Slovakia's export performance[5] also slowed its overseas sales (Figure 7). This decline is probably due to the worsening in competitiveness indicators for Slovakia. Indeed, although the effective exchange rate in early 2001 was virtually unchanged from 1997, the higher rate of inflation in the Slovak Republic during the past four years implies a loss of competitiveness relative its trading partners of 13 per cent in terms of consumer prices and double that in terms of unit labour costs (Panel B). Nevertheless, Slovakia's export performance during that period has been quite positive, with an average annual gain of 3 per cent (Panel C). Such a gain probably reflects the increased integration with the European Union as a result of direct investment in Slovakia. However, Slovakia's export performance is well below that of the other OECD transition economies.

While export growth decelerated, imports of goods and services picked up from 10.1 per cent in volume terms in 2000 to 11.7 per cent in 2001, driven by the large increases in fixed investment and private consumption. The surge in imports lifted its share of GDP to a record 86 per cent, compared to less than 60 per cent during the mid-1990s, reflecting the integration of the Slovak economy

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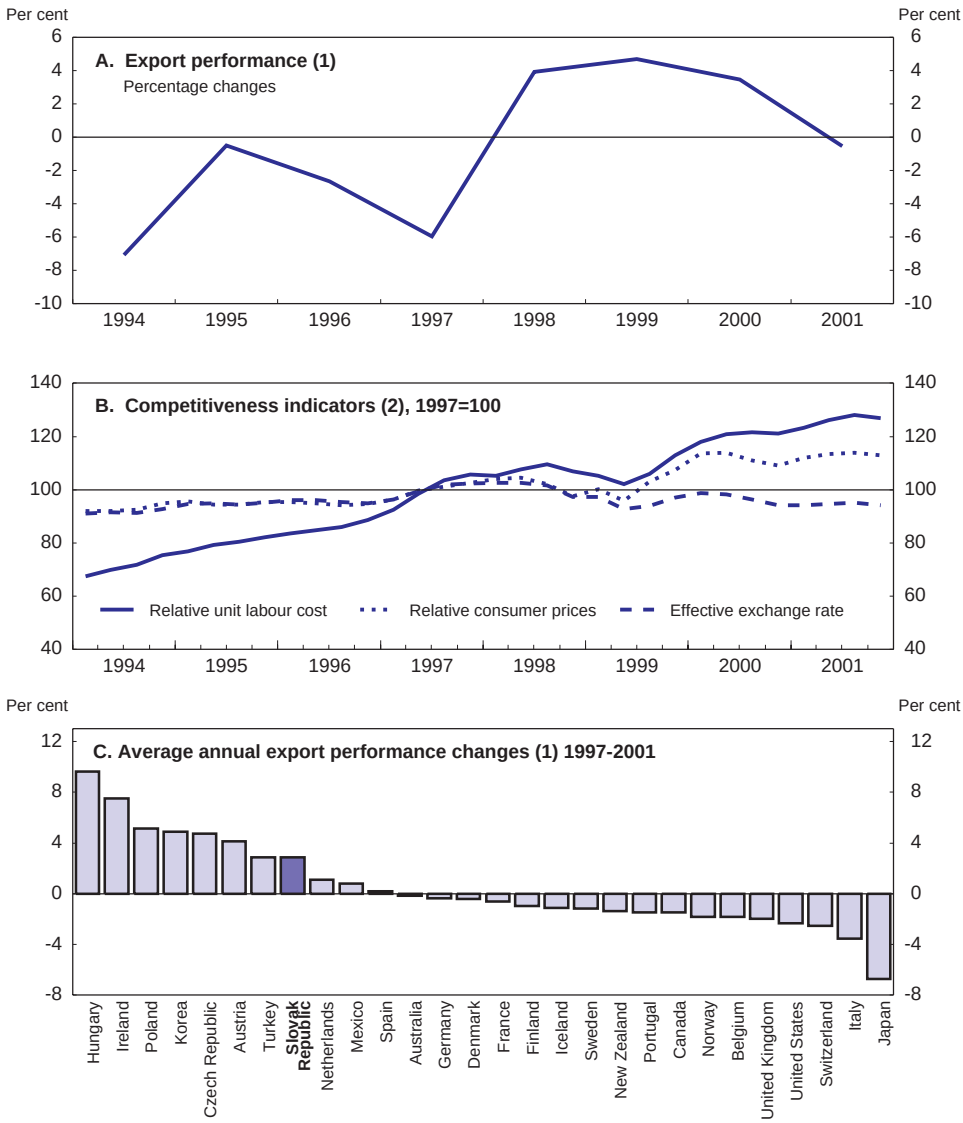
Figure 7. **Export performance and competitiveness indicators**



1. Calculated as the ratio of export volumes to export market growth for total goods. Export market is calculated on the basis of the trade structure in 1995 so that performance is obtained with respect to the 1995 market structure.
2. Calculated *vis-à-vis* forty-one countries. A decline indicates a gain in competitiveness.

Source: OECD.

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with Europe. The differing trends in domestic demand in Slovakia and in its trading partners doubled the trade deficit to over 10 per cent. A larger surplus in services, though, kept the current account deficit's share of GDP in single digits (Table 3). One factor boosting the service surplus was a 49 per cent rise in receipts from foreign tourists.

The current account deficit reflects the restructuring of the Slovak economy through significant inflows of FDI and imports of capital goods. The resulting upgrading of the country's capital stock is a positive factor fostering convergence

Table 3. **The balance of payments**
US$ millions

	1996	1997	1998	1999	2000	2001[1]
Current account	–2 089	–1 961	–2 127	–1 156	–694	–1 756
As per cent of GDP	–10.6	–9.6	–9.3	–5.0	–3.8	–8.8
Trade balance	–2 282	–2 084	–2 351	–1 109	–895	–2 134
Exports	8 824	9 641	10 720	10 201	11 896	12 632
Imports	11 106	11 725	13 071	11 310	12 791	14 766
Services balance	38	73	16	55	436	480
Credits	2 066	2 167	2 292	1 899	2 241	2 490
Debits	2 028	2 094	2 276	1 844	1 805	2 010
Income	–46	–123	–158	–300	–355	–313
Credits	224	315	437	268	268	322
Debits	270	438	595	568	623	634
Transfers	201	173	366	198	120	212
Credits	483	540	645	466	344	500
Debits	282	367	279	268	224	288
Capital and financial accounts	2 298	1 781	1 982	1 946	1 562	1 719
Capital account	30	0	71	158	91	78
Financial account	2 268	1 781	1 911	1 788	1 471	1 641
Direct investment	303	79	417	730	2 030	1 460
Portfolio investment	17	12	784	652	821	–217
Other investments	1 948	1 690	710	406	–1 380	398
Errors and omissions	162	280	–333	–14	51	180
Overall balance	371	100	–478	776	919	143
As per cent of GDP	–1.9	0.5	–2.2	3.9	4.9	0.7
Change in reserve position[2]	–370	–100	478	–776	–919	–143
Reserve assets	–245	–47	545	–725	–794	–143
Fund credits and loans	–125	–52	–67	–52	–125	0
Memorandum item:						
FDI inflow as per cent of current account deficit	14.5	4.0	19.6	63.1	292.5	83.0

1. Preliminary.
2. A negative sign represents an increase in reserves.
Source: National Bank of Slovakia.

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with EU countries. At nearly 9 per cent of GDP in 2001, however, the deficit is approaching the levels reached between 1996 and 1998, a turbulent period that saw a marked fall in the exchange rate and a downgrading of Slovakia's sovereign credit rating. The string of current account deficits in recent years has boosted gross external debt from 39 per cent of GDP in 1996 to 56.5 per cent in 2001 (Table 4). More than two-thirds of this debt is held in the private sector, primarily in firms. Short-term liabilities – debt with maturity of less than one year – account for almost 40 per cent of the external claims on the private sector.[6] The central bank has foreign reserves of $4.2 billion, equivalent to about a fifth of GDP, though this only covers three months of imports.

Taking account of its foreign assets, Slovakia's net foreign debt is currently about 14 per cent of GDP. A continuation of recent trends, though, would significantly increase this ratio in the coming years. To stabilise the ratio of net debt at 30 per cent of GDP would require reducing the current account deficit to between 2 and 3 per cent, assuming a nominal growth rate of 7 to 9 per cent.[7] Such a reduction in the external deficit from 9 per cent to the 2 to 3 per cent range would take some time to accomplish. However, the large inflows of FDI make the current account deficit less of a risk than it was in the mid-1990s. Between 1996 and 1998,

Table 4. **External debt and foreign reserves**
US$ millions at end of year

	2000	Per cent of GDP	2001[1]	Per cent of GDP
Total external debt of the Slovak Republic	**10 804.2**	**56.3**	**11 268.5**	**56.5**
Official debt of the Government and the NBS	2 916.5	15.2	2 784.6	14.0
Government agencies	371.9	1.9	574.1	2.9
Municipalities	95.7	0.5	96.9	0.5
Foreign liabilities of the commercial sector	7 420.2	38.7	7 812.8	39.2
Commercial banks	683.5	3.6	1 100.9	5.5
Entrepreneurial entities	6 736.8	35.1	6 712.0	33.6
Medium and long-term foreign liabilities	5 005.2	26.1	4 729.1	23.7
Commercial banks	316.7	1.7	306.4	1.5
Entrepreneurial entities	4 688.5	24.4	4 422.7	22.2
Short-term foreign liabilities	2 415.0	12.6	3 083.8	15.5
Commercial banks	366.8	1.9	794.5	4.0
Entrepreneurial entities	2 048.3	10.7	2 289.3	11.5
Foreign reserves	**5 560.8**	**29.0**	**5 438.2**	**27.3**
Official reserves of NBS	4 076.8	21.2	4 188.7	21.0
Months of imports	3.4	–	3.0	–
Reserves of commercial banks	1 484.0	7.7	1 249.5	6.3

1. Preliminary figures.
Source: National Bank of Slovakia.

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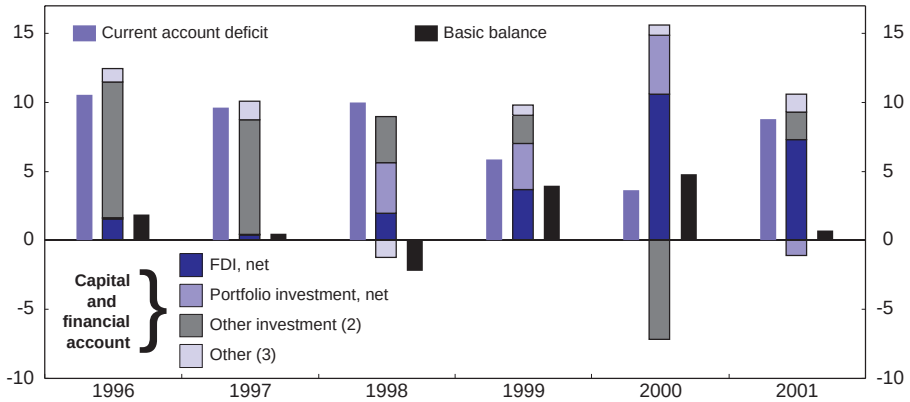
Figure 8. **Financing the current account deficit**
Per cent of GDP[1]



1. The difference between the current account and the capital and financial account equals the overall balance. If the current account deficit is less (greater) than the capital and financial account surplus, reserve assets increase (decrease) by that amount.
2. Primarily loans.
3. Capital account and errors and omissions.

Source: National Bank of Slovakia.

direct investment covered less than a fifth of the external deficit, with capital inflows – primarily loans – providing the bulk of the financing (Figure 8). In contrast, FDI was significantly greater than the current deficit in 2000, and in 2001 it covered more than four-fifths of the deficit. Financing the external imbalance through direct investment significantly reduces the risk of financial instability.

A *deceleration in inflation*

Inflation trends are driven, in part, by changes in administered prices for such items as energy, water and rent. Together, administered prices account for almost one-fifth of the consumer price index. These prices have been raised significantly in recent years to bring them closer to market prices. In particular, energy prices had been kept low, resulting in a high level of energy intensity. For example, the price of electricity to households in 1997 was only half the level of major EU countries and low even relative to neighbouring transition economies. During the period 1999 to 2001, the government raised energy prices in order to cover a greater proportion of the costs of production. Consequently, the price of electricity has tripled since 1999 and now nearly covers its cost. Gas prices, meanwhile, have doubled but a further increase of 50 per cent is envisaged.

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Administered prices increased 32 per cent in 2000, accounting for about half of the 12 per cent headline inflation rate (Figure 9). This was followed by a 17 per cent rise in 2001, as the authorities raised the prices of electricity, gas, public transport, water and sewage, postal services, apartment rents and car insurance. Hikes in administered prices also have secondary effects. For example, the rise in the price of electricity and gas for enterprises by 12 and 20 per cent, respectively, tended to push up prices to consumers by an estimated 0.5 per cent in 2001. The overall effect of increases in regulated prices accounted for about half of the 7.3 per cent headline inflation figure in 2001.

The increase in core – or non-regulated – prices fell to a record low of 4.3 per cent for the year 2001. Several factors, such as intensified retail competition resulting from the construction of new shopping malls, helped to restrain price increases. Another positive development was the elimination of the import surcharge at the beginning of 2001. It had been set at 5 per cent in the first half of 2000 and at 3 per cent in the second. The decline in oil prices and the modest appreciation of the exchange rate in the second half of 2001 put further downward pressure on inflation. By the end of the year, the core inflation rate had fallen to 3.2 per cent year-on-year, considerably below the expectations of the central bank, primarily as a result of the fall in oil prices.

Little progress in reducing unemployment

Employment increased in the fourth quarter of 2000 (year-on-year) for the first time since the beginning of 1997 and further gains were recorded in 2001. The rise in employment was largest in market services and significantly boosted the number of self-employed persons, a category accounting for a relatively low proportion of the labour force in Slovakia (see Chapter III). Despite the turnaround in job trends, the number of employed persons was still almost 5 per cent below its peak in 1996 (Figure 10). With the working-age population fuelling growth of the labour force, the number of unemployed topped ½ million in 2001. Consequently, the unemployment rate has increased sharply from around 11 per cent in 1996 to 19 per cent in 2001, according to the labour force survey (Panel B). An additional 2 per cent of the labour force was employed on temporary public-works jobs.

As noted above, the rebound in employment was accompanied by wage growth of almost 9 per cent in 2001, led by substantial gains in both industry and market services (Figure 10, Panel C). This boosted the gap with workers in agriculture and public services.[8] Given the deceleration in inflation, the nominal wage hike translated into a real wage gain in 2001, reversing the declines recorded in the two previous years. In sum, the growth in wages and employment stabilised labour's share of national income, which had fallen from 45 per cent in 1997 to 41 per cent in 2000.

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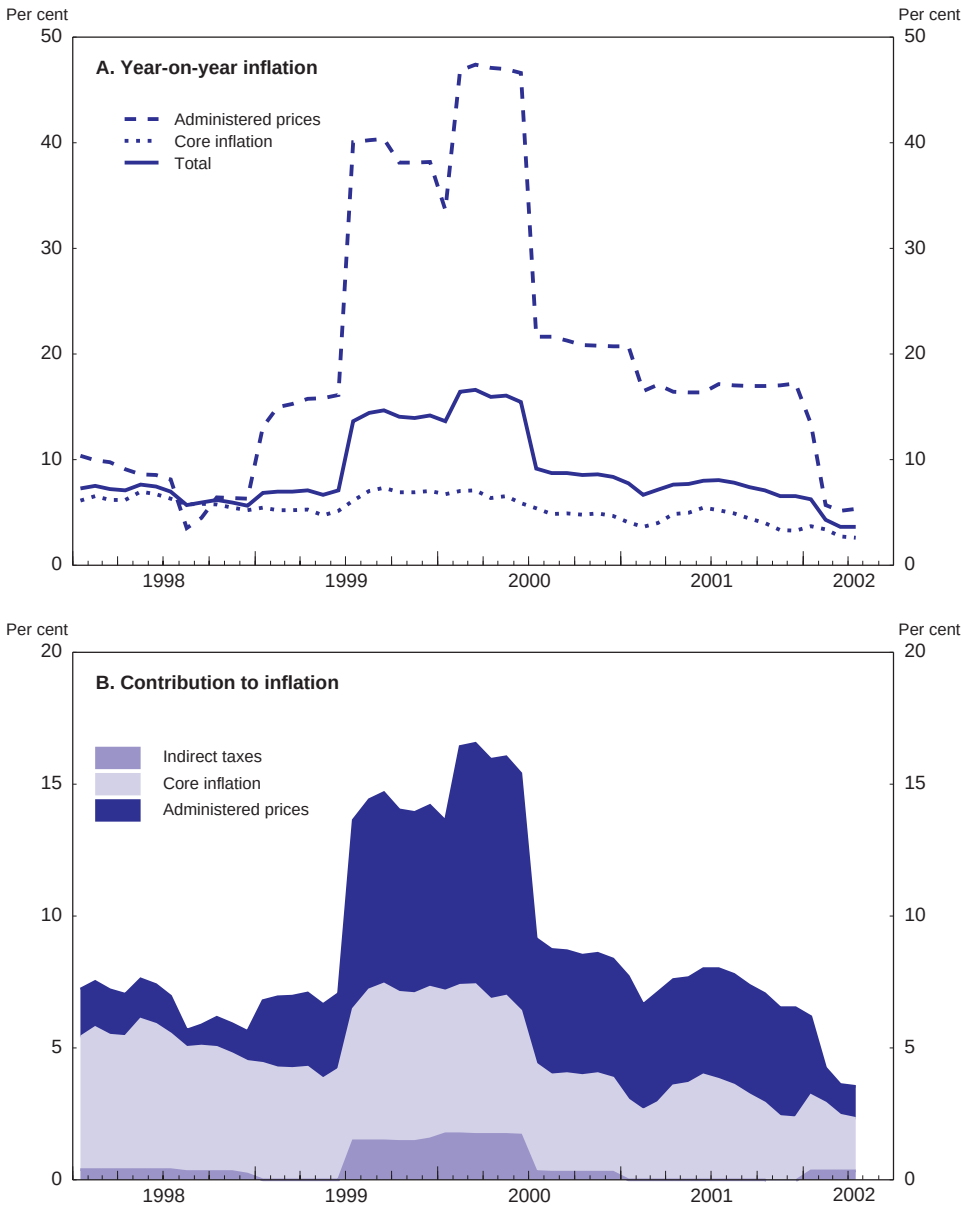
Figure 9. **Inflation**



Source: Statistical Office of the Slovak Republic.

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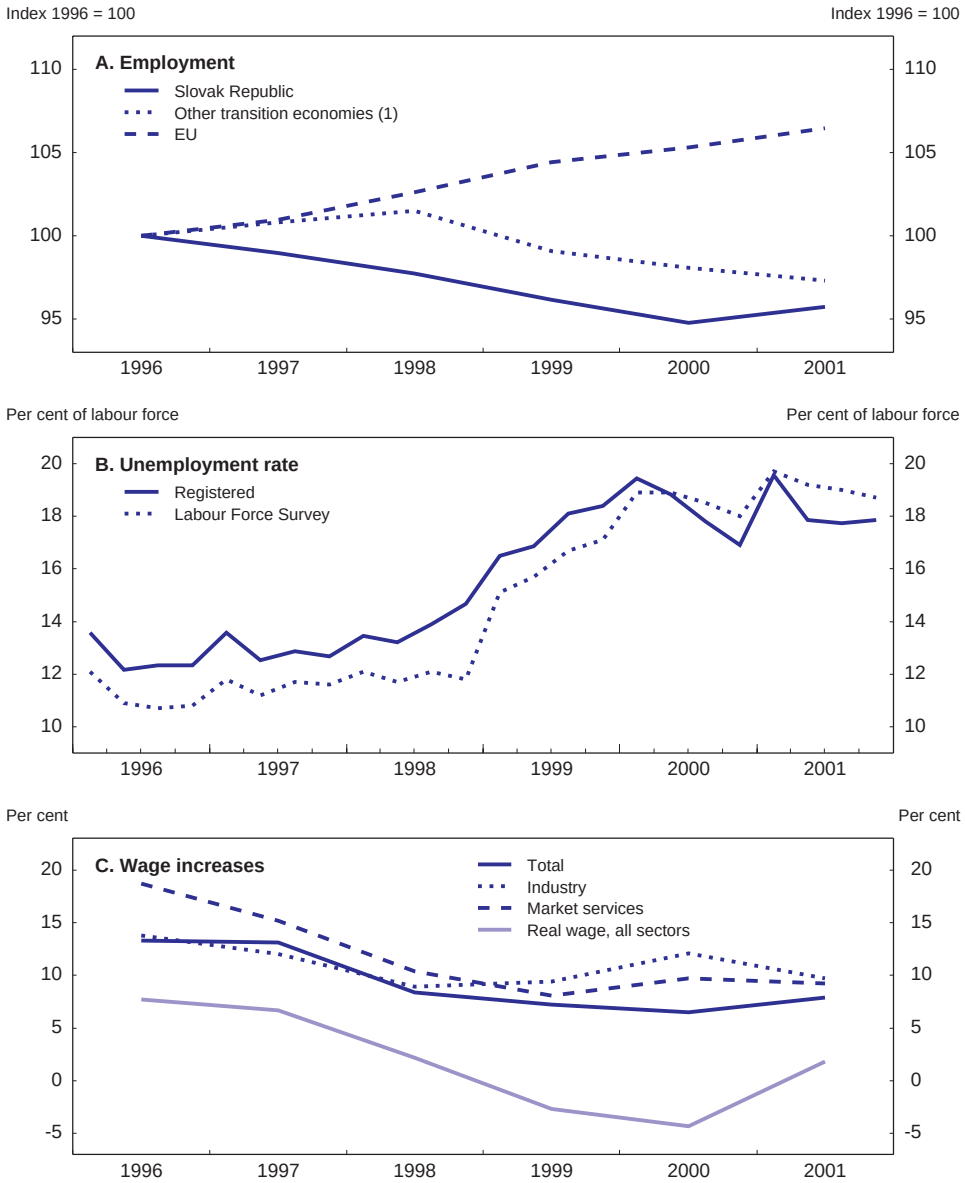
Figure 10. **Recent trends in the labour market**



1. Czech Republic, Hungary and Poland.
Source: OECD.

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Economic prospects

The short-term outlook through 2003

The positive trends in domestic demand are expected to continue, though at a slightly slower pace, supplemented by stronger external demand as recovery takes hold in Europe. The overall effect is projected to boost output growth to around 4 per cent in 2002 and 2003 (Table 5). This projection is based on the following assumptions, which were built into the OECD *Economic Outlook* of June 2002:

- the exchange rate stabilises at around its April 2002 level of SKK 47.4 per dollar and SKK 41.6 per euro.[9]
- growth in Slovakia's export markets picks up from 5¼ per cent in 2002 to 9½ per cent in 2003.

Table 5. **Short-term prospects**[1]
Percentage change in constant 1995 prices

	Share of GDP in 2000	1999	2000	2001	2002	2003
Demand and output						
Private consumption	53.4	–0.2	–3.4	4.0	3.5	3.5
Government consumption	19.0	–6.9	–0.9	5.2	6.0	4.5
Gross fixed capital formation	30.0	–18.8	–0.7	11.6	8.0	8.0
Final domestic demand	102.4	–7.7	–2.1	6.5	5.4	5.1
Stockbuilding[2]	0.1	3.5	0.8	1.1	–0.2	–0.6
Total domestic demand	102.5	–4.6	–1.3	7.3	5.0	4.4
Export of goods and services	73.5	3.4	15.9	6.5	8.4	9.5
Import of goods and services	75.9	–6.0	10.1	11.7	9.5	9.5
Foreign balance[2]	–2.4	7.0	3.6	–4.1	–1.2	–0.5
GDP	100.0	1.9	2.2	3.3	4.0	4.1
Prices						
GDP deflator		6.6	6.5	5.3	6.6	7.5
Consumer price index		10.6	12.0	7.3	5.5	7.0
Labour market						
Employment growth		–3.0	–1.4	1.1	1.5	1.6
Wage rate, private sector		9.2	7.8	8.9	6.3	9.1
Unemployment rate		16.4	18.8	19.3	19.1	18.6
Balance of payments						
Current account (US$ billion)		–1.0	–0.7	–1.8	–1.8	–1.7
As percentage of GDP		–5.0	–3.8	–8.8	–7.9	–6.8

1. These projections are identical to those that were published in the *Economic Outlook* 71.
2. Contribution to GDP growth.
Source: OECD.

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– oil prices remain stable in inflation-adjusted terms at their current level of $25 per barrel.

– both the short-term interest rate (two-week REPO rate) and the long-term government bond yield increase from 7¾ per cent to around 8 per cent in 2003.

– the budget deficit stays near 6 per cent of GDP (on an ESA95 basis).

Domestic demand growth is projected to moderate somewhat from more than 7 per cent in 2001 to a more sustainable pace at between 4 and 5 per cent, underpinned by fixed investment. A number of factors, including the rebound in business confidence at the beginning of 2002 (Figure 3), large gains in corporate profits and a further decline in the corporate tax rate from 29 to 25 per cent, suggest that investment will remain relatively buoyant. Private consumption is likely to be sustained by a continued rise in employment and real wage increases. Meanwhile, the external sector will become less of a drag on growth as a recovery takes hold in Europe. Exports are likely to pick up in line with stronger demand from Slovakia's trading partners in 2002 and 2003. With domestic demand growth decelerating somewhat, import growth is projected to fall below 10 per cent. Such developments could lead to some reduction in the current account deficit to around 7 per cent of GDP.

As noted above, headline inflation is largely driven by price deregulation, as the authorities allow the prices of energy and other products to move toward market levels. The only changes in administered prices planned in 2002 occurred in January: a 19 per cent rise in the price of gas charged to companies and a 7 per cent increase in household heating charges. As a result, headline inflation is likely to slow to around 5½ per cent this year, with core inflation continuing to fall. However, a resumption of price deregulation may boost headline inflation back toward the 7 per cent level in 2003. While the pace of growth is unlikely to push up core inflation in 2003, it will probably rise slightly as a result of the spillover effects of administered price increases. Given structural problems in the labour market, the pace of growth is unlikely to generate sufficient job gains to reduce the unemployment rate significantly, given a 1 per cent annual rise in the working-age population. The unemployment rate is thus projected to remain above 18 per cent through 2003.

There are risks to the economic outlook in a country with a current account deficit of 9 per cent of GDP, with no significant decline expected in the short run. As noted above, the deficit is in large part related to the surge in investment, which is a positive factor enhancing Slovakia's growth potential. However, there is a risk of problems in financing such a large deficit. Should such problems occur, there would likely be serious macroeconomic consequences, including pressure on the exchange rate, as was experienced in the 1997 to 1998 episode. Inflows of foreign capital related to the privatisation of the gas utility in 2002

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(see Chapter IV) are sufficient to finance the deficit at least for this year. However, the privatisation of state-owned enterprises is not a permanent solution to financing the external deficit.

Another risk to the projection of a continued expansion is fiscal policy. Slippage in meeting the annual targets for deficit reduction would tend to put upward pressure on the current account deficit. Moreover, it would weaken international confidence in Slovakia and damp capital inflows. While some overshooting of spending targets is assumed in 2002, an election year, there is a risk of an even greater overrun.

Medium-term growth perspective

The challenge for Slovakia is to converge with income levels in EU countries. The under-utilisation of labour and low labour productivity are major constraints to faster growth and a more rapid catch-up. Increasing labour productivity is also essential to provide scope for higher wages and remove disincentives to work. The level of GDP per capita in Slovakia (on a purchasing power parity basis)[10] is 48 per cent of the EU average, while labour productivity is 43 per cent. In its medium-term economic programme, the government has targeted a per capita income of between 50 and 55 per cent of that in the EU by the time of accession. Under current trends, the 50 per cent objective would be reached by 2003. However, OECD calculations (Table 6) suggest that little further convergence is likely in the medium term unless the government perseveres in the implementation of

Table 6. **Convergence with the European Union**[1]

Per cent

	Unemployment rate[2]		Labour productivity growth[2]		Real GDP growth[2]		Relative per capita GDP (Slovakia/EU)		Relative labour productivity[3] (Slovakia/EU)	
	A	B	A	B	A	B	A	B	A	B
2000	19	19	4	4	2	2	48	48	43	43
2001	19	19	3	3	3	3	49	49	43	43
2002	19	19	3	3	4	4	49	49	44	44
2004	19	15	3	4	4	7	50	54	45	46
2006	19	12	3	4	4	6	51	58	45	48
2008	19	10	3	4	4	6	51	61	46	50
2010	19	6	3	4	4	7	52	66	47	52

1. Calculations are based on steady state assumptions for all variables other than the ones examined. In Slovakia, total population growth is assumed to be 0.2 and working-age population growth to be 0.9. In the EU, total population is assumed to be constant. Calculations refer to 14 EU member countries, Luxembourg is excluded. Column A assumes an unchanged unemployment rate and productivity growth. Column B assumes a declining unemployment rate and higher productivity growth.
2. Figures for 2000 to 2002 are actual figures or OECD estimates.
3. Productivity growth in the EU countries is assumed to be 1.75.

Source: OECD.

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structural reforms in the labour and product markets to increase both employment and labour productivity (see Chapters III and IV). If the unemployment rate were reduced by about 2 percentage points per year over the period 2003 to 2010, with productivity growth remaining at that recorded in 2000, per capita income would reach 66 per cent of that in the European Union by the end of the decade. The current large gap in labour productivity between Slovakia and the EU countries suggests that there is scope for productivity growth at a rate even faster than 4 per cent, compatible with employment growth, if the necessary structural reforms are put in place.

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II. Macroeconomic policies and challenges

Expansionary monetary and fiscal policies made important contributions to the economic upturn in 2001. With robust growth expected through 2003, changes in the macroeconomic stance appear to be necessary. This chapter begins with an analysis of monetary and exchange rate policies. Favourable inflation outcomes and the relative stability of the Slovak koruna suggest that the National Bank of Slovakia (NBS) has been successful thus far in establishing the credibility of its monetary policy. The following section addresses fiscal policy. Despite the progress made in reducing spending as a share of GDP since 1998 and in cutting tax rates from high levels, the large deficit – estimated at 6½ per cent of GDP (on an ESA95 basis) in 2001 – and the significant rise in public debt raise serious concerns. Limiting the growth of expenditures and reducing the deficit, while allowing further declines in tax rates, requires fundamental reform of the pension, health and social welfare systems. The chapter concludes with a brief assessment of macroeconomic policies.

Monetary and exchange rate policy

New institutional and operational frameworks

The institutional framework for monetary policy was modified by the new National Bank of Slovakia Act, which took effect in July 2001. The Act establishes medium-term price stability as the principal mandate of the central bank, in place of currency stability, which is now its second objective.[11] This mandate translates into lowering inflation towards the average level in the European Union. The Act also grants full independence to the NBS and forbids monetary financing of the government deficit. Previously, the NBS had been allowed to purchase government securities up to an amount equivalent to 5 per cent of government revenue in the preceding year. The new legislation is one more step in harmonising the monetary policy framework with that of euro-area countries, a group which the Slovak Republic aspires to join by 2007, following membership in the European Union as early as 2004.[12]

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The monetary authorities announce their policy strategy for each year in the Monetary Programme, which is published in the second half of the preceding year. The Programme outlines the expected evolution of key macroeconomic variables, including headline and core inflation, economic growth and the current account balance. The main assumptions underlying the central bank's projection – planned increases in administered prices, the evolution of oil prices and wages and the level and the use of privatisation receipts – are specified. The 2002 Monetary Programme added the government budget balance to this list, which helps define the fiscal policy compatible with the envisaged inflation performance. In addition, this year's programme includes medium-term macroeconomic projections for the first time, providing a perspective on monetary policy through to 2005. The NBS also publishes a monthly survey containing the main economic and monetary developments and their expected influence on prices. Both monetary and fiscal policies were formulated in 2001 and 2002 in the context of a Staff Monitored Programme with the IMF, which terminated in March 2002 (Box 1).

The NBS monitors headline, as well as core inflation, which excludes administered prices and indirect taxes. To encourage transparency, the objective of price stability is defined in terms of headline inflation, although the evolution of core inflation is an important consideration in policy decisions. The inflation rate stipulated in the Programme does not constitute a formal inflation-targeting framework, as there is no obligation for the NBS to achieve that rate. However, the rate contained in the Programme acts as an implicit target for monetary policy and deviations from it should normally lead to policy reactions. The central bank appears to rely on the threat of policy tightening to discipline the behaviour of the main actors in the Slovak economy. For example, slippage in the budget or excessive wage claims that would undermine the competitiveness of exports would invite a response from the NBS.

Interest rates were adopted in 2000 as the main intermediate policy instrument in place of money supply growth, which continues nevertheless to be closely monitored. The NBS sets the interest rate for two-week REPO tenders, as well as the rates for overnight sterilising and refinancing operations. The REPO tenders, which use both government securities and the central bank's own bills, are now the most commonly used monetary policy tool. The discount rate has been based on the two-week rate since the beginning of 2002. The limited number of financial instruments available on the market increases the attractiveness of such tenders, making the REPO rate highly influential in determining market interest rates. The role of direct monetary policy instruments has been largely phased out. The reserve requirement has been scaled down from 8 per cent in 2000 to 4 per cent in 2002, with a further reduction to 2 per cent planned for 2004.[13] In addition, regulations on the foreign exchange position of banks, which were used to control their lending in foreign currency, have been abandoned.

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Box 1. The Staff Monitored Programme

The Staff Monitored Programme was a voluntary decision on the part of the Slovak authorities to implement a specified economic agenda with the assistance and supervision of the IMF staff. It did not involve endorsement of the agenda by the IMF's Executive Board or Fund financing. The Programme, though, was a condition for a World Bank Enterprise and Financial Sector Adjustment Loan to Slovakia.

The Programme, which covered the period May 2001 to March 2002, was the basis for quarterly consultations with the IMF. It aimed at achieving GDP growth of between 3 and 4½ per cent in 2001 and 2002, reducing inflation and cutting the current account deficit. To accomplish these objectives, the authorities proposed to improve the fiscal position and ensure fiscal discipline and to gear monetary policy towards lowering inflation. Finally, it enumerated priorities for structural reform, notably strengthening the financial system and prudential supervision, privatising public utilities for gas and electricity, overhauling the social security funds and increasing labour market flexibility.

The programme contained ceilings for the general government deficit of 3.9 per cent of GDP in 2001 and between 3 and 3.5 per cent of GDP in 2002. Quarterly expenditure ceilings were imposed to encourage spending discipline, and any changes in those ceilings would require consultation with the IMF staff. In addition, a number of policy actions were agreed to:

- Any unexpected revenues could be spent only if the deficit is contained within the 3.9 per cent of GDP target.[1]
- Legislation would be passed requiring that future privatisation revenues be used exclusively to reduce state debt and finance pension reform.
- The stock of state guarantees on bank loans to public enterprises would be substantially reduced during the next few years.
- Ten of the twelve state funds should be abolished by the end of 2001.
- The Tax Administration will be restructured by March 2002 and a large taxpayer unit will be established in Bratislava.
- The formulation of reforms for the healthcare system should be completed by June 2001 and by March 2002 for the pension system.

The goal for monetary policy is to continue the process of disinflation. The NBS is to monitor closely demand and price developments, as well as net domestic assets of the banking system and a quarterly floor on net international reserves of the NBS. The inflation target in the central bank's Monetary Programme is included in the Staff Monitored Programme, and inflation movements exceeding the bands would trigger a reassessment of policies.

As noted in the main text, Slovakia achieved the inflation target and appeared to meet the budget deficit objective in 2001. There has been less success, though, in implementing the structural policies according to the timetable in the Staff Monitored Programme. However, nine state funds were integrated into the state budget in January 2002 and a tenth will be integrated in January 2003. In addition, a tax office for Selected Tax Entities and the Office of Tax Examination were established in May 2002.

1. The only exception is spending to cover the cost of natural disasters.

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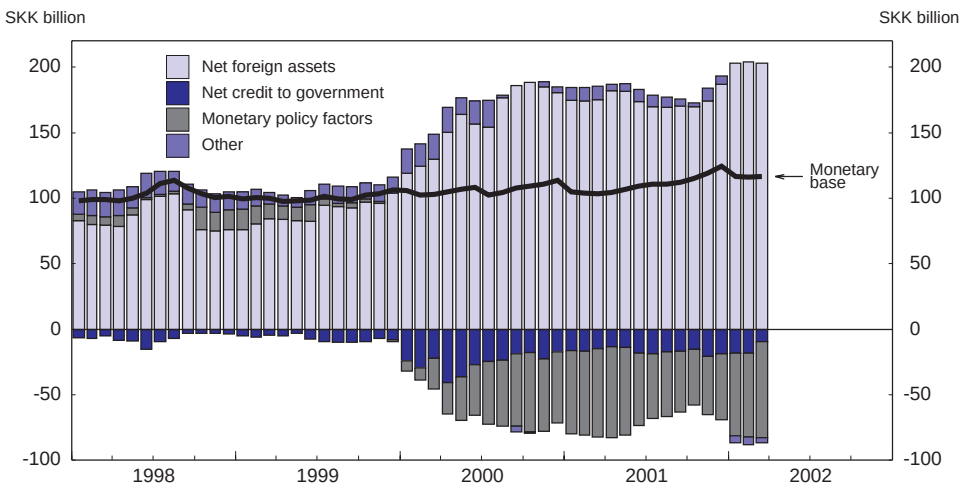
Several factors make monetary policy decisions particularly difficult in the Slovak Republic. *First*, headline inflation is driven by discretionary adjustments in administered prices for such items as electricity, gas, public transport, water, postal services and rental housing. Administered prices, which account for a fifth of the consumer price index, rose 38 per cent in 1999, 21 per cent in 2000 and 17 per cent in 2001.[14] Further increases are needed to bring these prices to market levels, notably in gas and electricity. The jumps in administered prices have resulted in temporary hikes in headline inflation, followed by smaller second-round effects on core inflation. *Second*, the monitoring of inflation is complicated by rapid changes in relative prices, a common feature of transition economies. *Third*, domestic prices are also highly sensitive to foreign prices, as merchandise imports account for 74 per cent of Slovak GDP. *Fourth*, large inflows of foreign capital related to privatisation have imposed significant shocks on domestic liquidity, requiring massive sterilisation operations by the NBS in order to stabilise the monetary base (Figure 11). *Fifth*, the recent implementation of a new policy framework and the changes in the financial sector introduce a high level of uncertainty regarding the speed and effectiveness of monetary policy transmission channels. In particular, the restructuring and privatisation of the banking sector (see Chapter IV) appears to have temporarily weakened the transmission mechanism through interest rates. Faced with these challenges and constraints, the NBS

Figure 11. **Factors driving changes in the monetary base**[1]



1. Average monetary base.
Source: National Bank of Slovakia.

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has pursued a cautious and pragmatic approach that has produced positive results thus far.

Monetary policy objectives were achieved in 2000 *and* 2001

Inflation outcomes in both 2000 and 2001 were consistent with the levels contained in the Monetary Programmes (Table 7). Indeed, headline inflation decelerated from 14 per cent at the beginning of 2000 to 8.4 per cent by the end and to 6.5 per cent by December 2001, slightly below the forecast in the Programme. Meanwhile, core inflation, which fell to 3.2 per cent at the end of 2001, also undershot the expectations of the central bank. The fact that inflation outcomes were essentially in line with the Monetary Programmes has contributed to financial market stability as well as confidence in monetary policy. These favourable outcomes were achieved in the context of a shift from loose monetary conditions in 1999 and 2000 towards a neutral position in 2001 (Figure 12). The shift occurred as a result of increases in both real interest rates and the real effective exchange rate since the latter part of 2000. However, the monetary conditions index does not fully reflect the situation in credit markets. The impact of exceptionally low real interest rates was blunted by credit-crunch type conditions, as the restructuring of the commercial banking sector and changes in the supervisory framework reduced banks' willingness to lend, at least temporarily

Table 7. **Monetary Programme of the NBS**

A. Programme and outcomes 2000-2002

	2000 Programme	2000 Outcome	2001 Programme	2001 Outcome	2002 Programme
Headline inflation[1]	8.5 – 9.5	8.4	6.7 – 8.2	6.5	3.5 – 4.9
Core inflation[1]	4.5 – 5.8	4.6	3.6 – 5.3	3.2	3.2 – 4.7
Real GDP growth	2.0	2.2	2.8 – 3.2	3.3	3.5 – 3.8
Current account balance[2]	–5.3	–3.7	–4.0	–8.8	–7.9
Fiscal deficit[2]					3.6

B. Medium-term Programme 2002-2005

	2002	2003	2004	2005
Headline inflation[1]	3.5 – 4.9	7.0	5.2	4.5
Core inflation[1]	3.2 – 4-8	4.0	3.6	3.2
Real GDP growth	3.6	4.2	4.4	4.6
Current account balance[2]	–7.4	–5.6	–4.6	–3.4
Fiscal deficit[2]	3.6	3.1	2.6	2.0

1. End of year figures.
2. Per cent of GDP, fiscal balance is on GFS basis.

Source: National Bank of Slovakia.

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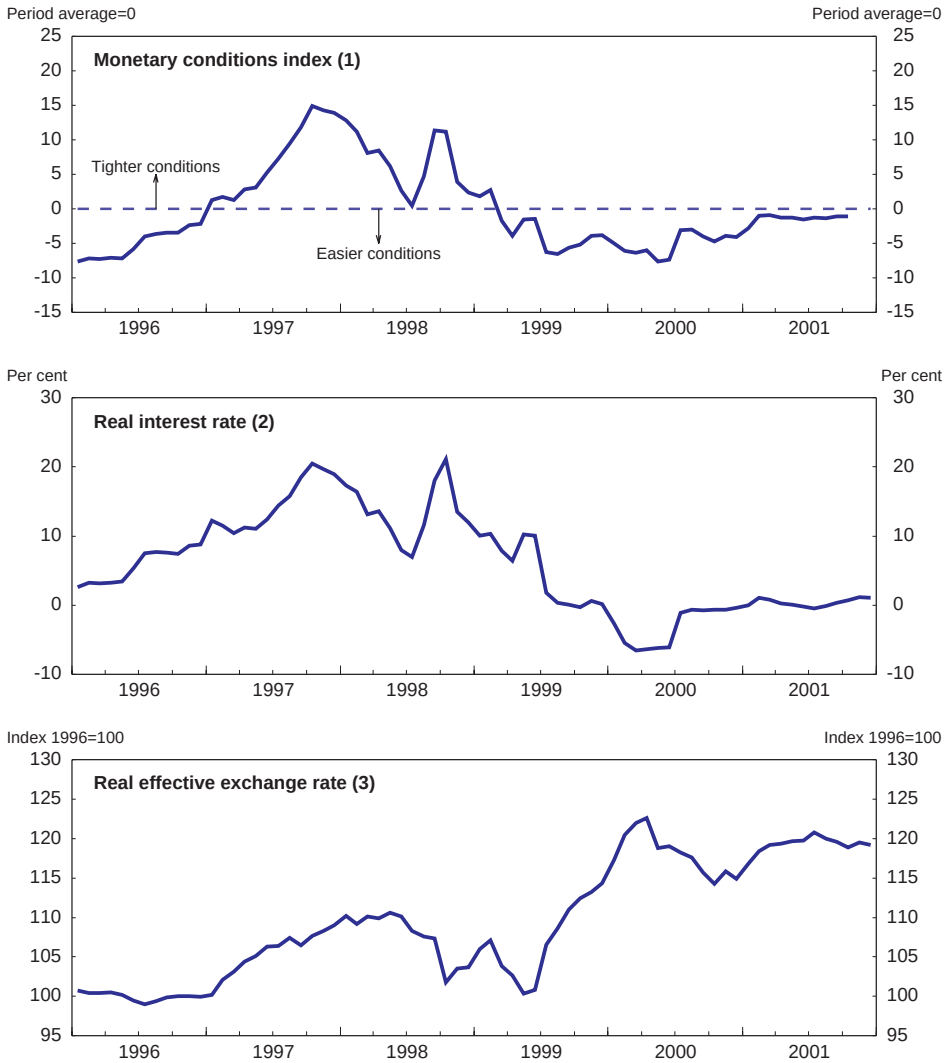
Figure 12. **Monetary conditions**



1. The monetary conditions index is defined as MCI = MCI[t-1] * (1+(r-r[t-1]) + w *(e/e[t-1] –1))
   r = real short-term interest rate, CPI deflated
   e = real effective exchange rate, based on CPI
   w = weight based on share of imports to GDP
   The index is shown as a percentage deviation from the period average. A value higher than zero indicates tighter conditions than on average.
2. Three-month treasury bill, deflated by the CPI.
3. Real effective exchange rate calculated with forty-two countries, based on CPI.

Source: OECD.

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(see Chapter IV). Maintaining low interest rates while meeting the inflation objectives as the economic expansion gathered momentum in 2001 was greatly beneficial as it limited the cost of financing the large government budget deficit and of sterilising inflows of foreign capital.

The decline in interest rates came to an end in 2001

Short-term official interest rates declined in 1999 and 2000 (Figure 13). The NBS cut the overnight sterilisation rate from 15.3 per cent at the beginning of 1999 to 6¼ per cent at the end of 2000, while the two-week REPO tender, which was introduced in May 2000, has also fallen. Short-term market rates closely followed the downward trend in official rates; the three-month interbank interest rate fell from 17.9 per cent in mid-1999 to 8.4 per cent in mid-2000 (Panel B), narrowing the differential *vis-à-vis* EMU countries by more than 11 percentage points (Panel C). In real terms, the short-term rate was negative in 1999 and 2000, falling to as low as minus 7 per cent.[15] However, as noted above, banks pursued prudent lending strategies, as reflected in the sluggish growth in the credit to households and enterprises during the past few years (Table 8). Although it picked up in 2001 from the stagnation recorded in 2000, credit to the private sector fell by over 5 per

Table 8. **Money and credit**
End of period growth rates

	1997	1998	1999	2000	2001
Money supply					
M1	–4.5	–11.4	4.6	21.6	22.1
Currency	12.0	2.3	15.5	16.5	20.9
Demand deposits	–10.0	–17.0	–1.0	24.7	22.7
Quasi-money	18.3	13.3	14.5	12.8	7.3
Time deposits	19.5	6.9	15.4	10.0	6.1
Foreign currency deposits	12.4	45.7	11.1	23.9	11.5
M2	8.8	4.2	11.4	15.4	11.8
Domestic credit	9.4	15.0	5.7	5.9	13.3
Net credit to government[1]	42.7	39.3	8.0	20.5	20.3
Credit to households and entreprises[1]	2.2	6.7	4.5	4.5	5.3
Credit in foreign currency	14.9	25.4	17.6	–3.3	6.3
Memorandum items:					
Nominal GDP growth	13.2	9.4	8.6	8.8	8.7
Income velocity: GDP/M1	4.1	5.1	5.3	4.7	4.2
Income velocity: GDP/M2	1.5	1.6	1.5	1.5	1.4

1. Series adjusted for issues of restructuring bonds and balance-sheet adjustments of closing and restructuring banks.
Source: National Bank of Slovakia.

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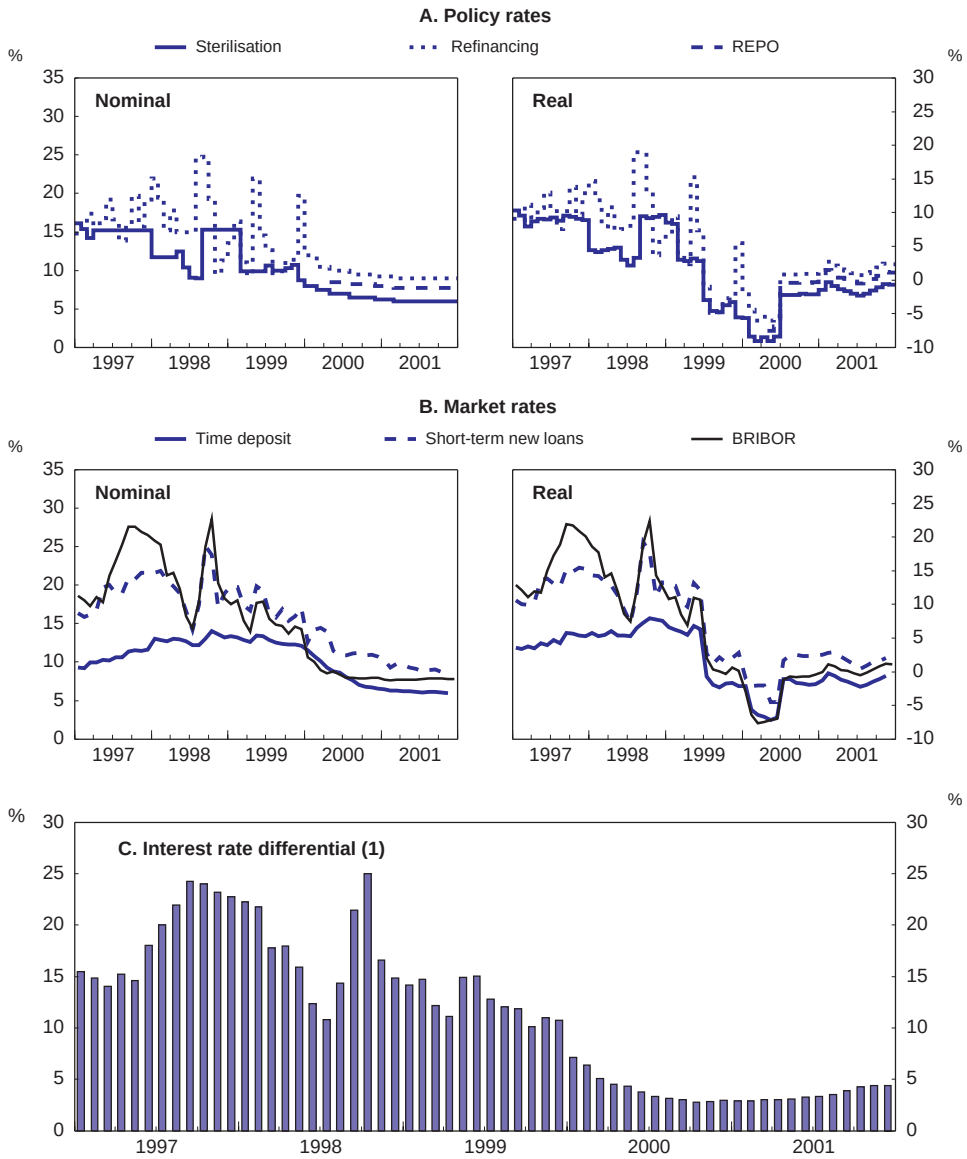
Figure 13. **Interest rate developments**
Year-on-year percentage changes



1. Between three-month BRIBOR and EURIBOR (FIBOR before 1999).
Source: National Bank of Slovakia.

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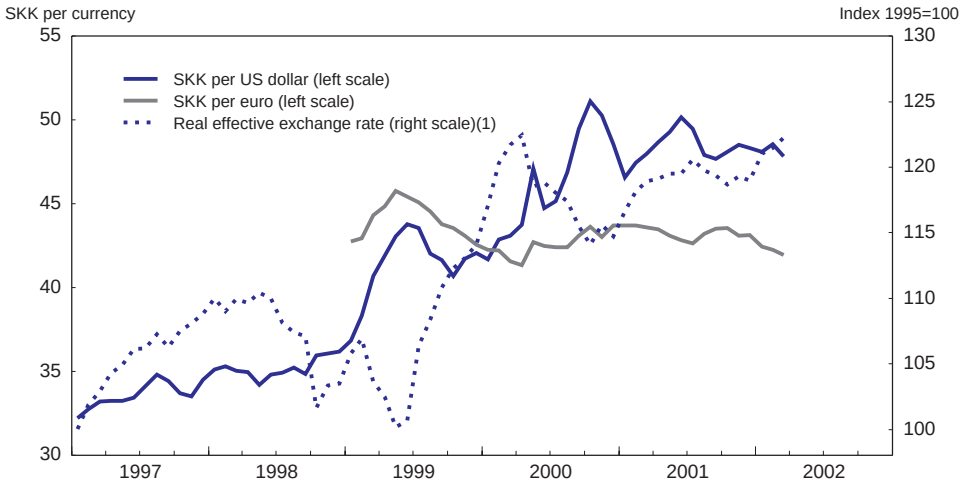
cent in inflation-adjusted terms during the two-year period. The main contribution to money growth from the liabilities side came from a more than 20 per cent rise in net credit to the government in both 2000 and 2001. Money supply growth (M2) fell from 15.4 per cent in 2000 to 11.8 per cent during 2001, well below the 15.9 per cent growth rate contained in the Monetary Programme.

The exchange rate has remained on a gradual upward trend

Following the end of the fixed exchange rate regime in the latter part of 1998, exchange rate policy has aimed at maintaining a stable currency in the medium term through managed floating of the Slovak koruna. This objective was achieved relative to the euro in 2001 (Figure 14), although large FDI inflows and the widening of interest rate differentials resulted in some upward pressure. In December 2001, the exchange rate against both the euro and the dollar was about 1 per cent above its year-earlier level. In real effective terms, though, the currency appreciated by 4½ per cent during 2001, reflecting faster inflation in Slovakia than in its trading partners.[16] The Monetary Programme of the NBS includes a target range for the exchange rate with respect to the euro, but that range is not publicly disclosed. In practice, intervention by the NBS is aimed less at achieving a certain

Figure 14. **Real and nominal exchange rates**



1. Higher values imply appreciation. Calculated *vis-à-vis* forty-one countries using CPI.
Source: OECD.

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level of the exchange rate than at preventing volatility, which can result from inflows of foreign capital, the source of the largest shocks to the currency market. However, the small size of the market[17] allows the central bank to influence the exchange rate with relatively small interventions. To limit the impact of large foreign currency inflows on the currency market, privatisation revenues are deposited directly in a special account at the NBS that is available to the government in Slovak koruna.

Monetary policy in 2002

The Monetary Programme for 2002 envisages a slowdown in headline inflation from 6.5 per cent at the end of 2001 to between 3.5 and 4.9 per cent at the end of this year. The deceleration from 2001, a year when there were large increases in administered prices, reflects the decision to postpone further hikes until after 2002, an election year. As a result, headline inflation is expected to rebound strongly in 2003 as price deregulation resumes (Table 7, Panel B). The assumptions underlying the 2002 Monetary Programme regarding output growth and the current account balance are realistic. Moreover, the 3.6 per cent of GDP figure for the general government fiscal deficit is in line with the target adopted by the Ministry of Finance. However, if the fiscal authorities significantly overrun their targets – and there are risks of that occurring in 2002 (see below) – the monetary authorities may need to tighten policies so as to achieve inflation outcomes that are consistent with the medium-term target. Indeed, the NBS raised official interest rates by 50 basis points to 8.3 per cent at the end of April, but further increases might be necessary.

With core inflation falling to a record-low of 2.6 per cent in April 2002, underlying inflation pressures appear to be under control. The extent of slack in the economy has allowed the sharp increases in administered prices to be absorbed without large secondary effects. Stable official rates in the Slovak Republic over the period March 2001 to April 2002 contrasted with the downward trend in most OECD countries. As a result, the interest rate differential with euro-area countries has widened from less than 3 percentage points in February 2001 to almost 5 in May 2002. Continuing disinflation lifted real short-term rates to zero by the end of 2001. The projected decline in headline inflation in 2002 by about 2 percentage points due to the pause in price deregulation would significantly boost real short-term rates in addition to increases in official rates by the NBS.

Several factors suggest that the NBS may need to tighten monetary policy further at least by 2003. *First*, the expected pick-up in growth in the euro area may lead to tightening by the European Central Bank, which would narrow the interest rate differential. The NBS might need to follow suit to prevent exchange rate

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weakness from adding to inflationary pressures coming from regulated price adjustments. *Second*, the cautious attitude of banks toward lending is fading as they adjust to the new framework. As a result, real interest rates near zero would likely result in excessive money supply growth. *Third*, the large current account deficit raises concern about the strength of domestic demand. While the deficit in 2002 will be financed by privatisation-related inflows of foreign capital, the external deficit may be a potential source of instability in the years ahead. The reduction in domestic absorption would be best accomplished through fiscal

Box 2. Membership requirements for the Economic and Monetary Union

EU member countries seeking accession to the Economic and Monetary Union (EMU) and, consequently the adoption of the euro currency, are first required to join the European Monetary System (ERM II). As a member of ERM II, they must meet the following criteria established in the Maastricht Treaty before being accepted to the euro area:

a) ***Exchange rate stability***. The exchange rate must be kept within a certain fluctuation band for at least two years. The Slovak koruna has been relatively stable with respect to the euro since mid-2000.

b) ***Inflation convergence***. The inflation differential with respect to the average of the three lowest inflation countries in the European Union must be held at less than 1.5 percentage points for some time. The difference in consumer price inflation between Slovakia and the average of euro-area countries was nearly 4 points in 2001.

c) ***Interest rate convergence***. The long-term (ten-year) yield differential with respect to the average of the three countries with the lowest inflation rate must be less than 2 percentage points. The long-term yield in Slovakia was 2.8 percentage points higher than the euro-area average in 2001.

d) ***Fiscal stability in terms of the budget deficit***. The general government deficit must be less than 3 per cent of GDP (measured by ESA95 standards). The deficit in Slovakia on this basis was estimated to be 6½ per cent of GDP in 2001.

e) ***Fiscal stability in terms of public debt***. The general government debt should be less than 60 per cent of GDP or declining at a satisfactory pace. The consolidated gross debt of the general government in Slovakia was well below that limit, at 43 per cent at the end of 2001. However, debt is on an upward trend. Under current fiscal policies, it may reach the limit by 2007 (see Box 4). Using privatisation revenues to reduce debt, however, would delay the point at which the 60 per cent limit is reached.

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policy. However, the signs of slippage in the fiscal targets for 2002 put pressure on monetary policy to stabilise demand.

In the medium term, monetary policy is focused on joining the European Union and its Economic and Monetary Union (EMU). The EU accession process (see Box 10) – in contrast to the criteria for EMU membership – does not set specific requirements for monetary and fiscal policies. Nevertheless, the sustainability of macroeconomic policies is an important element in judging the suitability of a candidate country for EU membership. Moreover, the National Bank of Slovakia has stated its goal that the country join EMU by 2007, which does require the fulfilment of the Maastricht criteria (Box 2). Consequently, monetary policy in the medium term is geared to meeting the inflation and interest rate convergence requirements, as well as exchange rate stability. In this context, the central bank will face the challenge of reducing inflation while allowing relative price adjustments driven by Balassa-Samuelson effects.

Fiscal policy

The stance of fiscal policy

Fiscal performance in the Slovak Republic has been dominated in recent years by large occasional expenditures and revenues that complicate the assessment of the overall policy stance. The most important such budget items have been: revenues from privatisation; redemption of privatisation bonds; the cost of industrial and bank restructuring; the payment of guarantees on government-backed bank loans; and transfers to state funds, notably that for health. Given the size of these operations, the use of different accounting methods results in significantly different outcomes (Table 9). The IMF's "Government Financial Statistics" (GFS) approach, which is used by Slovak authorities to formulate fiscal policy, reports a smaller deficit over the period 1999 to 2001 than does the national accounts approach based on principles of the European System of National Accounts (ESA95).[18] Despite the large differences in the GFS and ESA95 measures of the deficit (Box 3), both methods show a narrowing of the fiscal deficit in 2000 and an increase in 2001. With these caveats in mind, the assessment of fiscal performance below emphasizes the qualitative aspect of fiscal policies. In general, ESA95 figures will be used as they provide a better overall picture of the resources used by the public sector. However, given that the government formulates its policy strategy in terms of GFS figures, that method will be used to review the budget and deficit performance in both 2001 and 2002.

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Table 9. **General government accounts**

Per cent of GDP

	GFS[1]					ESA95				
	1998	1999	2000	2001 budget plan	2002 programme	1998	1999	2000	2001 estimate	2002 forecast
Total revenue	37.5	39.0	36.8	32.9	32.7	53.8	47.6	46.1	46.4	45.8
Current revenue	36.8	38.5	36.2	32.2	32.5	53.8	47.6	46.1	46.4	45.8
Tax and social security contributions	33.7	31.8	32.4	28.4	29.0	36.5	34.4	33.7	33.8	33.5
Non-tax revenue	3.1	6.7	3.7	3.7	3.5	17.4	13.2	12.5	12.6	12.4
Capital revenue[1]	0.7	0.5	0.6	0.5	0.2	..	..	..	..	..
Grants	..	..	..	0.1	..	..	..	..	..	..
Total expenditure	42.1	39.6	41.8	41.0	37.0	58.7	54.2	52.2	52.9	52.2
Current expenditure	35.9	35.6	36.0	36.9	33.4	57.4	50.3	49.1	49.5	48.9
Wages	5.8	5.3	5.2	5.1	5.3	9.6	9.4	9.2	9.2	9.8
Social transfers and subsidies	22.2	22.3	22.9	24.6	21.1	32.3	26.5	26.3	26.1	25.2
Interest payments	2.9	3.2	2.9	2.9	2.7	2.5	3.5	2.9	3.2	3.2
Capital expenditure[2]	6.2	4.0	5.8	4.2	3.6	1.3	3.8	3.1	3.4	3.3
Lending minus repayments	0.0	3.1	–3.1	–4.2	–0.8	..	..	..	..	..
Deficit/surplus	–4.6	–3.6	–2.0	–3.9	–3.5	–4.9	–6.6	–6.1	–6.4	–6.3
Primary deficit/surplus	–1.5	–0.3	1.0	–1.0	–0.8	–2.4	–3.1	–3.2	–3.2	–3.1

1. Including payment of guaranteed loans and privatisation proceeds.
2. Net capital outlays are entered in ESA95.

Source: GFS figures from Government of the Slovak Republic and the European Commission, *Joint Assessment of Medium-term Economic Policy Priorities of the Slovak Republic* (2000); ESA95 from OECD.

Box 3. Fiscal performance is difficult to quantify

An assessment of fiscal policy in the Slovak Republic is complicated by the use of different methods of calculating the government budget position. As noted in the main text, the transition to a market economy has necessitated a number of large exceptional expenditures and revenues. Accounting for these operations is not straightforward and must address a number of methodological issues. These include the length of the imputation period, the use of cash or accrual accounting, the placement of operations above or below the line and whether the coverage is limited to the state (central government) or extends to the general government.

The main differences between the two most commonly used methodologies – GFS and ESA95 – are the following:

- GFS methodology, as used by the Slovak Ministry of Finance, records operations on a cash basis (*i.e.* when cash is received or paid) while ESA95 uses an accrual basis (*i.e.* when rights or value are created). This might result in significant discrepancies when there is an accumulation of arrears on payments or receipts.
- According to GFS, privatisation revenues when sales are conducted for policy purposes are included in *lending minus repayments* and thus reduce the deficit. In contrast, they are recorded as financial operations in ESA95 and have no effect on the fiscal balance.
- GFS treats loans extended by the state, mainly through the National Property Fund, and repayment of principal as *lending minus repayments*, which therefore affect the balance. ESA95 treats them as financial operations, with no impact in the balance.
- The costs of social security contributions for government workers are consolidated out in GFS while they are added to wages and revenues from social security contributions in ESA95.
- GFS figures exclude interest payments on bonds issued to re-capitalise banks prior to their privatisation while they are counted as current outlays according to ESA95.

These definitional differences explain the large discrepancy in the deficit between the GFS and ESA95 measures that is shown in Table 9. In 1999, for example, interest payments on bonds issued for financing bank restructuring (1¼ per cent of GDP per year) were excluded from the GFS fiscal balance. Similarly, a capital injection into banks (2½ per cent of GDP) that year was recorded in the ESA95 figures as a current outlay, while it is not included in GFS figures. These two items account for a large part of the observed discrepancy in 1999 between the two methods. The differing treatment of privatisation revenues was another important reason for the discrepancy. Such revenues amounted to 2.1 per cent of GDP in 1999.

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Overview of the fiscal policy strategy

Although fiscal consolidation has been the central objective of fiscal policy during the past three years, the general government budget deficit on an ESA95 basis was larger in 2001 than in 1998, reflecting bank restructuring costs and the honouring of government guarantees. Spending restraint has reduced government outlays by an estimated 6 percentage points to 53 per cent of GDP in 2001 (Table 9). However, revenues declined by even more – 7½ percentage points – as a result of permanent cuts in tax rates. Consequently, the deficit, on an ESA95 basis, widened from 4.9 per cent of GDP in 1998 to an estimated 6½ per cent in 2001.

The reform of the tax system was aimed mainly at improving the business environment and establishing favourable conditions for faster growth. The key measure was a reduction of income tax rates. The corporate rate was cut from 40 to 29 per cent in 2000, while the personal rate was reduced from 15 to 12 per cent at the lower end. Moreover, the threshold for tax exemption was increased from SKK 60 000 to SKK 90 000 (60 per cent of the average annual income), family allowances were raised and tax brackets were revised upwards. In addition, new income tax exemptions were introduced. Overall, these tax changes reduced tax revenues by about 1½ percentage points of GDP between 1998 and 2001 (Table 10). The decline was temporarily offset in 1999 and 2000 by the introduction of an import surcharge that provided about 1 per cent of GDP in revenue.[19]

Table 10. **Tax revenues and social security contributions**
Per cent of GDP

	1998	1999	2000	2001 estimate	2002 forecast
Taxes	22.5	21.4	21.0	21.0	20.7
Direct	9.3	8.6	7.1	6.9	6.7
Indirect	13.2	12.8	13.9	14.1	14.0
Social security contributions	14.0	12.9	12.7	12.8	12.7
Total revenues	36.5	34.3	33.7	33.8	33.4

Source: OECD.

Wage restraint and lower investment have helped reduce public spending since 1998. However, the decline in total expenditures was limited by extraordinary outlays associated with restructuring of banks and public enterprises and higher interest costs. While restructuring has been expensive, it was necessary to establish a foundation for economic growth. Moreover, it is likely

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to have a considerable payback in coming years by lowering fiscal demands for transfers and subsidies to keep non-profitable enterprises alive. Interest payments increased from 2½ per cent of GDP in 1998 to 3¼ per cent in 2001, despite a significant decline in interest rates. The impact of lower interest rates was more than offset by the increased stock of debt, resulting from both large fiscal deficits and from the assumption of the debt of public banks and enterprises.

Fiscal policy loosened in 2001

In 2001, the reduction in revenue – due to the removal of the temporary import surcharge and a second round of income tax cuts – was not accompanied by an equivalent adjustment on the expenditure side. As a result, the general government deficit (on a GFS basis) widened by almost 2 percentage points of GDP (Table 9). The general government budget includes the state (central) government and local government budgets, as well as the social security funds and other extra-budgetary funds (Table 11). The social security funds – for health, unemployment, pensions and sickness – are operated, in principle, on an insurance basis. These are separate from social assistance, which is part of the state budget.[20]

The state budget recorded a deficit of 3.8 per cent of GDP. However, if bank-restructuring costs were included, the deficit would have been 4.6 per cent, as is shown in Table 12. This outcome masks significant differences in the

Table 11. **General government expenditure by components**

Per cent of GDP

	1998	1999	2000	2001[1]
State[2]	20.7	20.2	21.1	21.0
Social security funds	15.0	14.9	14.8	14.6
Health[3]	5.2	5.3	5.2	5.0
Social insurance[3]	9.1	9.0	9.0	8.8
Employment[3]	1.1	1.1	1.0	0.9
Local governments	3.3	2.8	2.8	2.8
Other extra-budgetary funds	2.7	1.5	3.1	4.1
Consolidated general government	41.9	39.6	41.8	42.6

1. Preliminary estimates.
2. Excludes bank restructuring financial costs.
3. Non-consolidated. Social insurance refers to pensions.

Source: Ministry of Finance.

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Table 12. **State budget performance**
Per cent of GDP

	1999	2000 plan	2000 outcome	2001 plan	2001 outcome	2002 plan
Total revenues	**26.7**	**20.7**	**24.1**	**18.7**	**21.3**	**20.6**
Tax revenues	19.7	18.6	19.6	16.4	17.1	17.0
of which:						
Income tax	3.7	3.0	2.9	2.9	2.9	2.7
Corporate tax	2.7	2.8	2.8	1.9	2.1	2.1
VAT	7.2	7.1	8.0	6.7	7.6	7.7
Excise tax	3.1	3.0	3.2	3.0	2.9	2.9
Property tax	0.2	0.2	0.2	0.2	0.2	0.1
International trade tax	1.5	1.4	1.5	0.4	0.4	0.3
Property tax	1.2	1.1	1.1	1.3	1.0	1.0
Non-tax revenues	6.8	2.1	4.3	2.2	4.0	2.7
Revenue from loan repayments	0.3	0.1	0.2	0.1	0.2	1.0
Total expenditure	**28.8**	**22.7**	**27.2**	**22.6**	**25.9**	**24.2**
Current expenditures	22.8	21.2	22.9	20.9	22.1	21.0
of which:						
Wages and salaries	4.7	4.5	4.5	4.4	4.4	4.6
Insurance contributions	1.6	1.6	1.6	1.6	1.6	1.7
Goods and services	3.3	2.9	3.5	3.0	3.7	3.2
Grants to entrepreneurs	1.7	1.4	2.2	1.3	1.3	1.2
Grants to local budgets	0.2	0.2	0.2	0.4	0.3	0.4
Contributions to state funds	1.5	1.0	1.2	0.9	1.6	0.2
Social benefits	3.5	3.0	3.4	3.0	3.2	2.8
Interest payments	2.7	2.8	2.5	2.5	2.1	2.6
Other current expenditures	3.6	3.6	3.6	3.9	4.0	4.4
Capital expenditures	2.6	1.5	2.9	1.6	2.9	3.1
Credits and loans	**3.4**	**0.1**	**1.5**	**0.1**	**0.9**	**0.0**
Overall balance[1]	**–2.1**	**–2.0**	**–3.1**	**–3.9**	**–4.6**	**–3.6**
Memorandum item:						
Balance excluding interest payments on bank restructuring debt	..	..	–2.2	..	–3.8	..

1. Expenditures incurred for bank restructuring are not included in the budget plans.
Source: Ministry of Finance.

performance of outlays and revenues relative to the initial budget. On the revenue side, the outcome was 2.6 per cent of GDP higher than expected. About a quarter of the gap was due to unexpectedly buoyant tax revenues, which did not contract as much as anticipated following the cuts in rates. But the most important cause of overshooting was non-tax revenues, including transfers from extra-budgetary funds.

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Larger than anticipated revenues were offset by overruns in expenditures and in credit and lending, which consists of financial assistance in the form of repayable loans provided by the state to other government units, notably the health funds.[21] On the expenditure side, the overshooting of budget targets included 0.8 per cent of GDP spending on the financial costs of bank restructuring – not included in the budget plan – as well as 2.5 per cent of GDP overrun in current and capital expenditures. The latter was mainly due to road construction. As for current expenditures, the main sources of slippage were transfers to social security funds and spending for goods and services.

With the state budget and the other components of the general government meeting their deficit targets, the 3.9 per cent objective (which excludes the financial costs of bank restructuring) established in the Staff Monitored Programme (SMP), discussed in Box 1, appears to have been met. There is still some uncertainty, though, as this is on the basis of preliminary figures.[22] However, even if the target was met, it does not fully represent the extent of the fiscal imbalance. As noted in Box 3, the GFS balance includes privatisation revenues while excluding repayment of government-guaranteed bank loans, interest on bonds issued for bank restructuring and the assumption of debt by health and pension funds. An estimate of the deficit on the basis of ESA95 methodology suggests a much larger imbalance of 6½ per cent of GDP in 2001 (Table 9).

The fiscal stance in 2002

The SMP deficit target for the general government budget in 2002 is 3 to 3½ per cent of GDP on a GFS basis. The authorities envisage a state budget deficit of 3.6 per cent of GDP, a reduction of about ¼ of a percentage point from 2001. Thus, meeting the SMP deficit objective implies that a surplus, albeit small, has to be generated by the other components of the general government, namely the social security funds and the local and regional governments. The 2002 budget is based on realistic macroeconomic assumptions; real GDP growth of 3.6 per cent, average consumer price inflation of 6.7 per cent and a rate of unemployment of 18.9 per cent, which is close to the figure at the end of 2001, according to the labour force survey.

The inclusion for the first time of ten state funds in the 2002 state budget makes it difficult to compare it with the 2001 budget. To ensure comparability, the consolidated revenues (1.1 per cent of GDP) and expenditures (3.1 per cent) of the ten state funds in 2001 can be added to the initial 2001 state budget. On this basis, the 2002 state budget plan incorporates a 1¾ per cent of GDP rise in revenues and a ½ per cent of GDP decline in expenditures. Therefore, the budget contains some tightening of the fiscal stance, albeit rather modest considering the strength of the cyclical upswing.

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There are risks, though, to the projections for both revenues and expenditures in the state budget for 2002 that make it unlikely that the deficit target will be achieved, although tax revenues for the first four months of the year surpassed the budget plan. However, non-tax revenues are likely to be 1½ per cent of GDP lower than budgeted for two reasons. *First*, expected profits from the central bank are not likely to be realised. *Second*, revenues from the National Property Fund and from the sale of mobile telephone licences have been reclassified as financing items instead of current revenues. As for expenditures, there is a risk of overruns of between ½ and 1 percentage point of GDP, mainly in social assistance and the government wage bill. In the 2002 initial budget, social assistance is projected to fall by ¼ of a percentage point of GDP with respect to the 2001 plan and by ½ of a percentage point of GDP with respect to the outcome. Social spending is the only item expected to decline in 2002, other than the contributions to the state funds that have been integrated into the state budget. Given that no reduction is anticipated in the unemployment rate, such a fall in social assistance appears unrealistic in the absence of an overhaul of the system, and no such reform has been announced. The budget includes a 15 per cent increase in the wage bill, which is significant in real terms given that inflation is projected to be less than 6 per cent. The outcome might be even larger, given that the introduction of a new Civil Service Act entails an upward revision of wage rates that is expected to increase the state wage bill by 25 per cent effective in July 2002. Moreover, there are risks regarding outlays that were previously recorded as contributions to state funds, as the decline in that item by 0.7 percentage points of GDP with respect to the 2001 budget plan and by 1.4 with respect to the 2001 outcome, is not compensated by similar increases in other items. Increasing the efficiency of spending has been put forward as a way to limit the rise in outlays, but no specific proposals have been presented.

Recognising the risks of spending overruns and non-tax revenue shortages, the government decided in April 2002 to cut expenditures on highway construction by SKK 1 billion and spending on the government information network by SKK 0.7 billion. It was also decided to record an advance tax payment of SKK 0.5 billion on the revenues from the privatisation of SPP and to place those revenues on a remunerated account in the NBS which would earn SKK 0.7 billion in interest. Moreover, the government stated its commitment to cut discretionary spending up to 3 per cent (about SKK 2 billion), if necessary, to contain budget slippage with respect to the SMP target.[23] However, the overall impact of these measures would amount to about ½ percentage point of GDP compared to the likely slippage of 2 to 2½ per cent of GDP due to spending overruns and non-tax revenue shortfalls. If additional measures are not taken, the deficit may exceed 5 per cent of GDP in 2002.

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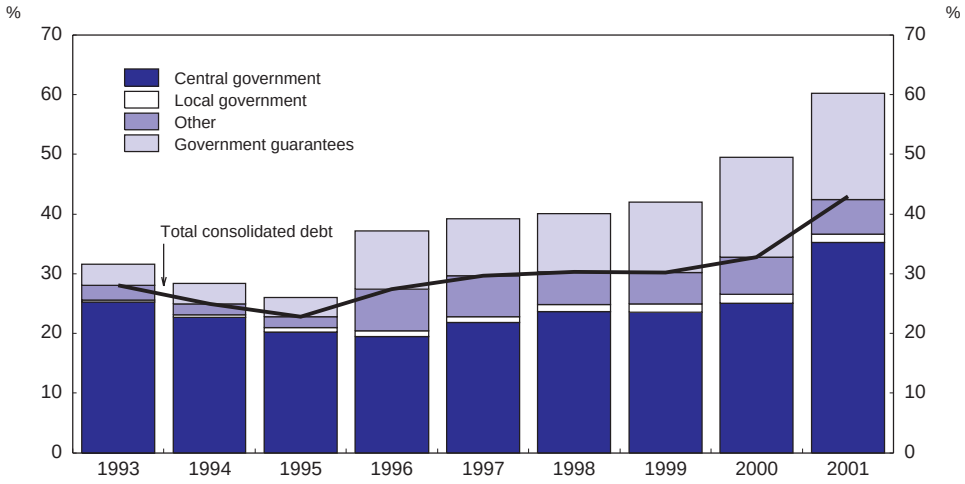
The implications for public debt

Gross public debt, excluding liabilities of the National Property Fund, jumped from 32 per cent of GDP in 1999 to 43 per cent by the end of 2001 (Figure 15), as a result of budget deficits and restructuring costs. A continuation of recent trends would probably boost the debt ratio to above 60 per cent of GDP by 2007 (Box 4). On top of the public debt, a large and growing stock of state guarantees on bank loans constitute potentially large contingent liabilities. Guarantees are mainly provided to state-owned enterprises, such as Slovak Railways and the electricity-generating company, which have financial difficulties. Despite an agreement in the SMP to reduce the amount of outstanding guarantees, they actually increased from SKK 148 billion in 2000 (15 per cent of GDP) to SKK 173 billion (18 per cent) in 2001. As most guarantees back short-term bank loans, this has created a vicious circle. Troubled enterprises request new guarantees in order to keep rolling over existing loans and to cover additional financial losses. The government, hoping to prevent existing loans from becoming delinquent, continues to provide new guarantees. One way out of this circle is the restructuring of the enterprises receiving the guarantees, although this is likely to be costly in the short run.

Figure 15. **Gross general government debt**
As per cent of GDP



Source: National Bank of Slovakia.

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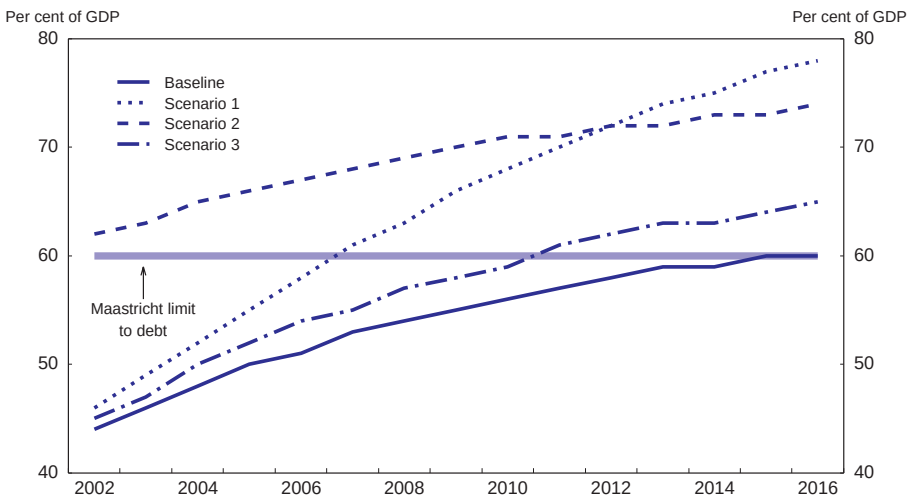
Box 4. The outlook for public debt

The evolution of public debt under steady state assumptions for fiscal policy and economic performance illustrates the sustainability of the stock of debt. A calculation for the Slovak Republic based on the assumption that the fiscal stance and economic performance expected in 2002 will prevail in the future shows that the debt to GDP ratio would rise to just above the 60 per cent limit established in the Maastricht Treaty before stabilising (Figure 16). However, economic circumstances are likely to be especially favourable in 2002. In particular, nominal GDP growth is expected to be two percentage points higher than interest rates. Any deterioration in fiscal performance, increase in financial costs or slowdown in the rate of growth implies a deterioration in the debt situation.

Figure 16. **Debt dynamics**

Steady state calculations showing evolution of public debt



Note: The assumptions underlying steady state debt calculation, in per cent of GDP, are :

	Baseline	Scenario 1	Scenario 2	Scenario 3
Debt stock in 2002	42.0	42.0	60.0	42.0
Primary balance	-3.0	-3.0	-3.0	-3.5
Interest costs on existing debt	3.2	3.2	4.4	3.2
Nominal GDP growth (per cent)	10.7	7.0	10.7	10.7
Interest on new debt	8.0	8.0	8.0	8.0

Source: OECD.

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Box 4. **The outlook for public debt** (*cont.*)

Three calculations are conducted to demonstrate the sensitivity of debt dynamics to economic performance, the initial stock of debt and the fiscal policy stance:

- The first scenario assumes that nominal GDP growth slows from 10.7 per cent to 7 per cent. This is a likely outcome, as inflation may decelerate by as much as 5 percentage points while growth is unlikely to pick up by more than one or two percentage points in the medium term. In this case, the debt to GDP ratio may exceed the 60 per cent limit in 2007 and shows no sign of stabilising over the next 15 years.
- In the second scenario, all government-guaranteed debt held by enterprises is taken over by the government. While this is a worst-case scenario, it is likely that a significant share of this burden, in fact, will be paid by the government. In this scenario, the debt ratio tends to stabilise at a high level of nearly 75 per cent.
- The third scenario assumes a larger primary deficit of 3.5 per cent of GDP, which is the average recorded for the period 1996 to 2001. This leads to a rise in the debt ratio to above 60 per cent by 2011, before stabilising at around 65 per cent of GDP.

In each scenario, all key variables – nominal GDP growth, primary deficit, interests payments as a share of GDP and interest rates on new debt – are kept at 2001 levels, except for the particular variable that is assumed to vary in the scenario.

Improvements in the fiscal framework

Progress in budget preparation and implementation

Considerable progress has been made in improving the budgetary process and in regaining control of its implementation. The authorities have introduced improved methods to project spending and revenue items to help in budget preparations, and assumptions regarding exogenous economic variables are made explicit. Nevertheless, discrepancies between budget plans and outcomes continue to be large. As noted above, the deficit target in 2001 was met thanks to symmetric overruns in revenues and expenditures (excluding financial costs of bank restructuring), demonstrating the need for further improvement in the models and procedures used for projecting budgetary outcomes, as well as for more realistic assumptions on exogenous variables. In addition, a state treasury system is being implemented in 2002 to further enhance control of budget implementation by allowing the recording of expenditures at the commitment stage. It should

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also facilitate a monthly follow-up of government transactions. The transparency of fiscal operations will also be improved by the plan of the Ministry of Finance to publish monthly updates on state budget developments.

Since 2001, the Budget Act requires a medium-term fiscal programme, which provides a guidepost for achieving convergence with the fiscal criteria for joining the euro area. The medium-term outlook contained in the 2002 budget projects a fall in the general government deficit from 3.5 per cent of GDP in 2002 to 2½ per cent in 2004 (Table 13). Such a decline would only be possible if the budgets for the social security funds and the regional and local governments were to be balanced, starting in 2002. Balancing these budgets would require prompt implementation of the reforms of the pensions and health systems currently under discussion (see below). Reforms are also needed to ensure that local governments balance their budgets. Given the range of changes that are needed, achieving the medium-term fiscal targets will require an intensification and acceleration of reform efforts.

Table 13. **Medium-term general government fiscal programme**[1]

Per cent of GDP

	2000	2001 Budget	2002[2]	2003[2]	2004[2]
Total revenue and grants	36.8	32.9	32.7	30.2	29.3
Total revenue	36.8	32.7	32.7	30.1	29.2
Current revenue	36.2	32.2	32.5	29.8	29.0
Tax revenue	32.4	28.4	29.0	27.0	26.1
of which:					
Taxes	21.2	17.9	18.4	17.2	17.0
Social security contributions	11.2	10.5	10.6	9.8	9.1
Non-tax revenues	3.7	3.7	3.5	2.9	2.9
Capital revenues	0.6	0.5	0.2	0.3	0.3
Grants	0.0	0.1	0.0	0.0	0.0
Total expenditure and lending minus repayments	38.7	36.8	36.2	33.2	31.8
Total expenditure	41.8	41.0	37.0	33.1	31.7
Current expenditure	36.0	36.9	33.4	30.4	28.9
of which:					
Wages	5.2	5.1	5.3	5.0	5.0
Goods and services	4.9	4.3	4.3	4.0	3.9
Subsidies and other current transfers	22.9	24.6	21.1	19.0	18.0
Interest payments	2.9	2.9	2.7	2.4	2.0
Capital expenditure	5.8	4.2	3.6	2.7	2.9
Lending minus repayments	–3.1	–4.2	–0.8	0.1	0.1
Surplus/deficit	–2.0	–3.9	–3.5	–3.0	–2.5
Primary surplus/deficit	1.0	–1.0	–0.8	–0.6	–0.5

1. GFS methodology. Bank restructuring financial costs are excluded.
2. The targets in the programme.

Source: Government of the Slovak Republic and the European Commission, *Joint Assessment of Medium-term Economic Policy Priorities of the Slovak Republic* (2000).

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Some progress in consolidating government accounts

The inclusion of nine out of the twelve extra-budgetary funds into the state budget in 2002 represents a major improvement in fiscal management. This step will increase transparency as well as improve control of budget execution by preventing arbitrary increases in spending and revenue through transfers from the state budget to the funds and, in some cases, the return of those revenues. Moreover, the decision to include the Road Fund in the state budget entails a more transparent multi-year budgeting of road construction, thus limiting the scope for discretionary increases in outlays for this purpose.

It is essential to make consolidated general government accounts available on a more timely basis to enhance the transparency of the budget and improve spending control. The accounts of the social security funds, which include health, employment, pensions and sickness, and those of local governments are known with considerable delays. This is problematic as they account for a large share of general government expenditures, revenues and deficits. Indeed, the last published budget figures, both on a GFS and an ESA95 basis, are for 1999. The creation of regional governments (see below), which entails the withdrawal of additional expenditures from the state budget, makes the timely availability of consolidated accounts even more important. Hospital and social assistance expenditures, which are now the responsibility of regional governments, have a tendency to grow very rapidly. Indeed, social assistance spending increased at an annual average rate of 22 per cent during the past five years.

Major challenges to controlling government expenditures

The fiscal deficit is still large and unlikely to decline without further reform. As noted above, tax rates have been reduced, but there is a need to further lower tax pressure in order to improve the business environment. In contrast to the more permanent nature of the tax changes during the past few years, the reduction in spending is largely due to wage restraint and lower infrastructure investment. Given that there is continual pressure for increased spending in these areas, it may be difficult to hold government spending in check on a permanent basis. For example, much of the reduction of investment spending in 1999 came from the elimination of wasteful projects and efforts at rationalisation. In the future, though, infrastructure needs are likely to call for increased investment.

In addition, extraordinary expenditures are still likely to be incurred for some time. For instance, a substantial portion of the large stock of government-guaranteed loans – 18 per cent of GDP in 2001 – may have to be honoured at some point. Slovak Railways, in particular, has become an increasing drag on the public budget, with transfers and subsidies amounting to 0.4 per cent of GDP in 2001. Moreover, a large amount of government-guaranteed bank loans (about 1 per cent of GDP in 2001) needs to be renewed or serviced by the government. The high

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and growing debt of Slovak Railways, which has reached 6 per cent of GDP, is also a source of concern as it is likely to become an additional liability for the government. In addition to these issues, the authorities face two important challenges in controlling spending – the creation of a new layer of government at the regional level and the social security and social benefit systems.

A new layer of government has been introduced

Following elections in December 2001, eight new regional government and parliaments began operating in January 2002. The regional governments and parliaments are responsible for territorial development policy, secondary education, public hospitals, social assistance, and tourism-related policies. Financing arrangements are still temporary and not fully clarified. In 2002 and 2003, a direct transfer from the state to the regional governments will provide the necessary resources. Transfers will take place through each line ministry based on agreements to limit expenditures to the specified purpose. After 2003, the authorities envisage allowing the regions to participate in state taxes, perhaps through a surcharge on the national income tax.

Fiscal decentralisation, if correctly implemented, will contribute to increased efficiency of public spending. However, as experience in other OECD countries shows, the design of decentralised fiscal relations is extremely complex and there are non-negligible risks involved. To achieve the efficiency gains, the central government should make sure that the transfer of responsibilities is accompanied by the provision of sufficient financial resources, while at the same time providing the regional authorities with the autonomy to decide on their allocation. Incentives to promote responsible fiscal management are essential. In particular, the central government should ensure that the transfer of responsibilities is accomplished in a way that prevents wasteful duplication of human and capital resources. Moreover, regional budgets should also be made transparent and subject to hard constraints.

The most difficult task is the reform of the social security and social assistance systems

Such spending pressures make it crucial to reform the social security and social assistance systems, which have been the most important factors driving spending. Indeed, the rapid growth of spending by these programmes raises questions as to their sustainability and rationality. The SMP contains a timetable for the formulation of reforms of the pension and health systems. Such measures have been debated in Parliament for some time, but the impetus to push forward on reforms is recently fading and there is a risk of serious delays. Discussion about changing the social assistance system, which is not included in the SMP, is at a relatively early stage and no proposals have been sent to Parliament. Reform of the health, pension and social assistance systems is not only urgent to make the pub-

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lic budget structurally sustainable, but also to remove elements of those systems that distort the labour market and, ultimately, weaken the overall performance of the economy (see Chapter III).

One priority is to reconsider and clarify the relationship between the government and the social security funds, which are independent institutions directed by tripartite bodies that manage their own accounts. As the government is only one of three groups in the tripartite framework, the priorities of the funds' governing boards may be different from those of the government in running the social insurance programmes. Fiscal discipline may not be a high priority for the managers of the funds, which operate under government guarantees and receive direct state budget transfers to cover at least part of the deficits. Subjecting the operation of the funds for pensions, health, unemployment and sickness to hard budget constraints would ensure that they are run as insurance systems, as intended. The government is currently taking over a large portion of the debt accumulated by the health funds to help put them on a sounder basis. This has perverse implications for management incentives even though part of the debt accumulation is attributable to large arrears in contributions by public enterprises (see below). In short, the funds need to operate under hard budget constraints to ensure more responsible budget management.

- Reform of the pension system is being considered

To reform the pension system, the government sent a new Act on Social Insurance to the Parliament, where it remains under discussion. At present, a 28 per cent contribution rate is used to finance a pay-as-you-go pension programme. The Act envisages the gradual introduction beginning in 2004 of a funded system, which would be financed by shifting 3.7 percentage points of the 28 per cent contribution rate. The contribution rate for this second pillar would gradually rise to 9 per cent. The government plans initially to contribute one-half of the revenues from the privatisation of the gas utility SPP in 2002 – SKK 65 billion – to accelerate the development of the funded system. An additional SKK 100 billion may be contributed from future privatisation revenues. A third pillar based on voluntary contributions already exists. The Act introduces other changes such as gradually increasing the retirement age for female workers to 60 years from the current range of 53 to 57 (depending on the number of children) and abolishing the possibility of early retirement.

The current pension system is not sustainable and reform is urgent since the population may begin to decline as early as 2010. Given the scope of the problem, the government proposal is rather modest. The second pillar would play only a marginal role even after the reform is complete. Moreover, there are a number of problems in the first pillar that are neglected in the proposals currently under discussion. *First*, its actuarial fairness is undermined by using the system as

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a social welfare programme to ensure minimum incomes to the elderly. To the extent that the first pillar is an insurance scheme, a minimum actuarial balance should be respected even if payments are made on a pay-as-you-go basis. This would require taking the portion of pensions covering social assistance out of the social insurance budget and financing it explicitly by general taxation. S*econd*, eligibility requirements should be re-examined and conditions tightened. In particular, unemployed workers should not accumulate pension insurance rights and the transfers made by the National Labour Office on behalf of unemployed workers should be put to other uses (see Chapter III). T*hird*, the retirement age of both men and women should be raised to at least 65, the standard age in most OECD countries.

- The healthcare system also needs serious reform

The Slovak healthcare system aims to offer universal coverage of the population at a reasonable cost through compulsory social health insurance. Inefficiencies in the system, combined with misdirected incentives and the absence of hard budget constraints, however, have led to chronic financial problems. Furthermore, the palliative measures adopted to deal with spending pressures have led to inequality of access. As a result, even though the overall health spending level is commensurate with the national income level, there appears to be general dissatisfaction with the system.

As with the pension funds, the healthcare system has been in deficit since 1993 and accumulating debt. The government has earmarked SKK 3.7 billion of privatisation revenue to write off part of this debt in 2002. While debt reductions provide temporary financial relief to health funds and public hospitals, they are not solutions to the fundamental problems in the current system. Further debt relief should therefore be made conditional upon the implementation of a systemic reform that would address the following issues, many of which pertain to basic ingredients of a workable social health insurance system.

First, there will have to be a clarification of the health risks that are covered by social insurance.[24] A very wide coverage of basic benefits has no doubt been a factor behind excess demand for healthcare services. Excess demand has been partly dealt with through informal payments to service providers, thereby causing inequality of access that penalises those who cannot afford such payments. A narrower definition of a basic benefit package will also open an avenue for more explicit financing of additional services, such as better amenities in hospital rooms, from private sources.

Second, a clear direction should be chosen for the organisation of insurance funds.[25] If their role is to continue to be limited to the collection of premiums and payment to service providers, then there is no gain from plurality. Two options are open for Slovakia. One is to maintain a plurality of insurance funds

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and move towards a model of competing funds as in Germany. The other is to form a single national fund as in France and more recently in Korea and make an appropriate use of the monopsony power *vis-à-vis* the service providers. The former requires a sophisticated regulatory regime to deal with the tendency for competing funds to look for healthy subscribers (so-called cream skimming) as well as to operate an appropriate risk equalisation transfer mechanism between the funds, an inherently difficult task.[26] The latter requires strong governance of the fund and a management approach that would counter the tendency towards bureaucratisation.

Third, methods of payment to service providers should be changed so as to give them appropriate incentives. For primary doctors, the current per capita payment tends to encourage under-provision of services and cost shifting to specialist doctors, which is not desirable given the relative abundance of general practice doctors.[27] Hence, to promote the more effective use of primary doctors and alleviate the burden on specialists, the introduction of a mix of capitation and fee-for-service payments is necessary. The ambulatory care provided by specialists can continue to be paid on the basis of fee for service. Increasingly, however, payment on the basis of a Diagnostically Related Group should be adopted in tandem with the development of standard clinical practice guidelines. As for much of the in-patient care, inclusive payments of various kinds should become normal practice.

Fourth, public hospitals that currently provide most of the in-patient care need to be revamped. A decision has already been made to transfer these hospitals to the newly-created regional governments. This provides an opportunity to transform public hospitals into independent agencies with their own governing boards, industrial relations and financial responsibility.[28] Their revenues should come primarily from payments for service provision, with subsidies limited to those public service activities that are not covered by social insurance. Finally, the establishment of an efficient information system is a key to a well-functioning healthcare system. Comprehensive, up-to-date information is necessary for financial transactions, medical acts and health outcomes.

The government has taken steps to reform the system. F*irst*, a new Health Insurance Act has been submitted for Parliamentary approval. This Act introduces supplementary insurance as a way of boosting the resources available to the health sector. S*econd*, methods of payment to service providers were modified in January 2002. Special compensation for preventive care was introduced for primary care doctors. For institutional care, contract-based compensation was introduced, linked to an average time to attend a patient as well as a standard bed utilisation per medical speciality recommended by the Ministry of Health. T*hird*, a legal framework was established to regulate drug prescription, which aims at reducing expenditure on drugs, which currently accounts for a disproportionately high share of total health spending. Finally, as noted, state health-service institu-

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tions are being reformed. Overall, these steps are in the right direction but remain work in progress.

Large privatisation proceeds will help implementing reforms

During the next several years, the government expects to receive large privatisation revenues, which provide an opportunity to undertake costly reforms without an immediate budgetary impact. As discussed above, the privatisation of the gas utility brought in SKK 130 billion. Half of this amount is already committed to accelerate the creation of the second pillar of the pension system. The remaining funds are to be used to clean up the debt accumulated by health insurance funds, which are currently overburdened by financial costs, and to reduce other government debt, preferably external debt. The privatisation of other large state-owned enterprises – notably the electricity generating and distribution companies – is likely to provide additional revenue in the latter part of 2002, although the privatisation of the electricity generator will require considerable up-front expenditures. These should also be used to reduce government debt, as the authorities promised in the SMP. One priority should be the redemption of the SKK 105 billion of bonds issued for bank restructuring, which require interest payments of over 1 per cent of GDP per year. Additional funds are also needed to capitalise the second pillar of the pension fund. The total amount is likely to be around SKK 150 billion (including the approximately SKK 65 billion from the privatisation of the gas utility). Finally, restructuring of the Slovak Railways may also require large expenditures.

While large privatisation revenues can facilitate major reform, there is a strong temptation to use them for current spending, thus easing budgetary constraints and the urgency of reform. The anticipation of large privatisation revenues may already be reflected in some complacency on the part of fiscal authorities regarding the rapid accumulation of debt. It is important that the authorities stick to their commitment to use privatisation funds to reduce the debt. Under current policies and conservative estimates for Slovakia's growth potential, gross public debt as a proportion of GDP would continue to rise rapidly towards the Maastricht limit (see Box 4).

Assessment

The expansionary stance of both monetary and fiscal policies helped spark an economic recovery in 2001, with growth projected to pick up to 4 per cent in 2002. Looking ahead, the medium-term programmes for monetary and fiscal policies have established the goals of high economic growth, lower inflation and a smaller current account deficit. Simultaneously achieving these objectives will necessitate a mix of fiscal tightening and flexible monetary policy. Achieving the right policy mix also has important implications for the exchange rate, since it is

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sensitive to both the interest rate differentials between Slovakia and EU member countries and the confidence effects of fiscal policy developments. Moreover, the Slovak Republic has placed considerable emphasis on joining the European Union and eventually the euro area. Attaining these objectives depends, in part, on achieving convergence in the inflation rate with EU countries and on bringing the budget balance into line with the criteria established in the Maastricht Treaty. Reducing the budget deficit would also stabilise the rising public debt to GDP ratio at below the 60 per cent level.

One priority is thus to end the loosening of fiscal policy that occurred in 2001, in part to reduce pressure on the external balance. In the medium term, lowering the government deficit to the target of 2 per cent of GDP by 2005 represents a major challenge. Attaining this objective would be facilitated by improving tax administration and broadening the tax base (although recent changes in the personal income tax and the inheritance tax have had the opposite effect of narrowing the tax base). While broadening measures would have a positive effect on revenues, without raising tax rates, the priority should be to reduce the growth of spending. This, in turn, would require fundamental reform of social expenditure programmes. Slowing the growth of public expenditures, which still amount to over one-half of GDP (on an ESA95 basis), would encourage efficiency gains and permit further reductions in tax rates and social contributions, which exacerbate the unemployment problem by creating serious disincentives for work.

Despite the importance of deficit reduction, most recent data indicate that the 2002 deficit target will not be met. Spending overruns and a shortfall in non-tax revenues are likely to increase the deficit on a GFS basis despite the buoyant recovery. Moreover, GFS is not the most appropriate measure of the government's financial position, as it has allowed some privatisation revenues to reduce the underlying budget deficit in the past. On top of that, it does not include some expenditures, such as those for bank restructuring or honouring loan guarantees, which are included in the ESA95 measure. In addition to the budget deficit, government guarantees continue to rise, thus increasing the amount of contingent liabilities and future demands for public outlays.

It is important to advance fiscal consolidation as that would reduce the need for monetary policy tightening, which would tend to boost the exchange rate and reduce competitiveness at a time when export growth is important to sustain the expansion. However, failure to reduce the budget deficit might also weaken foreign confidence and discourage capital inflows, which would tend to weaken the Slovak koruna. The NBS, given its mandate to reduce inflation and ensure stability of the currency, would then be obliged to raise interest rates further. In any case, higher interest rates would impose a significant burden by raising the cost of financing public debt and making the sterilisation of capital inflows more expensive.

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III. The labour market: addressing high unemployment and developing human capital

High and persistent unemployment during the transition to a market economy has been a major economic and social problem for the Slovak Republic. At 19 per cent, the unemployment rate is currently among the highest in the OECD area, while the employment to population ratio is one of the lowest (Figure 17). The under-utilisation of labour lowers the country's growth potential and long unemployment spells are eroding human capital. Given the slow pace of job creation and the low probability of finding jobs, many working-age persons have left the labour force and rely on the extensive social safety net. The absence of a time limit on the duration of income support tends to perpetuate the problem.

As noted in the OECD *Jobs Study*,[29] the principal cause of unemployment is the failure to adapt effectively to rapid structural change. To improve labour-market performance, it is necessary to identify the institutions, regulations, practices and policies that weaken the capacity of a country to adapt. In the Slovak Republic, policy priorities should target reforms in diverse areas, including the social welfare system, the housing market, the education system and the entrepreneurial climate, as well as in labour market policies and wage-setting practices. At the same time, appropriate macroeconomic policies, notably fiscal consolidation, are needed to create a stable environment to promote growth of private investment, output and employment and attract foreign direct investment (see Chapter II). Although some measures have already been implemented and additional steps are under consideration, it is essential that action be taken simultaneously across a wide range of areas since any reforms pursued in isolation would be unlikely to lower unemployment significantly.

The objective of this chapter is to provide specific recommendations for the Slovak Republic based on the strategy outlined in the OECD *Jobs Study* as enriched and refined by the experience of individual OECD countries in implementing the strategy. The first section provides an overview of labour market performance in order to identify the main factors hindering adjustment in the face of

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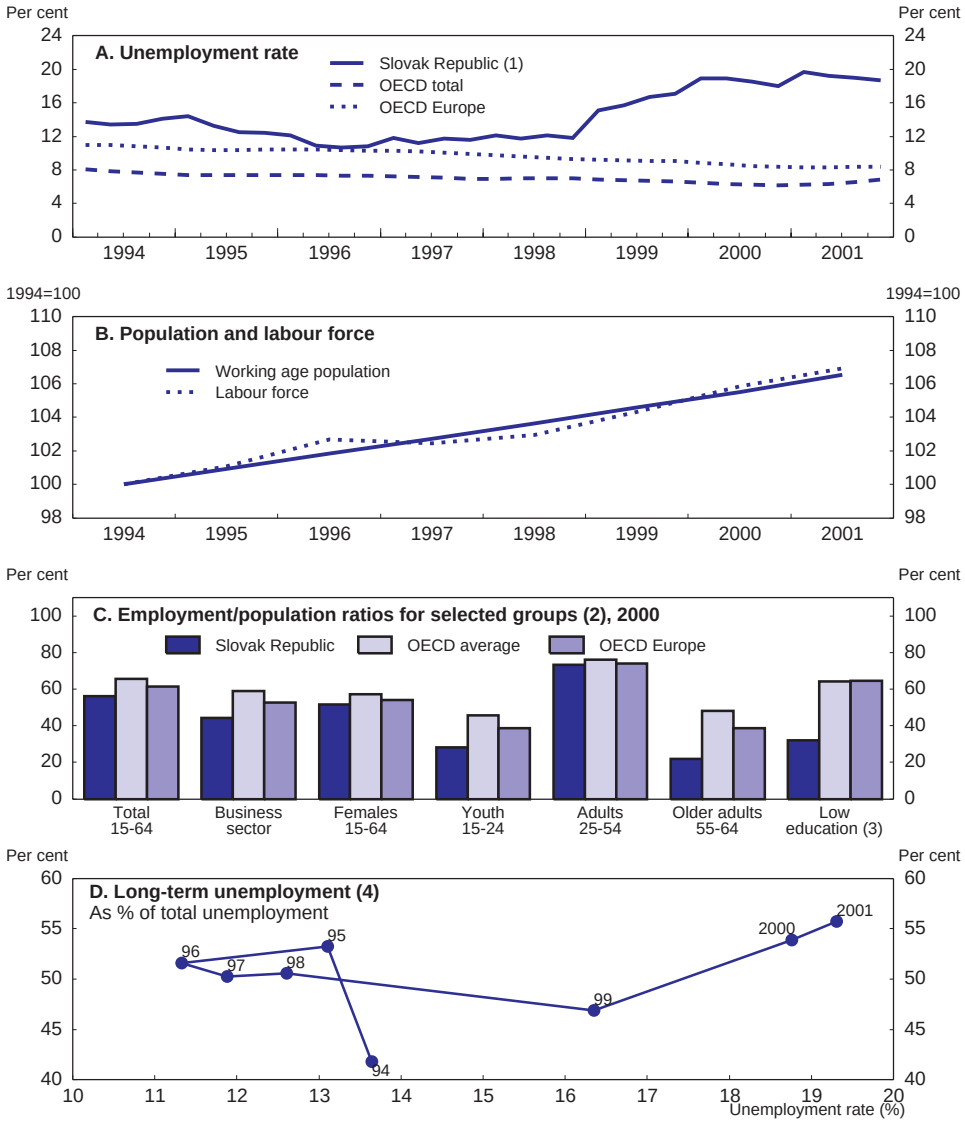
Figure 17. **Key developments in the labour market**



1. The Slovak labour force survey began in 1994.
2. Defined as the percentage of each working-age population group.
3. Completed less than upper secondary education, 1999.
4. Long-term unemployment is defined as individuals looking for work for one year or more.

Source: Statistical Office of the Slovak Republic and OECD.

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massive job destruction associated with the transition to a market economy. The second section discusses policy priorities to encourage work and promote job creation. The chapter then concludes with an assessment of the priorities for further action.

Labour market and employment performance

High and persistent unemployment

Slovakia moved from "full employment" at the end of the communist period in 1989 to a situation of persistently large labour market slack. There are currently over a half million unemployed workers, resulting in the highest unemployment rate among the four OECD transition economies (Figure 18). Rapid economic growth in the mid-1990s generated few job opportunities and resulted in only a small decline in unemployment. Subsequently, job destruction caused by the intensification of restructuring in the industrial and financial sectors in 1999 and 2000 boosted the unemployment rate by 7 percentage points. As a result, total employment in 2001 was virtually unchanged from its 1994 level (Panel B). With the working-age population continuing to grow, the employment to population ratio has declined (Panel C).

The unemployment rate varies considerably according to workers' age and education. As in many OECD countries, unemployment is particularly high among young people (Figure 19). Indeed, the rate for workers under 25 years of age was 40 per cent in 2001 compared to 16 per cent for workers aged 25 to 54. Moreover, the severity of unemployment is highest among low-skilled workers (Figure 20). The unemployment rate for workers with only primary schooling is over 40 per cent, compared to 19 per cent for workers with secondary education and 5 per cent for university graduates. The high incidence of unemployment among low-skilled workers reflects, in part, the on-going structural shift in labour demand towards higher skills. Unemployment is particularly severe among the Roma population, many of whom have a very low level of education and are subject to discriminatory practices (Box 5).[30]

The incidence of long-term unemployment in Slovakia is one of the highest in the OECD area (Figure 21). Indeed, about three-quarters of the unemployed have been jobless for more than six months and about half for more than one year (Figure 17, Panel D), despite a public-works programme aimed at the long-term unemployed. The average unemployment period is 13 months. While the incidence of long-term unemployment is highest among those with primary education, it is more than 40 per cent for every level of educational attainment, including tertiary (Figure 20, Panel B).[31] Unlike the overall unemployment

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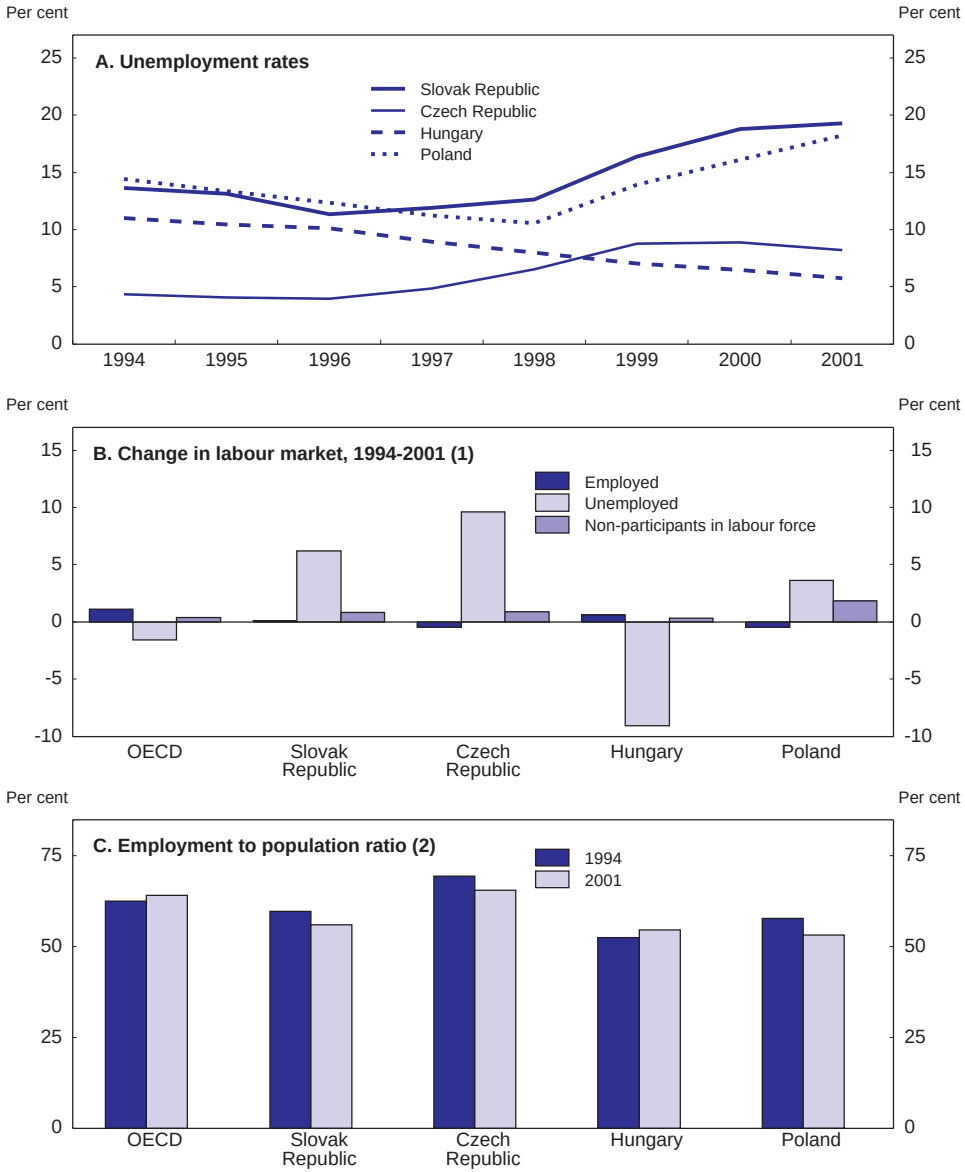
Figure 18. **Labour market developments in the transition economies**



1. At annual rates.
2. As proportion of population aged 15 to 64.

Source: OECD.

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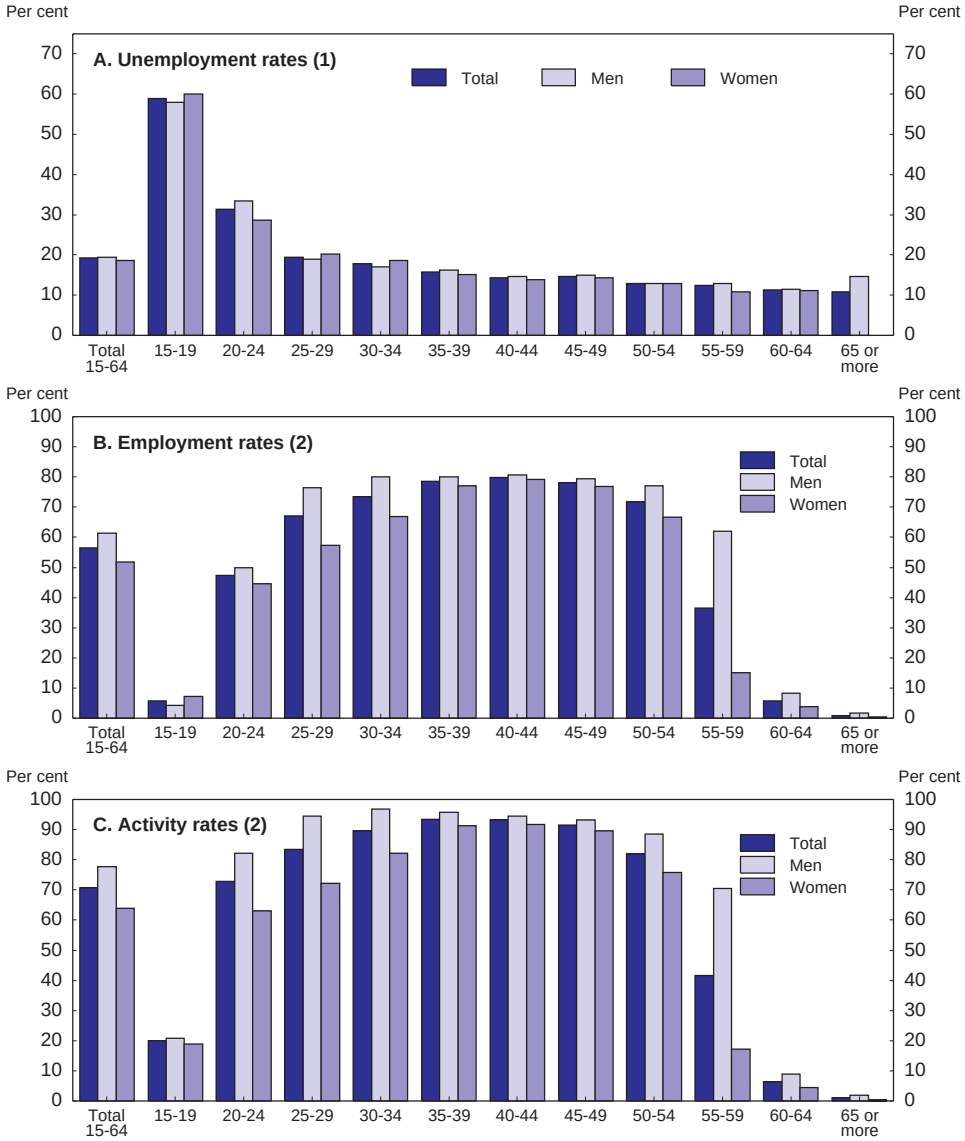
Figure 19. **Labour market indicators by age and gender**
2001



1. As per cent of the age group labour force.
2. As per cent of the age group population.
Source: Statistical Office of the Slovak Republic and OECD.

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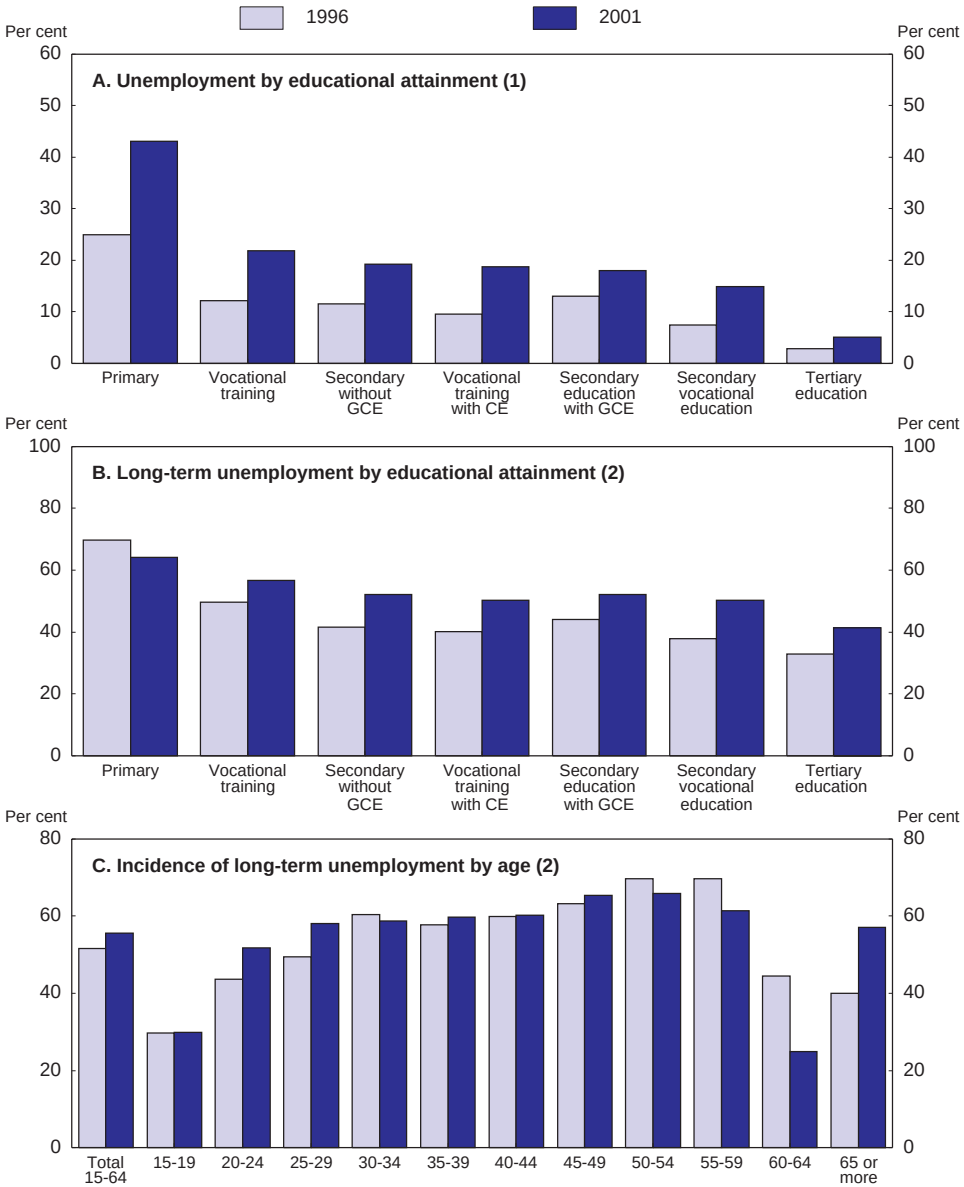
Figure 20. **The structure of unemployment**



1. As per cent of the labour force in the category.
2. As per cent of unemployed in the category.

Source: Statistical Office of the Slovak Republic and OECD.

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Box 5. The Roma population and the unemployment problem

One very difficult social problem that is often linked to unemployment is the situation of the Roma population. There is an overrepresentation of this ethnic group among the unemployed and long-term unemployment is widespread. The same factors explaining high unemployment generally in Slovakia – namely a large number of poorly-educated persons and levels of social assistance that discourage work – are also evident among the Roma population. But two additional factors – discriminatory practices in hiring and the concentration of Roma in isolated settlements without good road access – make the unemployment problem especially severe for this minority group. In these settlements, unemployment reaches 90 per cent .

The size of the Roma community in Slovakia is uncertain, but current estimates put it at around 10 per cent of the population. While a portion of the Roma population is integrated in the Slovak society, there are serious problems of poverty and exclusion for those living in Roma settlements. A large number of Roma became unemployed in the early 1990s following the closure of the co-operatives that had employed them. They continue to reside in the same regions, mostly in the eastern and southern parts of the country, despite a near total lack of job opportunities.

OECD experience shows that the largest differences in employment performance among countries relate to job accessibility by workers at the margin of the labour market, primarily young people, older workers and prime-age women. In the case of Slovakia, this can be extended to the Roma minority. As it accounts for about a fifth of the unemployed, a substantial reduction of Roma unemployment is a prerequisite for a significant reduction of the overall unemployment rate.

Effectively addressing the Roma unemployment problem requires the same policies examined in the main text for solving unemployment in general. In particular, the poverty trap created by the welfare system is especially severe for the Roma population, reflecting the fact that their families are typically very large and the Minimum Subsistence Income depends on family size. Consequently, social assistance benefits are relatively high and, given the low level of skills of the Roma population, they have little chance of finding a job that pays as much as social assistance. Additional specific measures are required to tackle the Roma unemployment problem, such as enhancing access to education and healthcare and improving housing conditions. Schooling should be made a responsibility and an obligation for parents. Incentives to promote school participation, such as making income assistance conditional upon their children's enrolment in school, might be beneficial.[1] It is also necessary to discourage discriminatory practices so that Roma searching for jobs are ensured equal opportunities.

In 1999, the government established the post of Governmental Plenipotentiary for Addressing Roma issues and announced a plan – A Strategy for Addressing the Roma Minority Problems in 2000 – covering education, employment, housing and health issues. Total resources for its implementation amount to SKK 10 million. The programme is a first step in the right direction but more extensive efforts will be needed to deal with this difficult problem.

1. Brazil implemented a programme (*Bolsa Scola*) that was very successful in increasing school enrolment and attendance by linking family income assistance to children's school attendance. See OECD (2001*b*).

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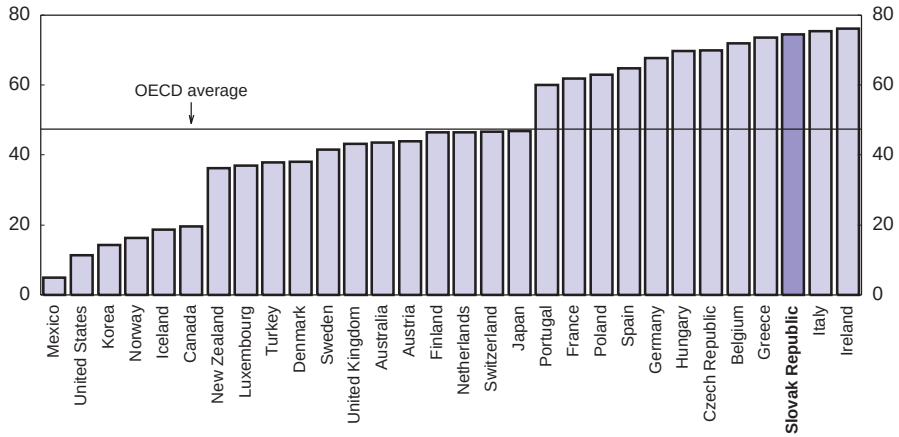
Figure 21. **Incidence of long-term unemployment**[1]
Per cent of total unemployment in 2000



1. Unemployed more than six months.
Source: OECD, *Employment Outlook, 2001*.

rate, long-term unemployment tends to rise with age, reflecting the large number of prime-age and older workers who have been displaced by industrial restructuring or the closure of agricultural co-operatives (Panel C). This suggests that labour market rigidities and the disincentives embedded in the tax and social welfare systems make it difficult to recycle displaced workers and that the level of structural unemployment is high. Moreover, many employers are reluctant to hire older workers.

Unemployment exhibits marked regional disparities, with the highest rates concentrated in the eastern and central areas of the country (Table 14). To some extent, this reflects their economic specialisation and productive structures, such as agricultural co-operatives and armament factories that became obsolete with the transition. The difference in unemployment rates between Kosice – the worst region at 23 per cent – and Bratislava was 16 percentage points in 1999. However, these disparities have not encouraged migration. The lack of labour mobility reflects problems in the housing market and social assistance benefits that are uniform nation-wide despite large regional differences in the cost of living.

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Table 14. **Labour market indicators by region**
Per cent in 1999

	Population	Employment rate[1]	Unemployment rate	Activity rate[1]
Bratislava	11	60.4	7.4	65.6
Trnava	10	51.7	12.3	59.9
Trencin	11	51.5	11.4	58.9
Nitra	13	45.8	17.8	56.4
Zilina	13	50.9	15.9	61.5
Banska Bystrica	12	46.2	21.1	58.9
Presov	14	48.3	19.1	60.5
Kosice	14	44.7	23.1	58.7
Slovak Republic	**100**	**49.7**	**16.3**	**60.0**
European Union	..	50.7	8.7	55.6

1. As a per cent of the population aged 15 and over.
Source: Statistical Office of the Slovak Republic.

Sluggish employment creation

Dependent employment fell by 6 per cent between 1994 and 2000 (Table 15). By sector, net job creation has been confined to the public sector (a 7 per cent increase over that period) and to the electricity, water and gas utilities (a 2 per cent increase), which are state-owned. In the other sectors, labour shedding

Table 15. **Employment trends by sector**

		Cumulative change			Distribution of employees[4]	
	1994[1]	1994 to 1997	1997 to 2000	1994 to 2000	1994	2000
Agriculture	183	–23.5	–30.7	–47.0	12.1	7.2
Industry	517	–3.9	–10.5	–13.9	34.1	33.1
Mining and quarrying	21	0.0	–28.6	–28.6	1.4	1.1
Manufacturing	451	–4.4	–10.9	–14.9	29.8	28.6
Electricity, water, gas	45	0.0	2.2	2.2	3.0	3.4
Construction	93	–8.6	–30.6	–36.6	6.1	4.4
Market services	312	–1.9	–1.0	–2.9	20.6	22.5
Public employees	410	2.4	4.8	7.3	27.1	32.7
Education	172	1.2	1.7	2.9	11.4	13.2
Health	127	–13.4	8.2	–6.3	8.4	8.9
Other	111	22.5	50.0	83.8	7.3	15.2
Other[2]	107	44.9	16.1	68.2	7.1	13.4
Total employees[3]	**1 622**	**–1.2**	**–4.9**	**–6.0**	**100.0**	**100.0**

1. Number of employees at year-end in thousands.
2. Unclassified enterprises of 20 employees or less.
3. Excluding women on maternity leave, apprentices and those in the armed forces.
4. At firms with 20 or more employees.
Source: Statistical Office of the Slovak Republic.

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resulting from privatisation and restructuring has dominated movements in employment. In particular, construction and manufacturing recorded large falls.

The trend in the number of employees, though, can be divided into two periods. Between 1994 and 1997, while the unemployment rate was falling from 13.8 per cent to less than 12 per cent, the decline in dependent employment was only 1 per cent, reflecting the slow pace of restructuring, due in part to delays in privatisation. Even in 2000, private-sector workers accounted for only 67 per cent of total employment in the Slovak Republic compared to more than 75 per cent in the other OECD transition economies and an average of 87 per cent for non-transition OECD countries (Table 16). In addition, employment was sustained by requirements that the owners of newly-privatised firms maintain staff and investment at certain levels. While the slow pace of restructuring moderated job destruction between 1994 and 1997, its effect on corporate profitability had a negative impact on job creation after 1997. Moreover, the failure to establish a clear regulatory framework and a lack of transparency regarding ownership structures resulted in the postponement of investment decisions that would have created new jobs.

Table 16. **Structure of employment by status and ownership**

Per cent of total employment in 2000

A. Ownership[1]

	Private	Public
Slovak Republic	**66.8**	**33.2**
Czech Republic	77.8	22.2
Hungary	92.8	7.2
Poland	81.6	18.4
Korea	88.5	11.5
Mexico	86.8	13.2
Other OECD[2]	86.8	13.2

B. Employment status

	Self-employed[3]	Part-time
Slovak Republic	**7.7**	**1.9**
Czech Republic	15.2	3.3
Hungary	15.2	3.2
Poland	27.4	12.8
Korea	37.6	7.1
Mexico	41.5	13.5
OECD average	17.3	15.3

1. Figures for Hungary, Poland and Mexico are for 1997.
2. Average based on 1997 data except for Portugal (1995), Switzerland (1995) and the United Kingdom (1996); data for Turkey not available.
3. Includes unpaid family workers. The data for Denmark, Iceland, Ireland, Mexico and the Slovak Republic are for 1999.

Source: OECD and Statistical Office of the Slovak Republic.

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Privatisation and restructuring was particularly slow in the banking sector (see Chapter IV), resulting in a misdirection of credit and a lack of finance to support private-sector activities and job creation. During the second period covering 1998 to 2000, the renewed momentum of restructuring led to a nearly 5 per cent fall in dependent employment.

With total employment stagnant between 1994 and 2000, the 0.9 per cent average annual growth in the working-age population implied a decline in the employment to population ratio to 56 per cent, well below the 66 per cent average rate for OECD countries (Figure 17, Panel C). This ratio is less than the OECD average for all categories of workers, highlighting the extent of under-utilisation of labour. Employment rates are particularly low for young people and for those aged 55 to 64, reflecting the low age of retirement.[32] The rate for women, which was above the OECD average at the beginning of the 1990s, has fallen, due in part to the fact that childcare is no longer provided at no cost to working parents.

The productive structure of the economy and thus the sectoral distribution of workers is not conducive to rapid employment growth in the future. In particular,

Table 17. **Sectoral composition of employment**

A. Per cent of civilian employment

	Agriculture	Industry	Construction	Services
Slovak Republic	**8.2**	**30.1**	**9.3**	**52.3**
Czech Republic	5.5	31.5	9.8	53.2
Hungary	7.7	28.3	6.4	57.6
Poland	19.2	25.0	7.0	48.8
Korea	12.2	19.9	7.9	60.0
Mexico	19.4	19.2	5.6	55.8
Other OECD[1]	6.3	19.6	7.6	66.5

B. Percentage point change in sectoral composition 1989-98[2]

	Agriculture	Industry and construction	Services
Slovak Republic	**–8.1**	**–5.0**	**13.1**
Czech Republic	–6.4	–5.8	12.1
Hungary	–5.6	–1.4	7.0
Poland	–10.6	0.6	10.0
Korea	–8.2	–7.3	15.5
Mexico	–8.2	1.8	6.4
Other OECD[1]	–2.4	–0.6	3.0

1. Countries that were OECD members before 1994, except France and Luxembourg. Averages based on 1998 data except for Belgium (1996) and Greece (1997).
2. Figures are approximate. Periods differ for Korea (1990-1998), the Slovak Republic and Mexico (1991-1998), Hungary (1992-1998), and Poland (1993-1998).

Source: OECD.

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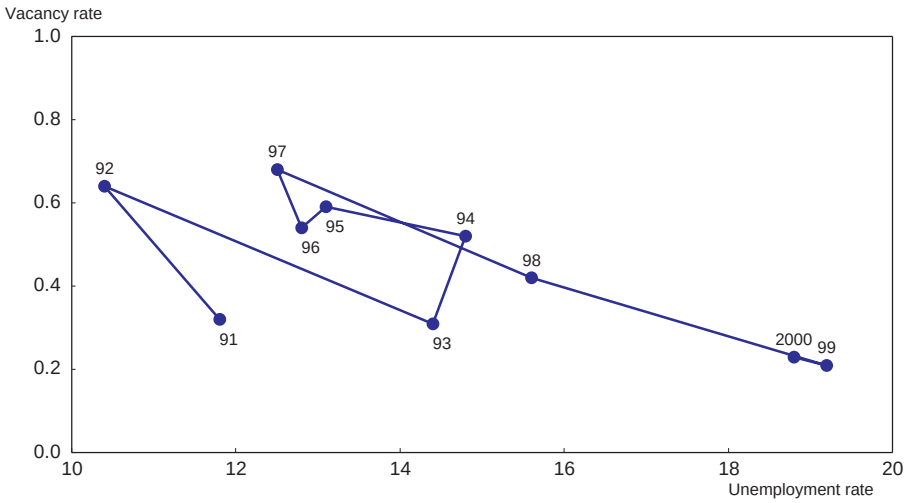
the relatively high shares of agriculture and industry (Table 17), despite large falls during the 1990s (Panel B), suggest that further declines in employment in these sectors might be expected as the structure of the Slovak economy gradually converges to that of more advanced countries. More dynamic job creation in the service sector is needed to absorb workers from agriculture and industry. Training of displaced workers may be necessary, since skills required in the service sector are substantially different from those in industry and agriculture.

The small number of vacancies reported to the labour offices illustrates the sluggishness of employment creation and the difficulties that the unemployed face in finding jobs. The average number of registered unemployed workers per vacancy, which ranged from 20 to 94 during the period 1993 to 2000, stood at 50 in June 2001. For low-skilled workers, the rate was even higher.[33] The relationship between the number of vacancies and unemployment – the Beveridge curve – has shifted over time, with a given level of vacancies compatible with higher levels of unemployment (Figure 22). This may indicate an increasing mismatch between the demand and supply of skills, as well as reduced willingness on the part of unemployed persons to accept jobs.[34]

The lack of flexibility and adaptability of the labour market is also reflected in very low levels of self-employment and part-time employment

Figure 22. **The Beveridge curve**



Source: Statistical Office of the Slovak Republic and OECD.

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(Table 16, Panel B). The share of self-employed in total employment is less than half the average in OECD countries, suggesting weak entrepreneurship. This may reflect the generous social assistance available, as well as the fact that small-scale enterprises largely disappeared during the communist era, in contrast to Poland and Hungary. Part-time employment accounts for less than 2 per cent of employment, well below the 15 per cent average in the OECD area. This difference is even more striking for women, with part-time jobs accounting for 3 per cent of female employment, compared to the 26 per cent average for the OECD area. The small share of part-time employment may be related to the underdevelopment of the service sector.

The wage-setting framework

During most of the 1990s, the large degree of slack in the labour market did not put downward pressure on real wages, suggesting a large part of unemployment was structural in nature (Figure 23). An average unemployment rate of 12½ per cent over the period 1993 to 1998 was compatible with real wage growth of 4½ per cent per year. Real wages grew most rapidly in the service sector, averaging 6 per cent, perhaps reflecting a shortage of skills due to the difficulty of adapting workers leaving agriculture and industry to the needs of this sector. However, the recent surge in unemployment seems to have had a moderating impact on real wages, leading to a decline of 7½ per cent over the period 1998 to 2001.

A highly centralised wage-setting process in the Slovak Republic limits the responsiveness of wages to specific conditions of depressed regions or low-profitability enterprises. It also helps explain the weak responsiveness of wages to high unemployment, at least until 1999. Collective bargaining is conducted at the national, sectoral and firm level. At the national level, negotiations take place in the Council for Economic and Social Accord, which sets a minimum nation-wide wage increase by sector. The Council is a tripartite body composed of members of the trade unions, the employers' associations and the government. Negotiations at the sectoral level are held between sectoral labour unions and employers' associations. The Ministry of Labour, Social Affairs and Family can make the outcome of these negotiations binding for employers not represented in sectoral agreements, and this was the common practice, at least until recently. Negotiations at the firm level take the sectoral agreement as a floor in setting wages. The new Civil Service Act and the new Public Service Act change the way wages are set in the public sector beginning in 2002. *First*, it introduces specific wage tariffs (see below) for a wide range of public-sector occupations. The tariffs imply significant increases from 2001 wage levels. *Second*, wages are now subject to collective agreements between the trade unions and the corresponding government units, rather than being set by the government in the context of the budget.

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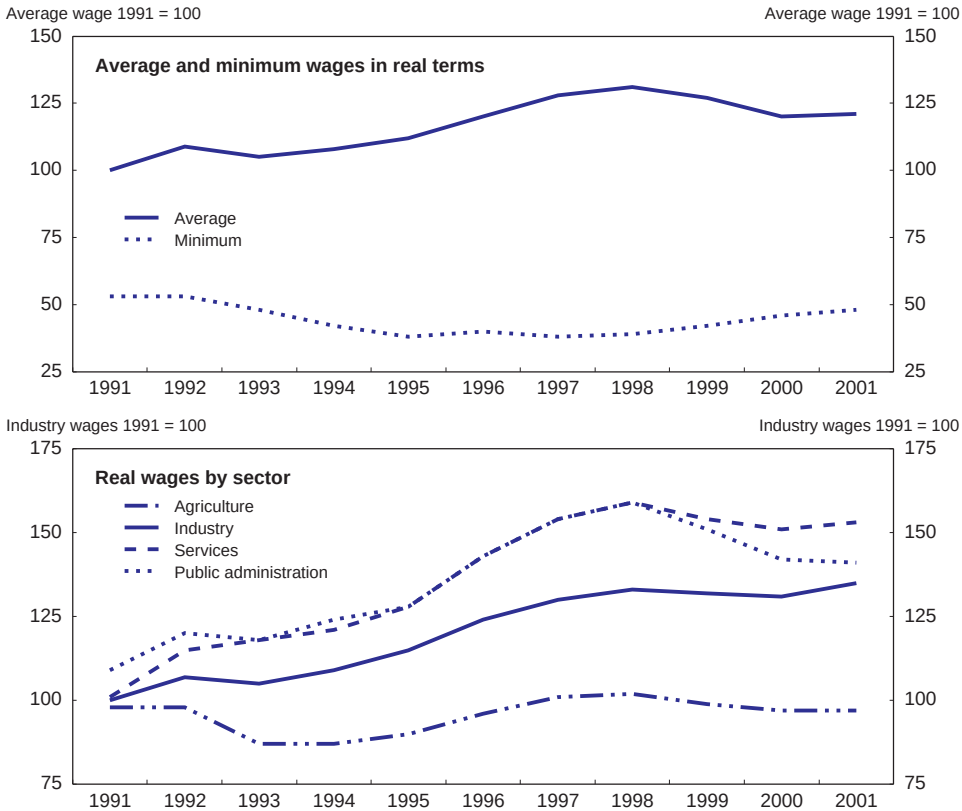
Figure 23. **The evolution of real wages**



Source: Statistical Office of the Slovak Republic.

A statutory minimum wage is proposed by the Ministry of Labour, Social Affairs and Family based on recommendations by the Council for Economic and Social Accord. The minimum wage applies directly to very few workers – only one in two thousand as of 1998 – but is used as reference point. In particular, it is the basis for the system of "wage tariffs" – a scale of minimum salaries based on the difficulty of the job – for workers not covered by collective bargaining. There are six tariffs ranging from 100 to 200 per cent of the minimum wage. For example, jobs that require the level of knowledge of a university graduate must pay wages of at least 180 per cent of the minimum wage, while those requiring the skills equivalent to high school vocational education must pay 140 per cent. Wage tariffs are relevant for the 40 per cent of workers who are not covered by collective bargain-

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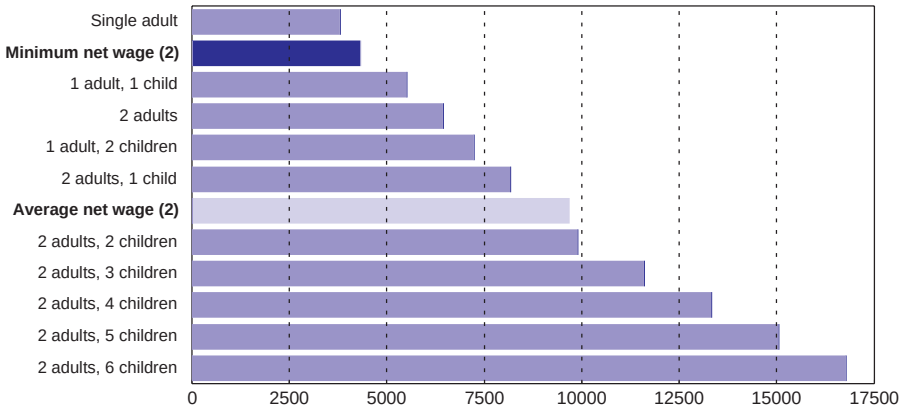
ing. The system sets an effective floor on wages. Given the low minimum wage, which remained less than a third of the average wage until 1998 (Figure 23), the wage tariff system does not appear to have been constraining thus far. However, the 64 per cent rise in the minimum wage in nominal terms between 1998 and 2001 may have increased the impact of the wage tariff system. Moreover, it has the potential to become a significant distortion if the minimum wage continues to increase rapidly.

In addition to the wage tariff system, the social assistance scheme also creates an effective floor for wages. Slovak families whose income falls below a Minimum Subsistence Income (MSI) are deemed to be in material distress and become eligible for social assistance benefits. The MSI is calculated according to family size, rising by a fixed amount per dependent child, with no cap. Moreover, it is applied uniformly across the country, despite significant differences in the cost of living. The MSI for all households, except that of a single individual, exceeds the minimum wage (after deducting social contributions), which helps explain why few workers are willing to work at the minimum wage. For example, the MSI for a family with two children was 2.3 times the minimum wage in 2001, and slightly more than the average wage on a net basis (Figure 24). Until June 2001, the actual amount of benefits granted was equal to the difference between the family

Figure 24. **The Minimum Subsistence Income by household composition**
SKK per month in 2001[1]



1. The benefits provided to bring an individual or household up to the MSI are not taxed.
2. On a net basis. For the minimum wage, social contributions (12.8 per cent of gross wages) are deducted. For the average wage, social contributions and income tax are deducted.

Source: Ministry of Labour, Social Affairs and Family.

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income and the corresponding MSI, unless the situation of material distress is due to subjective reasons. In this case, benefits were cut to one-half of the family's MSI. Since June 2001, the level of income granted to households in distress for objective reasons was frozen and, in the future, it will be revised independently of the MSI. Means-tested assistance is provided as long as the "material distress" persists, which often translates into an unlimited duration.

Policy requirements

With the highest rate of unemployment in the OECD area since 1998, policies to improve labour market performance should be a priority. Moreover, the growth in the working-age population that is projected through 2010 may tend to exacerbate the problem in the absence of reform. This section identifies the key policy areas where action is needed to improve labour market performance and recommends policy responses. The set of policy measures proposed can be grouped into three categories (Box 6).

- The high level of social assistance benefits weakens incentives to search actively for jobs and accept offers. Reducing benefits is thus a priority to make work more attractive. To the extent that such reductions are not socially acceptable, other measures to lower the impact of social assistance on work incentives need to be introduced. In particular, making benefits dependent on participation in active labour market activities and ensuring tight control of eligibility requirements would be beneficial. In the long run, education is the key to increasing labour productivity and wages relative to social assistance benefits.
- Measures to encourage firms and entrepreneurs to create jobs are essential. Most importantly, wage and non-wage labour costs, as well as employment practices, need to become more flexible if labour demand is to absorb the large excess supply. In particular, non-wage labour costs should be reduced to help break the vicious circle in which high payroll taxes are needed to support an inactive population that remains large due in part to high payroll taxes. Finally, employment creation also requires improving the entrepreneurial climate.
- Policies to ensure steady and sustainable growth are a prerequisite for investment and employment growth. This, in turn, requires a sound macroeconomic policy framework characterised by prudent fiscal and monetary policies (see Chapter II).

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Box 6. Synopsis of recommendations for the Slovak Republic's labour market

The OECD *Jobs Study* sets out a strategy based on specific recommendations for improving the ability of OECD economies to cope with structural change, by enhancing the ability to adjust and adapt, and by increasing the capacity to innovate and to be creative. A wide range of policy areas is covered with a focus on each country's particular institutional, cultural and social characteristics.

The review of labour market and employment performance in the Slovak Republic suggests the following priorities for policy action:

Measures to encourage work and job search

Reform the social welfare system

- Break harmful links between unemployment and social protection that weaken incentives to search for work and to accept jobs.
- Ensure that social assistance to working-age people focuses on putting people back to work, in part through the introduction of activity-tested income support.
- Streamline social programmes to increase transparency and the ability to control expenditures.
- Tighten eligibility conditions for sickness benefits and their generosity.

Lower the tax burden on labour

- Overhaul the social insurance systems to allow a reduction in payroll taxes.
- Finance social welfare aspects of social insurance systems through general taxation.
- Beyond this, consider shifting further some of the burden of financing social insurance programmes to general taxation.

Shift emphasis to active labour market policies

- Place greater emphasis on active policies as part of a policy of making social assistance "activity-tested".
- Improve public job placement services, while increasing the use of private job placement agencies.
- Involve enterprises in the design and funding of training programmes.
- Monitor closely the effectiveness of active labour market programmes.

Lift barriers to labour mobility

- Remove distortions in the housing market.
- Improve the transport system.
- Adjust social assistance benefits for regional differences in the cost of living.

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Box 6. **Synopsis of recommendations for the Slovak Republic's labour market** (*cont.*)

Measures to promote hiring and job creation

Improve labour force skills and competencies

- Upgrade the education and training systems.
- Expand the proportion of students entering tertiary education.
- Facilitate mobility between education programmes and cycles.
- Adapt curricula of vocational schools to the needs of enterprises.

Enhance flexibility of wages and labour relations

- Eliminate the extension of collective agreements reached at a regional or sectoral level to firms not involved in the negotiations.
- De-centralise wage bargaining to allow agreements to better reflect changing conditions at the firm level.
- Eliminate the wage tariff system.
- Relax employment protection provisions in the legal code.
- Ease regulations on working time.
- Revise the new labour code to reduce the excessive power of trade unions in management issues and their role in inspecting the compliance of firms with the labour code.
- Remove the rule requiring new owners of firms to honour existing agreements with the workforce.

Improve entrepreneurial climate

- Continue financial-sector reform to improve private borrowers' access to credit.
- Continue to reduce tax pressure.
- Simplify regulations and administrative procedures for starting new companies.

Measures to encourage work and job search

Reform the social welfare system to strengthen the incentive to work

An exceptionally generous social safety net (Box 7) has helped mitigate the hardship imposed by the transition and maintained social cohesion during a period of dramatic structural changes. *Social support* is based on the MSI, which is

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Box 7. The social safety net in the Slovak Republic

The Slovak Republic has one of the most extensive and comprehensive systems of social welfare in the OECD area. Indeed, the Slovak Constitution establishes the right to basic living conditions. Social protection is provided by three types of schemes: insurance, social support and social assistance. The latter two use the "Minimum Subsistence Income" (MSI) to define entitlement conditions and the amount of benefits. The MSI is the level of income below which an individual or family would be in material distress. The MSI is set by law according to family size and increases with the number of children without a ceiling. However, social assistance and social support differ in their coverage. While social support is intended to assist households with children and those facing exceptional expenses, social assistance seeks to ensure a minimum income level to all Slovaks.

Social insurance

Social insurance covers unemployment, sickness, pensions and healthcare (which are discussed in the context of fiscal policy in Chapter II).

Unemployment insurance

Unemployment insurance is available to jobless workers for six to nine months depending on the number of years of contributions. To be eligible, an unemployed person must have contributed during 24 months during the three years preceding the claim.[1] Until 2000, the maximum replacement rate for the first three months was 60 per cent of average gross income during the last six months of work and 50 per cent for the remaining entitlement period. A reform at the end of 2000 reduced that to 50 per cent during the first three months and 45 per cent for following months. Benefits are subject to a ceiling of 1.5 times the MSI of a single person, or about half of the average wage. Consequently, the replacement rates for those earning above the average wage are below the 50 per cent figure set for the first three months.

Sickness insurance

Sickness insurance compensates workers for loss of income due to sickness, the need to care for an ill family member, pregnancy, maternity leave and treatment in spa facilities. Eligibility for sickness benefits is subject to medical certification. Benefits amount to 70 per cent of the net daily wage for the first three days and 90 per cent thereafter.[2] Benefits are paid for up to one year in case of sickness, seven working days for care of an ill family member (13 working days for single parents caring for a sick child), 28 weeks for maternity (37 for single mothers or multiple birth), and 21 to 28 calendar days for spa treatment.

Pensions

Old-age pensions are granted to men between the ages of 55 and 60 – depending on the job performed – and to women between the ages of 53 and 57 – depending on the number of children raised. The minimum contribution period is 25 years.

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Box 7. The social safety net in the Slovak Republic (*cont.*)

Alternatively, *proportional old-age pensions* are granted to those with ten years of contributions, conditional on retiring at age 65. Women are also eligible to receive a pension at age 60 after 20 years of contributions. Those who do not qualify for any of the above-mentioned pensions are granted a *social pension* at age 65. Pension insurance also covers disability and provides benefits to widows and orphans.

Healthcare

Healthcare is universally provided through mandatory health insurance. Contributions are levied on workers' salaries and the state contributes on behalf of economically-inactive persons. Individuals have access to a wide range of healthcare services with costs fully covered by the insurance fund.

Social support

Social support provides transfers to households with children, as well as one-time lump-sum payments to those facing extraordinary expenditures.

Monthly transfers

A *parental allowance* is provided to parents caring full-time for children less than three years of age and for sick children under the age of seven. The allowance is set at 91 per cent of a single person's MSI. Monthly *child allowances* are granted to cover the expenses of dependent children. The amount depends on the age of the children and the level of family income, including the parental allowance, relative to the MSI (see Table 18). For a couple with two children, the allowance ranges from 5 to 10 per cent of the MSI. Finally, a *subsistence income and housing allowance* is granted for members of the military and those engaged in civilian service.

Table 18. **Child allowances**

Per cent of net average wage

Number of children[1]	Income less than 1.37 times the MSI[2]	Income between 1.37 and 2.1 times the MSI[2]
1	8.6	6.1
2	17.1	12.2
3	25.7	18.3
4	34.3	24.4
5	42.8	30.4
6	51.4	36.5

1. For a child between 6 and 15 years of age. For children in this age group, the benefit is SKK 830 for the low-income group and SKK 590 for the high-income group. For children under 6, the low (high) income group's benefit is SKK 680 (SKK 480). For children over age 15, the low (high) income group's benefit is SKK 890 (SKK 620).
2. The MSI ranges from SKK 8 160 per month (84 per cent of the average wage) for a couple with one child to SKK 16 760 (173 per cent of the average wage) for a couple with six children.

Source: Ministry of Labour, Social Affairs and Family and OECD.

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Box 7. **The social safety net in the Slovak Republic** (*cont.*)

One-time benefits

Situations demanding once-and-for-all exceptional expenditures are the birth of a child, a funeral or the placement of a child in foster care. In these cases, a lump-sum payment is made to help families with the extra expenses. Benefits range from 0.7 of the MSI of a single person for contributing to funeral expenses to 2.3 times the MSI of a household for the birth of a child.

Social assistance

Social assistance provides cash benefits and social services to households whose income, including social insurance and social support, is below the MSI. To receive such assistance, a person must be either working, retired or registered as unemployed, which is a simple formality. At the end of 2001, more than 324 000 households (more than 614 000 persons) received social assistance.

Income assistance

When a household's income fell below the MSI, a cash benefit equal to the difference between the household's income and the level of MSI was granted. However, in June 2001 social assistance granted to those in distress for objective reasons was frozen and in the future it will not follow the revision of the MSI each July. When the low level of income is due to "subjective reasons", the income benefit granted will continue to be set at half the gap between the household income and the MSI. The criteria for classifying a person in need for subjective reasons were widened considerably in 2001. As a result, about half of the recipients of social assistance benefits fell in this category in 2001 compared to 1.5 per cent in 2000. The main criteria for determining a situation of material distress for subjective reasons include: voluntarily leaving a job; refusing to co-operate with the National Labour Office in job-search; failing to participate in public-work programmes; staying in the unemployment registry for more than 24 months; having contributed less than 3 months to unemployment insurance; losing a job for disciplinary reasons; refusing to pay child support or alimony; and failing to apply for child allowances. Until recently, school leavers were automatically granted the MSI of a single person until they found a job. Now, however, they are considered as subjectively in need and thus receive half the MSI. There are also special income benefits for handicapped persons to cover expenses aimed at improving their living conditions.

Social services

Advisory and psychological services are provided to persons receiving income assistance to help them overcome poverty. There are social and legal services aimed at protecting the rights of minors and to place children in foster care. Other services include the provision of meals, transport, institutional care or in-house care.

1. The National Labour Office pays the social insurance contributions, including for unemployment, for persons employed in public-works jobs, helping such workers qualify for unemployment insurance at the end of the public-works job.
2. There is a cap of SKK 350 per working day for employees and SKK 250 per calendar day for the self-employed.

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used to calculate means-tested child and parental allowances. S*ocial assistance* is the main source of income support for the unemployed. At the end of 2001, 324 000 households, comprising 614 000 individuals, received such benefits. This included about 60 per cent of the registered unemployed, with support concentrated among the long-term unemployed. In the first half of 2001, 92 per cent of the recipients of social assistance were registered unemployed.

However, the social assistance system weakens incentives to take up jobs or actively search for employment by providing benefits for an indefinite duration. High benefit levels raise the reservation wage for the unemployed. In particular, specialised workers displaced by industrial restructuring are unlikely to accept lower wages in low-skill occupations. The negative effect of social assistance on work incentives is strongest for the heads of large families, since the MSI is based on the number of children. Indeed, families with two or more children that have no income receive cash benefits (which are not taxed) exceeding the average production worker's net wage in 2001 (Figure 25). For a family with four children, benefits are 37 per cent higher than the average net wage. The withdrawal of benefits, combined with the tax system, results in a very high effective marginal tax rate on income from work, particularly for families with children. Consequently, parents are discouraged from accepting any job that does not pay above the average wage. The disincentives to work are less for a single person than for those who are married. Indeed, there is empirical evidence that an unemployed single person is more likely to begin work than one with an unemployed spouse.[35] However, the pressure on young people to find a job was reduced by the fact that until 2000 all school leavers or graduates were automatically granted the MSI, which was 2 per cent above the minimum wage on a net basis for a single person.

The government introduced the concept of "material distress for subjective reasons" in 1999 and broadened the criteria for this classification in 2001 (see Box 7). Social assistance benefits to such persons are reduced by half.[36] As of the end of 2001, 167 000 recipients from a total of 324 000 were thus classified. Three months of employment in public works (see below) is sufficient to re-qualify such persons as "objectively in need", entitling them to full benefits. School leavers, who had previously been granted full social assistance, were categorised as in need for "subjective" reasons beginning in 2001, leading to a halving of their social benefits and encouraging job search.

In addition to social assistance, provisions for early retirement and the generosity of sick-leave benefits have also weakened incentives to work. Early retirement was widely used during the 1990s to ease labour market pressures. The number of workers opting for early retirement between 1991 and 1999 amounted to 6.5 per cent of the 1999 labour force and the cost of early retirement pensions amounted to 0.2 per cent of GDP in 1999. Early retirement was phased out in 2000 and the government has proposed raising the retirement age for women to

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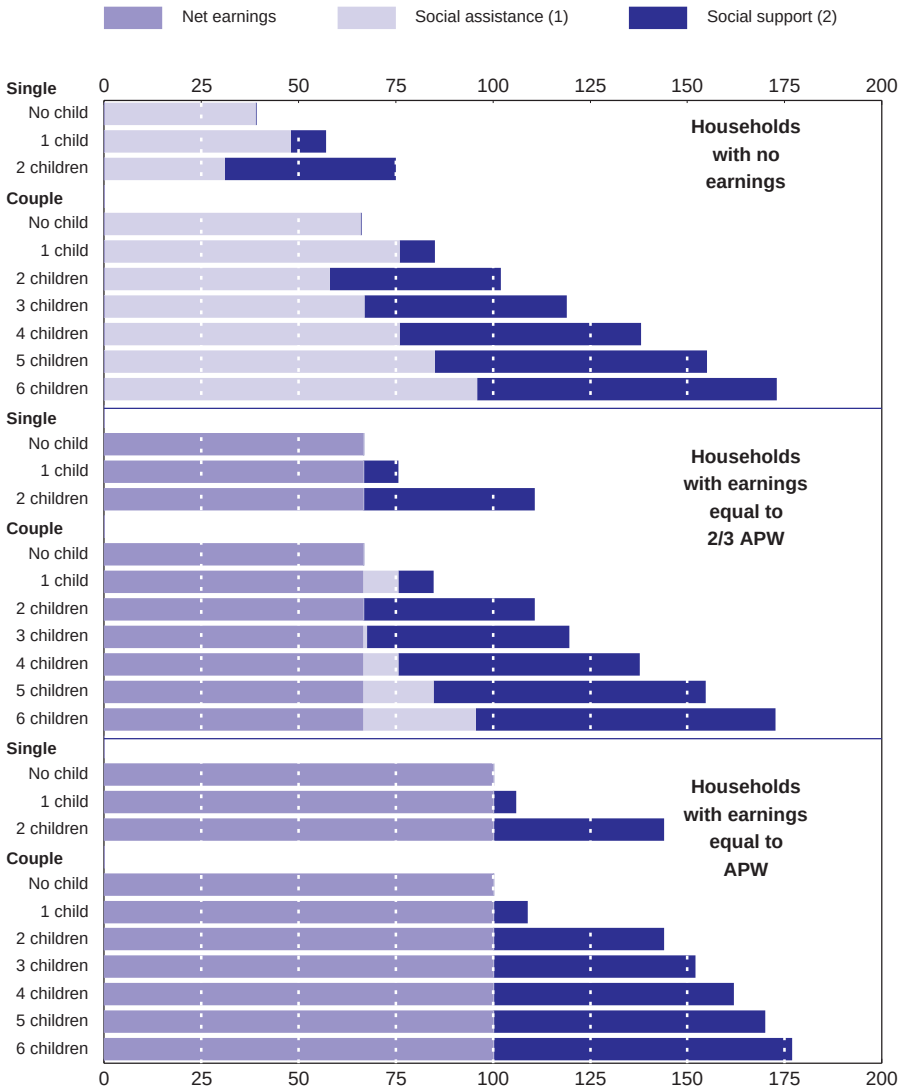
Figure 25. **Net earnings and social welfare**

Per cent of average production workers (APW) net earnings in 2001



1. Social assistance is set so as to bring a household's income up to the level of the Minimum Subsistence Income.
2. Includes parental and child allowance, which depends on the ages of the children. The assumptions used in this figure are explained in the text.

Source: OECD, based on data from the Ministry of Labour, Social Affairs and Family.

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60 by 2010. Nevertheless, the retirement age would still be low in comparison with most OECD countries. As for sick leave, payments are set at 70 per cent of the net daily wage for the first three days and 90 per cent thereafter. These benefits are higher than those under unemployment insurance, making sick leave an attractive alternative to unemployment. Moreover, the duration is potentially longer as it is based on a medical certification.

In contrast to social welfare, unemployment benefits are not particularly generous by OECD standards, making them unlikely to discourage job search and employment (Box 7). By the same token, however, the low replacement rates for higher-skilled workers (due to the cap that limits benefits to about half of the average wage) means that the unemployment insurance system may not play the role of supporting efficient job search. Following several reforms during the 1990s to tighten eligibility conditions and reduce benefits, only 15 per cent of the registered unemployed received unemployment benefits in 2000. The average duration of benefits was 5.3 months and the average amount of benefits paid was equal to 66 per cent of the minimum wage or 29 per cent of the overall average wage. Consequently, unemployment benefit payments were limited to 0.6 per cent of GDP. If the unemployment benefit for a household does not reach the MSI, social assistance is used to top up incomes. Unemployment insurance is administered by the National Labour Office (NLO), a tripartite organisation that includes workers, employers and the government.[37] The NLO also pays the health and sickness insurance premiums and old-age pension contributions for those receiving unemployment benefits through its network of eight regional offices and 79 district offices.

In summary, the availability of social assistance at a level near the average wage or even above it, depending on family size, weakens work incentives and helps explain the low employment to population ratio in the Slovak Republic. The key priority should be to reform the social welfare system to strengthen incentives. The level of benefits, particularly for large families, should be reduced towards levels that encourage work. To the extent that cuts in benefit levels are judged to be socially unacceptable, other reforms to strengthen work incentives should be introduced. Eligibility conditions for prime-age workers should be further tightened and tied to some form of activity. Indeed, activity-tested income support is proving to be effective in other OECD countries in making work more attractive, improving the skills of job seekers and preventing their withdrawal from the labour force.[38] In addition, the diverse programmes providing assistance under social support should be streamlined to enhance transparency regarding overall support, while improving programme administration would lower costs and prevent fraud. Moreover, the sick-leave benefit formula should also be revised to make benefits less generous relative to unemployment insurance. Finally, the authorities should avoid going back to using early retirement as a labour market

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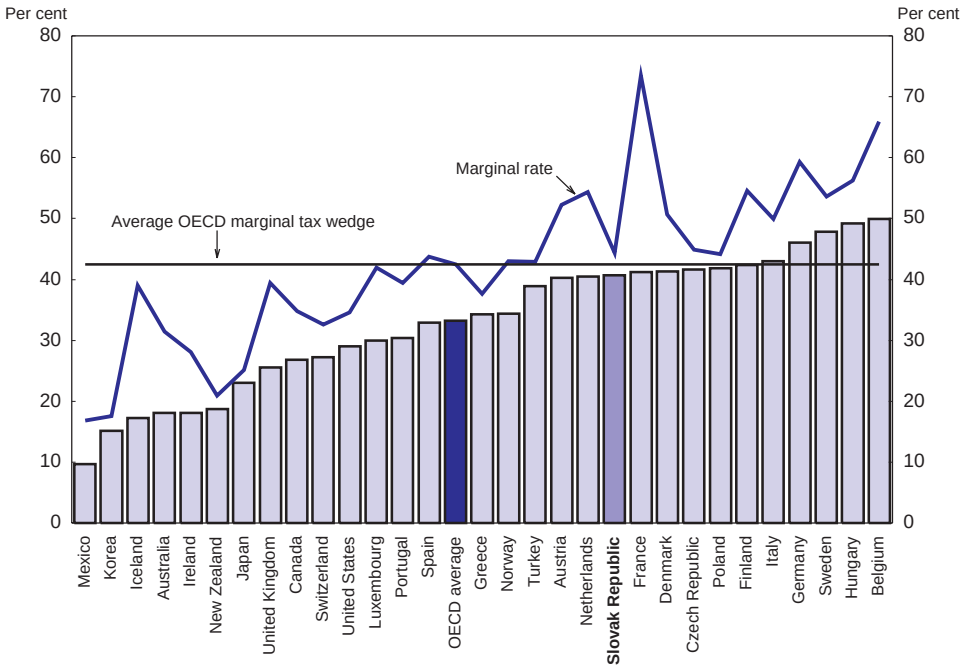
instrument since it has proven to be largely ineffective in solving the unemployment problem and is expensive for the public budget.

High payroll taxes discourage employment

Income taxes and social security contributions have a negative impact on both the demand and supply of labour. The average and marginal tax wedges in the Slovak Republic are above the average in the OECD area (Figure 26). Approximately 40 per cent of employees' gross earnings on average are paid in taxes and

Figure 26. **Average and marginal tax wedges**[1]
Single person receiving 67% of an average production worker's income



1. Data refer to 2000. The average wedge is the sum of employees' and employers' social security contributions and personal income tax as a percentage of gross labour costs, *i.e.* gross wages plus employers' social security contributions.The marginal tax wedge is the percentage of gross labour costs represented by increased employees' and employers' social security and income tax contributions, following a rise in net wages.

Source: OECD, The Tax/Benefit Position of Employees (2001).

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social contributions (excluding indirect taxes). The Slovak Republic has the highest rate of social security contributions among OECD countries at a flat rate of 50.6 per cent, with 37.8 per cent paid by employers and the remaining 12.8 per cent paid by employees (Table 19). Workers' contributions go to finance old-age pensions and insurance for health, sickness and unemployment. Social contributions are paid on wages up to SKK 32 000 per month (about three times the average wage). However, there is no global cap on contributions, so workers with more than one job pay social contributions on an amount exceeding that ceiling. For low-skilled workers, social assistance benefits introduce a floor for wages, thus limiting the scope for wage adjustment to offset payroll taxes. This has a negative effect on the demand for such workers.

High payroll taxes also encourage workers to join the underground economy, while making such arrangements attractive to employers. The underground economy is also promoted by the fact that formal employment is not required for access to health benefits and old-age pensions. Estimates of hidden or informal employment by Slovak authorities range from 66 000 to 71 000, or between 12 and 13 per cent of the registered unemployed.[39] The significant size of the informal sector, in turn, reduces the tax base, thus boosting the burden in the formal sector.[40] To reduce the negative impact of high payroll taxes, the authorities should aim to reduce them to the norms in the European Union using two approaches. *First*, it is important to overhaul the social insurance programmes to make them more efficient. Indeed, given the financial difficulties of the health insurance companies, reductions in contributions need to be done in tandem with reforms to improve contribution compliance and better control spending by insurance companies (see Chapter II). In addition, tightening the sickness insurance eligibility conditions and benefits would allow sickness and unemployment insurance contributions to be reduced.[41] *Second*, social welfare aspects of the insurance systems, such as the social pension for the elderly and the health and sickness contributions

Table 19. **Contribution rates for social insurance programmes**

As per cent of wages

	Paid by employee	Paid by employer	Combined
Pensions insurance	6.4	21.6	28.0
Sickness insurance	1.4	3.4	4.8
Healthcare insurance	4.0	10.0	14.0
Unemployment insurance	1.0	2.8	3.8
Total	12.8	37.8	50.6
European Union average	10.3	18.5	28.8
OECD average	8.6	14.8	22.3

Source: Ministry of Labour, Social Affairs and Family and OECD.

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for the unemployed, should be financed by general taxation. *Third*, the authorities might want to consider shifting some of the burden of financing social insurance programmes to broader taxes in order to reduce the tax on labour.

Shift emphasis of labour market policy towards active labour market policies

Total expenditure on labour market programmes was 1.2 per cent of GDP during the period 1998 to 2000, about two-thirds the average in OECD countries (Table 20).[42] About 84 per cent of those expenditures were for passive policies, notably unemployment insurance and early retirement, leaving a much smaller share for active labour market policies (ALMPs), which include placement services, job-search counselling, training and retraining, direct job creation and employment subsidies. The emphasis on passive policies reflects a number of factors. *First*, such expenditures are guaranteed by the state,[43] while ALMPs depend on the availability of funding. *Second*, the NLO, which is responsible for all labour market programmes, is burdened by the tasks of administering passive policies for the large number of unemployed and collecting labour market statistics. In particular, the administration of unemployment insurance is costly due to the need to enforce eligibility requirements, leaving few resources for active programmes. *Third*, the NLO pays health and sickness insurance premiums and pension contributions for those receiving unemployment benefits. Such expenditures account for nearly 30 per cent of total spending on labour market programmes (Figure 27). As NLO outlays are funded by payroll contributions, this raises the burden on employed persons.

The bulk of resources for active labour market policies are concentrated in financing jobs for young workers and the long-term unemployed. In 2000, nearly

Table 20. **Spending on labour market programmes**
Annual average in per cent of GDP

	1992-1994	1995-1997	1998-2000	OECD average[1]
Passive programmes	0.43	0.66	0.98	1.06
of which:				
Unemployment	0.30	0.34	0.63	0.93
Early retirement	0.13	0.16	0.18	0.13
Other	0.00	0.16	0.17	0.00
Active programmes	0.39	0.61	0.18	0.68
of which:				
Training	0.03	0.03	0.01	0.18
Job creation	0.35	0.56	0.15	0.19
Measures for the handicapped	0.00	0.02	0.02	0.12
Total spending	0.82	1.27	1.16	1.74

1. Excludes Iceland, Ireland, Luxembourg and Turkey. Data is for the most recent fiscal year available.
Source: National Labour Office and OECD.

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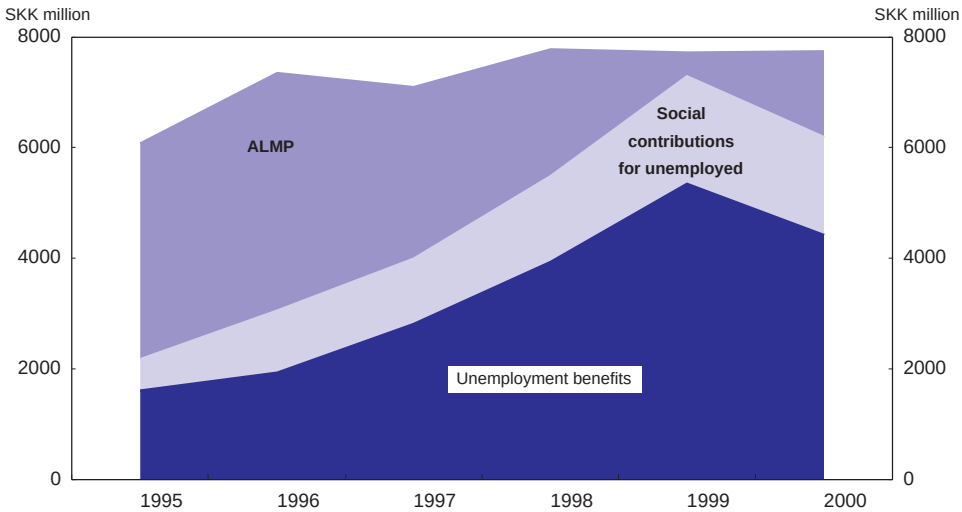
Figure 27. **Expenditures of the National Labour Office**



Source: National Labour Office.

68 000 persons – 12 per cent of the unemployed – participated in the *Public Beneficial Work* programme (Table 21), which provides short-term employment for the long-term unemployed, mainly for local public works. These jobs, which are financed by the central government, generally involve unskilled work and last an average of 6.4 months. In most cases, the wage is not much higher than the minimum wage. Increasingly, this programme includes persons who have been classified as "subjectively in need" as a result of refusing a job offer or moving voluntarily to unemployment and, as a result had their social assistance benefits halved. As noted above, three months of employment in public works is sufficient to entitle such persons to full benefits. In contrast to the emphasis on public-works jobs, the share of ALMP spending on supply-side programmes to increase the skills of the unemployed has been declining since the mid-1990s and in 2000 it accounted for 4 per cent of outlays. As a result, only 1.1 per cent of the unemployed participate in training, which is usually offered to meet the needs of a specific employer.[44]

The NLO also supports job creation by providing public loans or subsidies for new jobs filled by persons who are registered unemployed, the filling of vacancies with recent school graduates and helping the unemployed become self-employed. The use of wage subsidies has largely been phased out in recent years, with the number of participants falling from more than 33 000 in 1993 to less than

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Table 21. **Jobs created by active labour market policies**

	2000	2001
Supported Jobs		
Self-employment	113	2 434
School leavers	2	182
Agreed with employer	1 015	5 187
Invalid or handicapped workers	790	1 359
Sub-total	1 920	6 910
Per cent of registered unemployed	0.4	1.3
Public Beneficial Work[1]		
Short-term	2 062	4 407
Specially agreed	3	147
For long-term unemployed	65 626	38 446
Sub-total	67 691	43 000
Per cent of registered unemployed	13.4	8.3
Enrolled in training programmes	**1 500**	**24 558**
Per cent of unemployed	0.3	4.7
TOTAL	**71 111**	**74 468**
Per cent of unemployed	14.0	14.3
Memorandum items:		
Registered unemployed[2]	506 497	520 642
of which:		
Under 25	160 560	167 251
Long-term (more than 1 year)	220 816	219 713

1. The persons with these jobs are not included in the registered unemployed. Supported Jobs are created by subsidies to private-sector firms while Public Beneficial Work refers to public-sector jobs.
2. End of period figures.

Source: National Labour Office.

2 000 in 2000. Such a decline is appropriate, as evidence from other OECD countries shows that subsidised employment has large dead-weight costs and substitution effects that imply small net job creation.[45] This appears to be the case also in Slovakia where the programmes are only loosely targeted. Moreover, there is evidence that the wage subsidy and public employment programmes exert significant upward pressure on real wages (Huitfeldt, 2001). By easing the income loss resulting from unemployment, these programmes boost the reservation wage of the unemployed. On the positive side, though, these demand-side programmes may have the beneficial impact of maintaining the attachment of the unemployed to the labour force. In any case, budget constraints make the size of the programmes negligible relative to the large stock of unemployed.

The public employment services of the NLO are largely inadequate to assist the large number of unemployed. Indeed, at the district office level, there were 399 registered unemployed per official in 2000, though this represents a decline of 50 from the previous year. Reducing this number is important to

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improve the quality of assistance to the unemployed by identifying and targeting those with the greatest difficulty in finding employment. Another challenge is that district offices in charge of placement services lack technological equipment. It is important to improve the nation-wide network to publicise job vacancies and ensure continuous evaluation of the effectiveness of employment services. The share of the NLO in job placement varies from 7 to 12 per cent, with bilateral contacts between employers and employees accounting for the remainder. Private job placement agencies are allowed, subject to authorisation by the NLO, and there were 159 in operation at the end of 2000. Most of their placements – 94 per cent in the first half of 2001 – were for jobs in foreign countries, primarily the Czech Republic.

The introduction of activity-tested income support would help limit the disincentive effect of the social assistance programmes. Making such benefits conditional on work availability and participation in ALMPs would tend to promote employment. Moreover, they would help overcome the difficulties of closely monitoring job-search and availability conditions for unemployment insurance when the unemployment rate is very high. In addition to linking active and passive measures, implementing activity-tested income support would require a shift from passive to active policies. As noted above, only 16 per cent of labour market spending is devoted to active programmes, compared to an average of 37 per cent in the OECD area. Additional resources for active programmes could be obtained by eliminating the contributions from the NLO for sickness insurance, health and old-age pensions on behalf of those who are unemployed. Outlays for sickness insurance alone amounted to SKK 700 million in 2000 (6 per cent of labour market expenditures). However, there is no rationale for contributions on behalf of the unemployed for sickness insurance, which pays a worker's salary during absence from work due to illness.[46] As for health insurance for the unemployed, this is financed from general taxation in many other OECD countries. Finally, pension rights should be linked to labour income.

Lift barriers to labour mobility

Despite the large differences in job opportunities across regions in Slovakia (Table 14), internal migration is extremely low and fell further during the 1990s. By 2000, three persons per 1000 population moved between regions in Slovakia,[47] the lowest rate among OECD countries (Figure 28). Apart from Italy, the Czech Republic and Spain, regional mobility rates in OECD countries range between 10 to 25 migrants per 1000 population.[48] The factors hindering labour mobility include high transactions costs associated with moving and insufficient information about job opportunities in other regions. Moreover, social welfare benefits, which are the same throughout the country in nominal terms, also have a negative impact on mobility. An unemployed person is discouraged from moving

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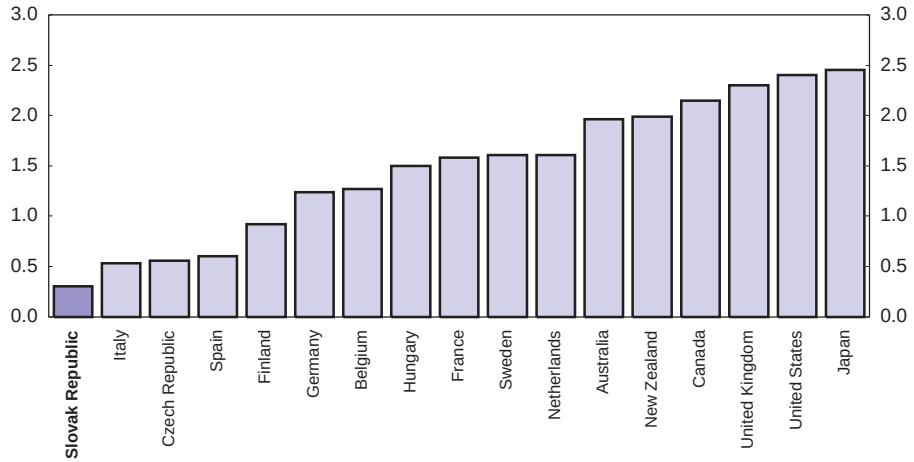
Figure 28. **Internal migration in selected OECD countries**

Per cent of total population, 1998



Source: OECD, *Employment Outlook, 2000*.

to a higher-cost area where jobs are more numerous, knowing that the real value of social assistance and support will be lower. Adjusting benefits for cost-of-living differences would remove this consideration.

The lack of a well-functioning housing market is the strongest deterrent to regional mobility. The most important problem is the persistence of extensive price controls on both the rental and purchase of housing. These controls stem from the process of privatising state-owned housing, which sold dwellings to occupants at prices well below market levels. To prevent speculation, the transfer of property was accompanied by constraints on reselling and on rents. Housing units still owned by the government are also rented at prices well below the market level. As a result, there are strong incentives not to move as it implies giving up a residence at a low, controlled price and paying high, free-market prices for new lodging. Extensive regulations also keep the size of the market for new houses very small, thus boosting the gap between controlled and free-market prices. Efforts should be made to gradually eliminate controls on prices and restrictions over the transfer of property.[49]

Commuting could help overcome the problems posed by the housing market. Nevertheless, an inefficient infrastructure and a rise in transport costs in

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recent years, particularly following the liberalisation of energy and transport prices, has reduced the already low number of commuters. As commuting costs are particularly burdensome for low-paid workers, the government introduced in 2002 transport allowances for unemployed workers taking up jobs with a maximum duration of twelve months. The allowance is capped at SKK 1 500 per month.[50] This, however, should be a temporary remedy as the transport infrastructure develops.

Measures to promote hiring and job creation

Enhance the flexibility of wages and employment

As noted above, a number of factors contribute to wage rigidity, such as highly centralised wage-setting procedures and a social welfare system that raises workers' reservation wages and sets a floor for all workers. One aspect of increasing flexibility is reducing the generosity of social assistance. In addition, wage outcomes at the firm level should not be constrained by higher-level agreements, and the obligation to extend agreements to enterprises not represented in the negotiations should be eliminated. Finally, the wage tariff system, which poses a serious potential constraint on wages, should be abolished.

Labour legislation regulates a wide range of details concerning employee-management relations, reducing the scope for contractual negotiations. Working time is closely regulated and the use of fixed-term contracts is limited to three years. While the criteria for contract termination are not very restrictive, the need for approval by trade unions[51] and the consequent delays, together with severance payments, make dismissals rather costly. The details of labour legislation are discussed in Box 8.

The large-scale redundancies associated with industrial restructuring suggest that employment protection is not significantly hindering labour adjustment thus far. However, the experience of other OECD countries indicates that employment protection rules like the ones in Slovakia can have important distortionary impacts on the labour market by discouraging forward-looking employers from hiring new workers. The potential costs associated with future dismissals are added to the actual labour costs for comparison with the anticipated marginal productivity of the new workers. Such costs arise not only from high severance payments but also from the obligation to undertake lengthy or complex procedures in order to dismiss workers or to reallocate them geographically or functionally. Strict labour market regulations are particularly burdensome and costly for small firms, thus discouraging the creation of new businesses.

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Box 8. Labour legislation in the Slovak Republic

Labour legislation includes a labour code introduced in 1965 and repeatedly amended since 1990 at the time of the transition. In 2001 a new labour code was adopted, which entered into effect in April 2002, together with the Civil Service Act and the Public Service Act. This legal framework imposes detailed regulations covering a wide range of areas, including dismissals and severance payments, the duration of contracts, working time and overtime hours.

The criteria for *dismissing workers* are relatively broad and flexible. The minimum notice period is normally two months, but is extended to three months in case of relocation or closure of a firm. *Severance payments* must match two months of net average earnings.[1] Dismissal of 20 or more employees over a period of 90 days is considered to be a collective redundancy and requires one-month advance notice to the NLO and the trade unions. Prior to letting workers go, the firm must negotiate with the trade union to seek all possible measures to minimise redundancies. Employers are no longer obliged to help dismissed workers look for a new job, in co-operation with the local labour office, or to keep workers on the payroll until a job is found.[2]

The *duration of contracts* is assumed to be indefinite unless otherwise specified. Fixed-term contracts can be signed or extended for a maximum of three years, with new contracts signed with a former employee within one year of leaving the firm considered to be extensions. The three-year limit does not, however, apply to firms with less than 20 employees. The maximum duration of probation is a non-renewable three months.

Maximum *working hours* are set at 40 per week and nine per day. Lower limits are applied to youth under 16 years of age (30 hours) and to adolescents over 16 (37.5 hours), thus reinforcing the negative effect of the minimum wage on the demand for young workers. Working time has to be evenly distributed, with the difference in weekly schedules not exceeding three hours. However, the employer may introduce a flexible working time system if the hours of work are set by the employee. Employees must receive at least two consecutive days off per week. A wide range of other working conditions are specified, such as resting time between shifts, break time at work and the length of annual holidays. While such restrictions are aimed at protecting workers, taken together, they may pose a constraint on the contractual autonomy of firms and their employees.

Maximum *overtime work* is eight hours per week and 150 hours in a calendar year and overtime pay is set at a minimum of 25 per cent over regular earnings. Night-shift work (from 10 p.m. to 6 a.m.) must be paid 20 per cent more than daytime work.

Disabled persons must account for at least 3 per cent of employees at firms with 20 or more employees and severely disabled persons must account for 0.2 per cent.[3] In addition, workers with disabilities can only be dismissed, regardless of the reason, with the consent of the District Labour Office, unless entitled to old-age pension.

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Box 8. **Labour legislation in the Slovak Republic** (*cont.*)

A new Labour Code was introduced in April 2002. The major changes in this new legislation are discussed in the main text.

1. Higher levels of severance pay can be set through collective bargaining.
2. This obligation, however, remains in the case of dismissals related to the threat of occupational disease.
3. This requires enterprises with 20 to 50 employees to hire at least one disabled and one seriously disabled worker. Fines for non-compliance amount to SKK 16 200 per missing disabled worker and SKK 32 400 per missing seriously disabled worker.

Improve labour force skills and competencies.

A lack of highly qualified human capital appears to be a major factor hindering progress in Slovakia. In particular, the relatively small proportion of university graduates limits the scope for more technology-intensive industries. Moreover, a lack of skilled professors and teachers constitutes a severe constraint for improving the education system. Upgrading the education and training systems should have a high priority in the policy agenda and may require devoting greater resources for education. Total expenditure on education was 3.9 per cent of GDP in 2000, the second-lowest in the OECD area and well below the 5.7 per cent average (Figure 29). The educational level of the labour force is low and has risen only gradually in recent years. School enrolment rates, which are nearly 100 per cent for primary and lower secondary school, are relatively low at 73 per cent for upper secondary school and less than 20 per cent for university or higher education. In addition, the curriculum at the university level has failed to adapt to demands for new knowledge. To the extent that this might reflect a lack of human capital capable of developing new educational programmes, the government might consider increasing grants or loans for post-graduate studies abroad.

The main shortcomings of the education system are found at the secondary level, where only 17 per cent of students attend grammar schools preparing them for higher education. The remainder are in specialised or vocational schools providing narrow technical skills and these students have little opportunity to change skills. More than a third of technical and vocational schools focus on skill training for branches of industry that are declining, helping to explain why nearly 80 per cent of the registered unemployed have a primary or vocational education. A greater proportion of students should be given a general education, which is

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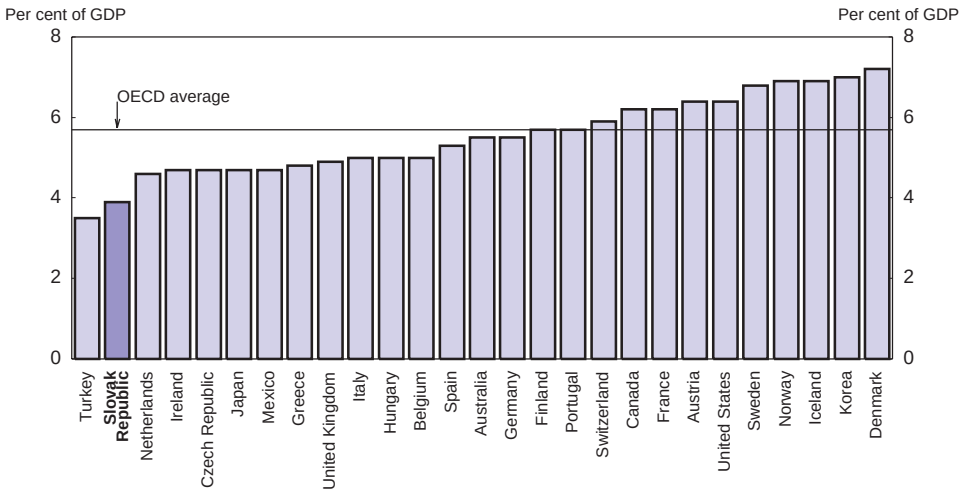
Figure 29. **Expenditure on education in OECD countries**



1. Data refer to 2000 for the Slovak Republic and 1998 for other countries.
Source: OECD, *Education at a Glance* (2001).

necessary to advance to university and perhaps more importantly, promotes life-long learning.

While reforming the education system is a priority over the medium term, meeting the demand for improved human capital in the short term depends on improving training and re-training programmes. This requires increasing the involvement of enterprises in designing courses and their contents, as well as in the provision of practical training. Only 2.7 per cent of students are trained in enterprises. Since the responsibility for training is dispersed among several layers of government and several ministries, co-ordination among them is essential. Moreover, given the lack of qualified professionals to provide training in some areas, it might be useful to introduce some degree of administrative centralisation.

Improve the entrepreneurial climate

According to a 1999 survey of small firms in the Slovak Republic, the four main obstacles limiting their development are high credit costs, the heavy tax burden, complex tax regulations and entry barriers, some of which have been addressed in the meantime.[52] The high cost of financial capital reflects the fragility of the banking system and the absorption of resources by large ailing public enterprises during the second half of the 1990s, which limited the supply of credit

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to the private sector. The lack of a legal framework providing guarantees to lenders also discouraged the growth of credit. More recently, though, the privatisation and restructuring of the banking system has put banks in a better position to supply funds, while the new bankruptcy law provides the necessary guarantees (see Chapter IV). However, cautious lending policies adopted while banks designed new credit strategies, as well as unfamiliarity with the new legal framework, kept credit growth sluggish through 2001.

The second obstacle cited – the high overall tax burden – reflects low employment rates and a sizeable informal economy that reduces the tax base. In turn, high taxes encourage enterprises to engage in unregistered activities. As noted above, the tax wedge in Slovakia is somewhat above the average for OECD countries (Figure 26), reflecting social charges set at 50.6 per cent of wages. Given the observed low responsiveness of wages to unemployment in Slovakia, high taxes are likely to translate into high labour costs and lower demand for labour. To the extent that the demand for low-skilled workers is more cost-elastic than for more educated workers,[53] cuts in payroll taxes targeted on the low-paid might have a considerable effect on employment and may also promote the creation of small and medium-sized enterprises.[54] However, there has been progress recently in reducing income tax rates. The corporate rate was reduced to 29 per cent in 2001 and then to 25 per cent in 2002, while tax compliance for small enterprises was simplified by allowing them to apply a flat tax rate estimated on the basis of revenue.[55] This also reduced the tax burden for such firms. Personal income tax rates were also reduced, from 42 to 38 per cent at the high end and from 15 to 10 per cent at the low end.

More generally, rules governing the creation of firms are complex and registration procedures are still time-consuming (see Chapter IV). This is particularly burdensome for small and medium-sized enterprises that cannot afford to hire specialists. The process needs to be further streamlined, with better co-ordination between agencies and a centralisation of procedures.

Priorities for action

With one of the highest rates of unemployment in the OECD area, the labour market ranks perhaps as the most serious problem in the Slovak economy. Policies to improve labour market outcomes should be a top priority. The central challenge that emerges from the analysis above is that the high level of social assistance benefits, and the taxes used to finance social insurance programmes, weaken incentives to work, especially for those with large families and with low levels of education. At the current level of labour productivity, the wage rates needed to make work attractive for a significant portion of the workforce is beyond the capacity of firms to pay. One option is to reduce social assistance levels, although this might not be socially acceptable. However, the introduction in 1999

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of the category of "in need for subjective reasons", which allows social assistance benefits to be cut by half, and the broadening of the criteria for this category in 2001, suggest that there is scope for such reductions.

To the extent that cuts in social benefits are not socially acceptable, it is essential to reduce the distortionary effects of social assistance through other reforms. One aspect of limiting the impact of social assistance on work incentives is to ensure that the eligibility conditions – namely job search and the willingness to accept a position – are strictly enforced. Adequate enforcement, though, is complicated by the fact that there are more than half a million unemployed persons and only around a thousand job placement officials to assist them. In practice, implementing an "activity-tested" approach to benefits requires additional resources, as well as increased co-operation between ministries involved in social policies. The National Employment Plan issued at the end of 2000 (Box 9) recognises the need to reinforce job placement services by working more closely with the unemployed, assessing annually the performance of labour offices and enhancing information systems. One measure currently under discussion is the introduction of a new layer of labour offices at the local level to improve services for the unemployed. However, there is a risk that this might actually reduce access to information on job opportunities unless greater communication and co-ordination among offices is ensured. Moreover, given the large fiscal deficit, any reform in the NLO network should be undertaken cautiously so as not to increase spending. Greater reliance on private job placement agencies might be a cost-effective way of promoting job search.

Other steps to reduce the disincentives in the social assistance system include adjusting social benefits for regional differences in the cost of living. This would encourage labour mobility, especially if accompanied by reforms in the housing market. In addition, the gap between average wages and benefit levels should increase over time so as to encourage work. The authorities might also want to consider some type of "in-work" benefit to make employment more rewarding. In reforming the social assistance system, it is important to draw on the successes achieved in some other OECD countries.

Lowering the disincentives inherent in the social welfare system should be accompanied by measures to reduce the tax burden on labour, particularly for financing the social insurance programmes. The priority is to overhaul these programmes to reduce the growth of expenditures and allow a decline in contribution rates. In addition, the social assistance aspects of these systems should be financed by general taxation. Finally, the authorities might consider shifting some of the funding for social security programmes away from payroll taxes to general taxation.

In the longer term, the key is to raise the productivity of workers to allow higher wages, which will make work more attractive, assuming that social benefit

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Box 9. The National Employment Plan

In November 2000, the government announced the National Employment Plan, which sets out a programme for promoting economic growth and employment. Following the European Commission's strategy for employment, the plan is based on four policy objectives: *Enhancing Employability of Workers*, *Promoting Entrepreneurship*, *Improving Capacity of Enterprises to Adapt* and *Strengthening Equal Gender Opportunities*. The plan identifies the necessary measures to meet each objective, including legislative reforms.

The plan proposes to *enhance the employability of workers* by upgrading the skills of the labour force, improving and expanding ALMPs and removing disincentives to work. To raise the level of human capital, the plan calls for improving secondary education and enhancing training and continuing education. The numbeer of jobs created through ALMPs, which currently provide work for 10 per cent of the unemployed, is to be expanded to include 20 per cent of the unemployed. This will be accomplished through the creation of more public-works jobs and increasing wage subsidies, in particular for the young. In addition, job mediation by the NLO is to be improved. The plan also recognises the work disincentives created by the social assistance system. However, raising wages is identified as the primary solution to that problem.

To promote *entrepreneurship*, the plan places great emphasis on providing financial assistance to business and agricultural activities in regions of high unemployment. Indeed, it explicitly states the need to support even non-competitive agricultural activities for environmental reasons. The plan recognises the importance of increasing inflows of foreign direct investment to boost employment, but at the same time, proposes introducing a requirement that foreign investors purchase 30 to 60 per cent of their inputs from domestic producers. Enhancing the legislative framework, facilitating bank restructuring, developing infrastructure and creating industrial parks in economically depressed areas are presented as measures to improve the entrepreneurial climate. Other proposals include the provision of advisory services and special financial support for small and medium-sized enterprises and intensified enforcement of labour regulations.

To *enhance flexibility and adaptability of business and employment*, the plan calls for supporting labour mobility by subsidising commuting costs and the expense of moving to a new residence. It also recognises the need to improve the functioning of the housing market, although no specific steps are proposed. In addition, the plan recommends substituting overtime work with flexible forms of work, such as part-time employment. Finally, it proposes the development of a programme to increase productivity.

Equal gender opportunities are to be re-enforced by intensifying enforcement of regulations on equal opportunities and monitoring compliance with equal remuneration principles. In addition, NLO employees are to be trained to promote equal opportunities for women in their job placement activities and special programmes for educating women for managerial posts are to be created.

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Box 9. **The National Employment Plan** (*cont.*)

The National Employment Plan represents an important step in identifying the diverse elements hindering employment growth. However, while problems are well identified, in many areas the plan does not provide concrete solutions that can be implemented by policymakers. This is the case, for example, for the proposal to improve the housing market. In other areas, the measures proposed are not consistent with the stated objective. In particular, the proposal to impose constraints on the activities of foreign firms is unlikely to promote the objective of attracting more foreign investment. In the area of work incentives, the focus on wages would be counterproductive if it led to steps to artificially raise salaries, thus reducing employment. Instead, the government should focus on the areas where it has direct control, *i.e.* the tax and social welfare system. Finally, the plan places too much emphasis on government initiatives to create, subsidise and preserve jobs, invest in infrastructure and create industrial parks. More attention should be focused on creating the economic conditions that favour job creation in the private sector.

levels do not increase by the same amount. Increasing productivity requires strengthening the education and training systems. The National Employment Plan includes a medium-term goal to upgrade the education system by boosting the proportion of young people who complete secondary education from less than two-thirds to 80 per cent. A second objective is to raise the share of 18-year-olds advancing to higher education from a quarter to a third. In addition to these quantitative targets, the government submitted to Parliament a programme in 2001 – *The National Programme for Upbringing and Education* – setting out a strategy for improving the quality of the education and training systems. The main objectives of the programme include raising the overall level of educational attainment, restructuring and rationalising vocational education, enhancing mobility between programmes and cycles and providing access to information technology to all schools. The programme envisages a rationalisation of secondary technical education and seeks to involve the social partners in the design of secondary vocational training. With the downsizing of technical curriculum, participation in general education at the secondary level would be increased. Training efforts in Slovakia are relatively minimal. At present, only 1 per cent of the unemployed receive training, suggesting there may be scope for greater efforts in this area. The success of training, though, will depend on its focus on teaching the skills demanded in the labour market, suggesting an important role for private-sector firms in creating training programmes.

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Improvements in the education system will take a considerable time to bear fruit. In the meantime, it will be important to ensure a healthy business climate and a sound financial system (see Chapter IV) to promote job creation. In addition, enhancing labour market flexibility should be a priority. A new labour code was approved by Parliament in July 2001 and took effect in April 2002. However, the new code represents a missed opportunity to remove negative aspects of labour legislation that imposed detailed and restrictive rules, thus impairing labour market flexibility (Box 8). In particular, the new code preserves the wage tariff system, which sets minimum wages for the 40 per cent of employees not covered by collective bargaining. Moreover, despite being implemented during a period of extremely high unemployment, it introduces a number of provisions that are likely to reduce labour market flexibility, exacerbate the unemployment problem and discourage foreign investment. Perhaps most importantly, it maintains the powerful role of trade unions in the management of firms. Employers are required to gain the approval of workers' representatives on such issues as staff training, working conditions and the transfer of a business, in addition to individual and group dismissals. For example, the right of an employer to unilaterally assign a worker to another task or require a business trip is restricted. In firms without trade unions, management is required to consult with work councils, which consist of workers elected by their peers. In addition, the new code allows trade unions to act as inspectors to monitor the compliance of firms with labour regulations. Consequently, union officials unrelated to a firm have the right to enter a company to obtain information necessary to fulfil this role.

Another potentially damaging aspect of the new labour code is that changes in the ownership of an enterprise require at least one-month advance notification to the competent trade union. Moreover, the reason for the transfer and the expected legal, economic and social consequences for labour should be specified. Most importantly, the new management is obliged to assume all the responsibilities of the previous owner with respect to its employees, thus restricting the scope for restructuring through mergers and acquisitions.

One positive effect of the new labour code is that it integrates diverse labour market legislation implemented during the past decade into a single law. In addition, the new code brings Slovak labour legislation into line with the standards of EU countries as another step in the accession process. The code includes some improvements, such as allowing firms with less than 20 employees to use fixed-term contracts beyond the three-year time limit, which will tend to enhance labour market flexibility. In addition, the new code establishes a Guarantee Fund to provide up to three months of back wages to employees at firms that go bankrupt.

In sum, reforms in a wide range of areas are necessary to upgrade human capital and improve the functioning of the labour market. The Slovak authorities have correctly identified the main problems in the labour market and launched

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proposals, notably the National Employment Plan, to address these issues. However, more progress is needed in developing specific proposals and identifying the necessary resources. Moreover, in some areas, such as the new labour code, policy changes have gone in the wrong direction. The most important finding derived from the experience of OECD countries is that structural unemployment can be reduced when comprehensive reform strategies are well-designed and effectively implemented.[56] Moreover, it is essential that reforms be set in a medium-term framework since it often takes some time before the full benefits of policy changes become visible.

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IV. Enhancing market forces

The policies during the 1990s aimed at establishing a market-based economy failed to generate fully the expected gains in efficiency. Two waves of privatisation of state-owned enterprises increased the private sector's share of output to 80 per cent by 1998. However, the performance of enterprises and financial institutions was disappointing, as reflected in an increased number of loss-making enterprises, mounting non-performing loans, arrears to tax authorities and declining employment. The weakness of the banking system, which was primarily state-owned and subject to political interference, was a major factor in these problems. Indeed, non-performing loans amounted to a third of their loan portfolios, implying that much of Slovakia's high level of investment was not used productively. In addition, the institutional requirements for a market-based economy, such as bankruptcy procedures, the corporate governance framework, the commercial code and the judicial system, proved to be inadequate. Furthermore, the exclusion of foreigners from the privatisation process limited inflows of management expertise and technology.

Faced with the problems in the enterprise and financial sectors, the macroeconomic package introduced in 1999 (see Chapter II) was accompanied by reforms to develop a market-based economy. The financial sector has been overhauled, while measures have been introduced to strengthen the corporate governance framework, improve bankruptcy procedures, relax regulations and lower the corporate tax burden. This two-pronged approach was intended to enhance financial discipline and improve resource allocation, which will have growth enhancing effects. The ultimate goal is to achieve sustainable growth rates of 4 to 6 per cent and to lay the groundwork for Slovakia's entry into the European Union. Indeed, the reform programme is driven in part by pre-accession commitments with the EU. Negotiations, which have been opened in 30 of 31 chapters, were provisionally closed in 24 chapters (Box 10). The conditions attached to the Enterprise and Financial Sector Adjustment Loan granted in 2001 by the World Bank have also promoted reforms.

One objective of the Slovak Republic's pre-accession economic programme agreed to with the European Commission is to boost its per capita

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Box 10. The European Union accession process for the Slovak Republic

The Slovak Republic has established the objective of joining the European Union at the earliest possible date. The criteria for EU accession cover a broad range of political, economic and institutional requirements, as summarised by the Copenhagen Council in 1993. The *political criteria* require that candidate countries have achieved "stability of the institutions guaranteeing democracy, the rule of law, human rights, and respect for and protection of minorities". In its 1999 report, the Commission of the European Communities concluded that Slovakia fulfilled the political criteria. Since then, the country has made considerable progress in further deepening the stability of its institutions guaranteeing democracy (Commission of the European Communities, 2001).

The *economic criteria* state that applicant countries must have a functioning market economy and the capacity to cope with competitive forces within the EU. The 2000 and 2001 reports by the Commission stated that Slovakia qualified as a functioning market economy. However, its ability to cope with competitive pressures within the Union in the near term, it stated, required "further substantial efforts in medium-term fiscal consolidation and in developing and fully implementing the announced structural-reform programme".

The *institutional criteria* require candidate countries to accept the obligations of membership, including adherence to the aims of political and Economic and Monetary Union (EMU). In addition, they must bring legislation in line with the EU's common body of law (*acquis communautaire*) and implement it through appropriate administrative and judicial structures. As noted in the text, negotiations have been provisionally closed in 24 chapters (Table 22), suggesting considerable progress in harmonising Slovakia's legal framework. In particular, progress has been achieved in the "four freedoms" that comprise the cornerstone of the internal market. A major concern, though, has been the implementation of the *acquis*. In the 2000 Report, the Commission stated that "progress is generally more noticeable in legislative developments than in the strengthening of the institutions responsible for implementation and enforcement". While the 2001 Report noted some improvement, overall progress in this regard has been limited.

income, measured on a purchasing power parity basis, to at least one-half of the EU average by 2004. While per capita income converged toward the EU average during the years immediately following independence, the policies boosting growth were not sustainable. The stabilisation policies introduced in 1998 as a consequence have temporarily reversed the convergence trend (Figure 30). Achieving a solid, sustained growth rate will be facilitated by the high level of

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Table 22. **State of negotiations for EU accession**
As of 2 May 2002

Chapter	Provisionally closed	Under negotiation
1. Free movement of goods	×	
2. Free movement of persons	×	
3. Free movement of services	×	
4. Free movement of capital	×	
5. Company law	×	
6. Competition		×
7. Agriculture		×
8. Fisheries	×	
9. Transport	×	
10. Taxation	×	
11. European Monetary Union	×	
12. Statistics	×	
13. Social policy	×	
14. Energy	×	
15. Industry	×	
16. Small and medium-sized enterprises	×	
17. Science and research	×	
18. Education and training	×	
19. Telecommunications	×	
20. Culture and audiovisual	×	
21. Regional policy		×
22. Environment	×	
23. Consumers and health protection	×	
24. Justice and home affairs		×
25. Customs union	×	
26. External relations	×	
27. Common foreign and security policy	×	
28. Financial control	×	
29. Financial and budgetary provisions		×
30. Institutions		×
31. Other		

Source: Commission of the European Communities.

fixed investment, which at 31 per cent of GDP, is a third higher than the EU average. However, effectively using invested capital requires further improvements in the functioning of the economy, including important changes in the labour market, which were discussed in the previous chapter. This chapter begins by discussing developments in the financial sector. The following section reviews enterprise restructuring through privatising state-owned enterprises and improving the business climate, which should promote inflows of foreign direct investment. The chapter ends with an assessment of the scope for further reforms.

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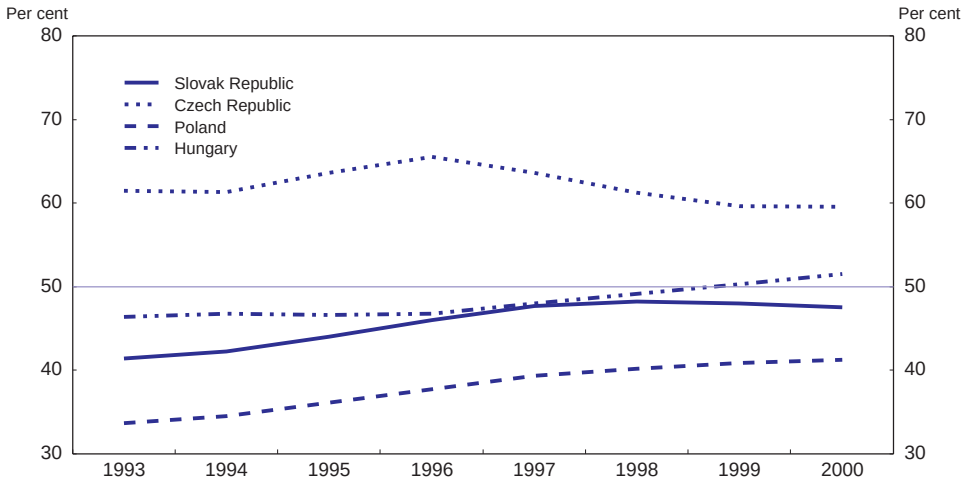
Figure 30. **Per capita income relative to the EU average**
GDP per capita at price levels and PPPs of 1995



Source: OECD.

The financial sector

A well-functioning financial system is essential to ensure an efficient allocation of resources and maintain stability in the face of large and volatile capital inflows. The pervasive presence of the government in the Slovak banking sector had a negative impact on both the banks themselves and on economic efficiency. The restructuring and privatisation of the banking sector has been perhaps the most important reform accomplished in the past few years, as it has reduced government intervention in the enterprise sector, imposed discipline on firms and limited moral hazard problems. In contrast to the banking system, the capital market is still at an embryonic stage of development.

The banking sector

The problems in the banking sector were concentrated in three state-owned banks, whose share of total bank assets fell from 70 per cent at the time of independence to 47 per cent in 1999. Nevertheless, the state's share of the banking system was still the highest among the four transition economies in the region, while the foreign-owned share was relatively low (Table 23). The gap between lending and deposit rates was relatively large in Slovakia, while high non-performing loans[57] contributed to a low capital adequacy ratio.

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Table 23. **The banking sector in transition economies**
1999

	Slovak Republic		Czech Republic	Hungary	Poland
	1999	April 2002			
Number of commercial banks[1]	23	18	42	37	77
Majority state-owned					
Number	5	2	4	2	7
Share of total assets	47.1	1.9	23.2	11.8	23.9
Majority foreign-owned					
Number	10	15	14	27	39
Share of total assets	30.2	94.9	26.8	61.4	47.2
Total bank assets as per cent of GDP	100.4	95.2	181.3	67.8	59.5
Non-performing loans[2]	23.7	14.0[3]	32.1	8.8	13.7
Risk-weighted capital-asset ratio	12.6	19.7[3]	13.7	14.9	13.1

1. 1998 for Hungary.
2. Loans more than 90 days overdue as a share of total bank lending.
3. In 2001.
Source: Wagner and Iakova (2001), and the National Bank of Slovakia.

The three major state-owned banks[58] had serious problems of loan quality, with non-performing loans accounting for more than half of their total lending. While this was due in part to problems inherited from the pre-transition days, a number of other factors were also responsible. *First*, there was considerable political interference in bank lending decisions in the 1994 to 1998 period.[59] Such influences encouraged banks to continue lending to long-time clients, many of them state-owned enterprises, with poor financial prospects. This tendency also reflected the inability of banks to evaluate appropriately loan risks associated with the new entities created in the wake of the transition. *Second*, inadequate bank supervision allowed significant problems in asset quality to accumulate. *Third*, enterprises tended to run high leverage ratios and were hurt by volatile movements in exchange rates and interest rates in 1997 and 1998. *Fourth*, a weak bankruptcy framework protected debtors to the extent that it was difficult for banks to resolve bad loans. Given the problem of loan quality, the combined capital adequacy ratio for the three banks was 4.4 per cent in 1998, well below the 8 per cent standard imposed at the end of 1996. However, banks undergoing restructuring were allowed a three-year delay in meeting this requirement, a decision that did not encourage them to operate in a prudential manner. In sum, the authorities failed in their dual role as owners and regulators of the large banks.

With the big three banks' share of assets falling, the smaller commercial banks have played an increasingly important role. These banks generally had stronger loan portfolios, as they were less encumbered by non-performing loans

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from the pre-transition period. Nevertheless, their weakness in analysing risk and poor prudential supervision led to problems in these institutions as well. Many of these banks were controlled to some extent by state-owned enterprises, local governments or central government institutions, resulting in political interference in their activities. The high level of concentration and the gap between lending and deposit rates, which reached 10 percentage points in 1998, also suggested that competition was weak in the banking sector, though it also reflected poor credit quality. While high lending rates were positive for banks' earnings, they imposed an onerous burden on the economy. Overall, the significant level of public ownership and the large amount of non-performing assets limited the willingness and capacity of the banking sector to support emerging enterprises.

The restructuring programme

The authorities launched a programme to re-capitalise the three large state-owned banks and address their problem loans at the end of 1999. The main objective was to boost capital adequacy ratios to above 8 per cent and to reduce non-performing loans to less than 20 per cent of banks' portfolios. The first step was an SKK 18.9 billion direct equity infusion in December 1999. This was followed by a carve-out of bad assets in two steps at the end of 1999 and June 2000. In total, SKK 105 billion (12 per cent of GDP) was transferred to the Slovak Consolidation Agency (SKA) and the Konsolidačná banka (KOB) and replaced by government bonds with maturities of between five and ten years. As a result, non-performing loans were reduced to 18 per cent of the three banks' total loans at the end of 2000 and their capital adequacy ratio boosted to above 12 per cent. To maintain healthy balance sheets in the run-up to privatisation, the government imposed strict controls on the banks, including changing their management, while the National Bank of Slovakia monitored their performance. The banks undertook cost-cutting measures, including layoffs. Total employment in the banking sector declined 10 per cent between September 1998 and the end of 2001.

The most important element of the reform programme was the sale of the three major banks to foreign banks in 2001 and 2002.[60] As a result, the share of foreign investors in banking sector assets rose to 95 per cent in April 2002 (Table 23). In terms of equity capital, the foreign share was 84 per cent (Figure 31), a figure well above that in the Czech Republic (70 per cent), Hungary (67 per cent) and Poland (57 per cent). Fifteen Slovak banks are either completely or majority foreign-owned. The revenue from the sales of the three banks amounted to 60 per cent of the cost of the re-capitalisation of the banks and the carve-out of bad assets.

It was clear by 1999 that a number of the smaller banks also faced serious problems. Of these banks, two were sold to foreign investors, one was merged with a larger bank and four were liquidated. These steps have helped to reduce

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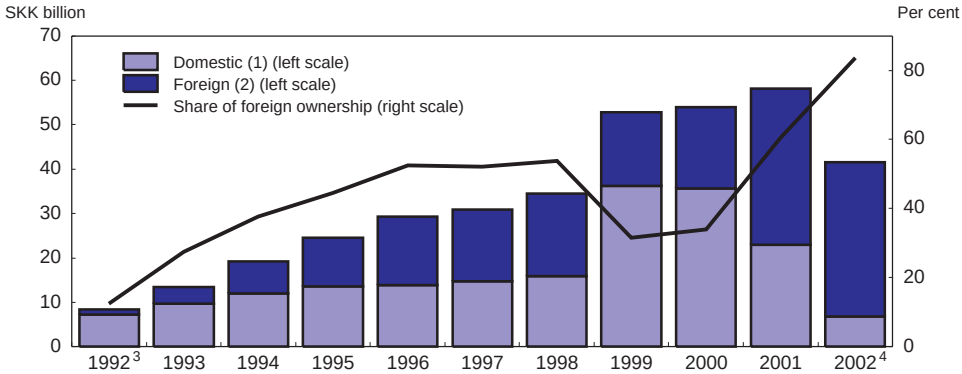
Figure 31. **The foreign presence in the banking sector**
Equity capital in the banking sector at end of year



1. Banks without foreign capital participation.
2. Banks with foreign capital participation or the branch offices of foreign banks.
3. 1 January 1993.
4. 4 April 2002.

Source: National Bank of Slovakia.

the number of banks to 18 at present[61] and have brought remaining banks into compliance with NBS regulations, with the exception of four that are currently in bankruptcy proceedings. The reimbursement of insured deposits at the failed institutions, however, depleted the resources of the Deposit Insurance Fund (DIF), which insures deposits up to a level equivalent to about thirty times the average monthly wage. To meet its shortfall, the DIF was forced to borrow from the central bank. It has since implemented a number of changes. *First*, it raised the insurance premium as part of a plan to repay its loan to NBS and rebuild its reserves. *Second*, the scope of deposit guarantees was lowered from 100 per cent to 90 per cent to encourage depositors to monitor the health of banks. *Third*, stricter rules for bank conservatorship and liquidation have been introduced to reduce claims on the DIF.[62] Another priority to limit claims on the deposit insurance system is to upgrade the regulatory framework, as it has been at the root of many of the problems in the banking sector.

To improve prudential supervision, it was important to end a pattern of regulatory forbearance, which had allowed problems to grow. Reforms were introduced by the new Banking Act, which came into effect in 2002, and the 2001 amendment to the National Bank of Slovakia Act, which moved the legal framework closer to EU standards and based regulations on the Basel Core principles.

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The key improvements introduced in the supervisory framework included the following:

- *The power of the National Bank of Slovakia to regulate banks has been strengthened.* It can now issue binding regulations, while legal protection for NBS bank examiners has been enhanced. In addition, the role of the Ministry of Finance in bank supervision has been ended[63] and the NBS is allowed to share information with other supervisory agencies and the DIF.
- A *Prompt Corrective Action framework has been introduced.* Supervisors are obliged to take certain steps whenever a bank's capital adequacy ratio falls below certain thresholds. When it falls below 8 per cent, for example, the bank concerned is required to present a revitalisation plan. At 4 per cent, the NBS introduces forced administratorship and, at 2 per cent, the banking license is withdrawn.
- *The duties and responsibilities of the supervisory board and management have been clearly defined.* The supervisory board is responsible for providing effective governance and appointing a qualified management team. Any failures in this regard make the supervisory board and management liable for legal action by the NBS and the bank's investors.
- *Consolidated supervision has been introduced* to forestall any schemes to spin off riskier activities to affiliated non-banks subject to less supervision.
- *Bank accounting and disclosure practices have been improved.* The new banking law requires quarterly financial disclosure and increases the independence of auditors from bank management.

Remaining issues in the banking sector

The restructuring process has improved the health of the banking sector. By the end of 2001, the aggregate capital adequacy ratio had risen above 19 per cent, while non-performing loans have fallen from 32 per cent of total loans in 1998 to 14 per cent (Table 24).[64] Moreover, the banking sector, which had recorded losses since the mid-1990s, returned to profitability in 2000 and 2001. Perhaps even more importantly, the restructuring programme has transformed the banking sector from one dominated by state-owned institutions to one in which the most prominent role is played by foreign-owned banks. The entry of foreign expertise is likely to encourage innovation and competition, improve corporate governance and introduce more sophisticated risk-management techniques. Hopefully, this will help in overcoming remaining problems, notably low profitability and non-performing loans that are still high.[65] However, banks have yet to play an active intermediation role, with credit to the private sector stagnant in 2000 and rising by only 5 per cent in 2001. Most loans were short-term in nature, and the access of small and medium-sized enterprises to bank finance was quite limited. To some

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Table 24. **Banking sector indicators**
Per cent[1]

	Non-performing loans[2]	Capital adequacy ratio	Return on assets[3]	Profits[4]
1997	27.2	8.1	0.10	0.7
1998	31.7	6.7	–0.46	–3.7
1999	23.7	12.6	–2.33	–16.8
2000	15.3	12.5	1.48	11.8
2001	14.0	19.7	1.01	8.9

1. Excluding the Konsolidačná banka (KOB).
2. As a per cent of total loans.
3. Prior to deductions for provisions and loan write-offs.
4. Billions of Slovak koruna.
Source: National Bank of Slovakia.

extent, the slow expansion of bank credit reflects a wait-and-see attitude of new management and owners as they develop lending strategies in the new environment. However, bank lending appeared to accelerate in the first quarter of 2002.

As bank lending expands, it will be crucial that supervision is adequate to prevent a recurrence of the problems of deteriorating loan quality experienced during the 1990s. The increased foreign presence in the Slovak banking sector is a positive factor in this regard. The home-country headquarters of the newly-privatised banks will presumably closely monitor the operation of their Slovak subsidiaries. Moreover, the home-country supervisors will be indirectly involved as they monitor the performance of the parent institutions. However, this will not be sufficient to ensure adequate supervision, particularly in the smaller, domestically-owned banks. Upgrading supervision will require following through on some additional changes planned in the area of auditing. *First*, banks' accounting standards are to be harmonised with International Accounting Standards in 2002. Two steps in this process are the introduction of mark-to-market accounting on a quarterly basis for securities in banks' portfolios and the suspension of interest accrual on loans overdue more than 90 days, which has forced banks to pay taxes on income that they do not receive. *Second*, a code of conduct is to be introduced, the licensing and control of auditors by the Chamber of Auditors is to be strengthened and penalties for misconduct are to be increased. In the area of deposit insurance, a study comparing the Slovak system to those in other OECD countries is to be completed in mid-2002 to serve as the basis for reform. Improving the DIF is crucial since the level of deposit insurance is to be raised from 30 times the average monthly wage to 40 times in July 2002 in order to comply with EU directives in this area. Finally, the loan classification system, which treats loans more than 90 days overdue as non-performing, is to be upgraded, as it has been in many countries, to place more emphasis on forward-looking measures of borrowers' ability to repay loans.

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Improvements in the supervisory framework can only be effective if they are accompanied by upgrading the skills and increasing the resources of bank supervisors. Traditionally, there has been a shortage of qualified examiners and the NBS has relied on off-site review of bank reports, which has failed to detect problems at an early stage in many cases. With 13 on-site examiners, only four banks underwent comprehensive on-site examinations in 2000. The number of examiners is to be increased to 48 to enable an annual examination of each bank. Such an approach is necessary to detect problems at an early stage by ensuring that loans are correctly classified and that provisioning is adequate. To identify weaknesses in the implementation of supervision, the government completed a diagnostic evaluation in 2000. Based on this, a multi-year "Supervisory Development Plan" was approved by the Bank Board of the NBS in December 2001. The plan is based on risk-oriented banking supervision and the integration of off- and on-site supervision. Implementation requires the hiring of new staff, the creation of a training programme and the improvement of the supervisory information system. It is essential to implement this plan to ensure that the NBS has the necessary human and financial resources for adequate bank supervision.[66]

Another priority is the rapid resolution of the SKK 117 billion of non-performing loans carved out of the three major banks and now held by the SKA.[67] The strategy adopted by the authorities includes sales of pools of loans to investors and auctioning of individual loans to smaller investors. The government has established a target to sell, place under private management or write off at least half of these assets by mid-2002 and 70 per cent by the end of this year. To meet this objective, it is important that the SKA have the financial stability and transparent tendering techniques needed to attract the best qualified firms and investors for the purchase and management of its claims. To improve the governance of the SKA, the government has created an investment board, which consists of five independent members, including two foreigners. During the first half of 2001, two pilot transactions by the SKA resulted in the sale of almost 10 per cent of its portfolio, though the recovery rate was 3.5 per cent. To improve their performance in this regard, the authorities have adopted a new strategy of using joint ventures and asset management contracts with international companies. A total of SKK 60 billion is to go to joint ventures.

The non-bank financial sector

Securities markets play a very minor role in the Slovak Republic. Market capitalisation of the Bratislava Stock Exchange was only 3 per cent of GDP in 2000, the lowest in the OECD area (Figure 32). The number of listed companies whose shares are traded has fallen to around ten. The bond market is also small and dominated by government issues. Indeed, bonds of the government and the National Property Fund account for 90 per cent of the trading. During 2000, there

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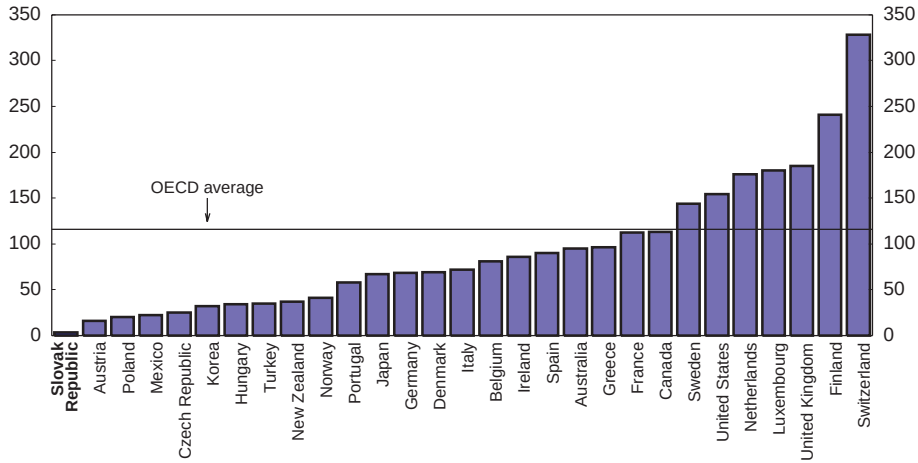
Figure 32. **Stock market capitalisation in OECD countries**
Per cent of GDP in 2000



Source: OECD.

were only 11 issues of bonds by private-sector companies, with a total value of SKK 4 billion (0.5 per cent of GDP). In addition to the small size, the number of new issuers of publicly-marketed securities and the number traded have been on a downward trend since 1997. In general, firms regard bank loans as a lower cost and less demanding method of raising money.

The small size of the capital market reflects its relatively short history and the low level of economic development, in addition to several other factors. *First*, privatisation in Slovakia was accomplished largely through direct sales rather than by selling on the stock exchange (see below), a method that was more widely used in some of the other transition economies. *Second*, the regulatory framework has been weak and shareholders have not been sufficiently protected. In a number of cases, asset-stripping by controlling insiders has damaged the interests of minority shareholders. *Third*, institutional investors, who play an important role in capital markets in many OECD countries, are largely absent, with assets of only 9 per cent of GDP (Table 25), reflecting the limited roles of pension funds and the insurance industry. However, the plan to develop a funded second pillar may lead to an enlarged role for pension funds (see Chapter II).

The rapid growth of the insurance industry may also lead to a larger role for institutional investors. Total premiums have risen at a 19 per cent average

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Table 25. **Assets held by institutional investors in selected countries**
Per cent of GDP in June 2000

	Investment and mutual funds	Pension funds	Insurance	Total
Slovak Republic	**6**	**0**	**4**	**9**
Poland	8	2	5	15
Czech Republic	8	2	9	19
Hungary	12	4	3	19
Portugal	21	11	10	42
Germany	28	13	32	73
United States	129	90	43	262

Source: Claessens, Djankov, and Klingebiel (2000).

annual rate since 1995, with the share of life insurance rising from 24 to 41 per cent. As a result, they now account for 3 per cent of GDP, though this remains low compared to the 7.5 per cent average in the EU countries and the 8.4 per cent average in the OECD. The sale of the 57 per cent government stake in the major insurance company, Slovenská Poistovna, in 2001 has strengthened competition.[68] Foreign capital in this industry has increased sharply; by the end of 2000, 19 of the 29 insurance companies were either completely or predominantly owned by foreigners and represented 42 per cent of the total capital in this sector. While the industry as a whole is profitable, 12 of the companies recorded losses, which may reflect intense competition among the relatively large number of new companies. The Financial Market Authority (FMA), which was created in 2000, is responsible for supervising the insurance industry.

Since 1996, a number of companies have been running investment funds offering extremely high returns – 30 to 50 per cent over a short time period in some cases – to attract investors. However, such companies were not legally allowed to offer financial services as they were registered as business enterprises under the commercial code. Consequently, they were not subject to supervision by financial-market regulators. The decline in the real interest rates paid on bank deposits had helped to increase interest in such companies. In addition, these companies advertised heavily in the media to attract deposits. In turn, the investments by these companies were concentrated in the media, advertising companies and real estate. In general, however, they failed to achieve the promised high returns. It is apparent that the companies operated pyramid schemes – paying the returns for existing deposits with new deposits – and could only exist as long as the volume of new deposits exceeded the promised returns to investors. This is not a new problem. According to one estimate, there were about 50 such companies during the 1990s, with an average life span of about 3½ years (Gajdzica, 2002).

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In February 2002, however, three of the largest unlicensed non-bank financial companies closed their doors and suspended payments to depositors. These companies had accumulated significant assets.[69] The closure of three large companies led depositors of other similar institutions to demand the return of their funds, which resulted in the closure of a number of such companies. Not surprisingly, the depositors in these closed institutions have demanded compensation from the government. The authorities have made it clear, however, that legal protection is limited to investments in licensed companies whose activities are subject to government supervision. In contrast, deposits in unlicensed financial companies have the status of "silent partnerships". According to the commercial code, the depositors are only entitled to returns if the company is profitable, which was often not the case. Depositors, though, may be able to recover some of their assets in bankruptcy proceedings.

The Securities and Investment Services Act, which took effect in January 2002, makes all companies that accumulate funds from the public and uses them for any business purposes subject to government supervision. However, the new Act has no impact on existing unlicensed non-bank financial companies, since the retroactive use of the Act would be inconsistent with the Slovak Constitution. This Act requires such companies established since the beginning of 2002 to present their investment plan to the FMA, which then monitors and supervises their activities. The companies are obliged to publish a prospectus, also approved by the FMA, which clearly states that the returns are not guaranteed. The authorities can outlaw the publication of a prospectus if there is doubt about its veracity. Finally, the companies are required to report information on their financial position to the FMA on a semi-annual basis. Monitoring of this information should help prevent companies from paying returns from new deposits.

Restructuring the enterprise sector

The health of the financial sector is closely linked to that of the enterprise sector. The absence of creditor discipline has contributed to the slow transformation of the enterprise sector and the mismanagement of a large number of enterprises. The delayed restructuring of such firms, in turn, kept the banks' non-performing loan ratio at a high level. The reforms implemented since 1999, which are outlined below, have promoted the restructuring of the enterprise sector. Further progress requires completing the privatisation programme and ensuring a healthy business climate through strengthening competition and regulatory policy, upgrading corporate governance and improving the bankruptcy system. Such measures would also encourage inflows of foreign direct investment (FDI).

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The privatisation of state-owned enterprises

Two waves of privatisation in the 1990s boosted the private sector's share of GDP to over 80 per cent by 1998, with the 2 per cent of firms still in government hands accounting for the remainder.[70] However, the success of privatisation was diminished by the dominance of political factors and the fact that foreigners were largely excluded. Moreover, the banks and a number of "strategic enterprises" were required by law to remain in the public sector. Indeed, 1995 legislation specifically prohibited the privatisation of 26 companies considered to be natural monopolies, including the gas utility and pipeline, the electricity generation and distribution companies, the postal system, telecommunications and the railways.[71] These strategic enterprises have exerted a large influence on economic growth, financial conditions and employment.[72] For example, massive investment by these enterprises, financed by government-guaranteed loans, temporarily boosted the rate of growth and employment in the mid-1990s. Public ownership also led to lax financial discipline by allowing payment arrears for major companies, including Slovak Railway and public hospitals. In addition, it encouraged the setting of prices well below the cost of production, which boosted energy intensity. State control of these utilities also provided direct benefits to political leaders, such as jobs to reward allies and financial resources to channel to favorite projects and to fund political activities. Two state enterprises, Slovak Telecom and the gas utility, were obliged to provide "special transfers" in excess of their tax liability. In sum, the government's combined role of manager and regulator of these enterprises led to clear inefficiencies in these enterprises.[73] In a comparison of infrastructure in Central and Eastern Europe by the European Bank for Reconstruction and Development, Slovakia ranked last among the OECD transition economies in every category – telecom, electric power, railways, roads and water and wastewater (Table 26).

In 1999, the new government repealed the 1995 law and allowed the privatisation of some of the strategic enterprises, subject to the advice of Parliament. In the case of the gas and electricity sectors, though, it was stipulated that the

Table 26. **Infrastructure in OECD transition economies**[1]

	Telecoms	Electric power	Railways	Roads	Water and wastewater
Slovak Republic	**2+**	**3**	**2+**	**2+**	**2+**
Czech Republic	4	3	2+	2+	4
Hungary	4	4	3+	3+	4
Poland	4	3	4	3+	4

1. Four-point scale with 4 the best score.
Source: European Bank for Reconstruction and Development (2001).

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Table 27. **The privatisation of state-owned enterprises**
Millions of Slovak koruna[1]

	Purchase price	Per cent of GDP	Book value	Purchase price as share of book value	Investment[2]
1992	11 553.7	n.a.	11 350.7	101.8	705.1
1993	3 838.2	1.0	4 046.1	94.9	188.1
1994	8 780.6	1.9	17 818.4	49.3	7 507.7
1995	12 226.8	2.2	35 878.1	34.1	6 064.5
1996	10 039.7	1.7	37 080.8	27.1	4 353.3
1997	3 325.4	0.5	14 589.3	22.8	410.5
1998	2 041.8	0.3	8 316.0	24.6	1 226.0
1999	17 500.0	2.1	n.a.	n.a.	0
2000	42 000.0	4.7	n.a.	n.a.	17.5
2001	34 300.0	3.6	n.a.	n.a.	n.a.

1. Revenues obtained through direct sales, public tender and auction. The sales are classified by the date when the contract was signed. Millions of Czechoslovak koruna in 1992.
2. Investment made by the new owner as part of the contract.
Source: Slovak National Property Fund.

state must maintain a permanent share of at least 51 per cent. The privatisation of other enterprises, notably the railways and the post, remains forbidden. The government announced in 2000 a list of 60 state-owned enterprises to be privatised. One of the most important was the sale of a 51 per cent stake in Slovak Telecom to Deutsche Telekom in 2000, with the government and the National Property Fund holding the remaining shares.[74] This sale helped to boost privatisation revenue to a record 4.7 per cent of GDP in 2000 (Table 27). Privatisation focused on the sale of large banks in 2001, as discussed above. The most important steps in 2002 – the sale of the gas utility and electricity generation and distribution companies – are discussed below. Also included in the plan for 2002 is the sale of Slovak Waterworks and 17 municipal bus companies. Most of the other projects, such as a shipyard, some forestry enterprises and a medical spa, are relatively small. A final issue, which is discussed below, is the loss-making railway company.

The gas utility

The sale of a 49 per cent stake in the gas utility Slovensky plynarensky priemysel a.s. (SPP), with total assets of SKK 52 billion (5 per cent of GDP) and revenue of SKK 77 billion, is the largest privatisation in the history of the Slovak Republic.[75] Following the 1999 legislation authorising its sale, SPP was transformed into a joint-stock company and a privatisation adviser was chosen. It was decided to privatise the company by a direct sale through an international tender to a single company or consortium, an approach expected to yield the highest price. Indeed, the price was the most important priority, receiving a weight of 75 per cent in the tender criteria, with compliance with the strategic interests of Slovakia and the

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possibility of later increasing the state's ownership share included as secondary considerations. The official announcement of SPP's privatisation in August 2001 set the end of February 2002 as the deadline for offers. Three foreign companies were expected to bid.

In the event, only one bid – by a consortium of French and German companies – was made at a price of SKK 130 billion ($2.7 billion). The privatisation process was complicated by public opposition to the sale by several parties in the governing coalition. Nevertheless, the sale of SPP was approved by the cabinet in March 2002, demonstrating Slovakia's commitment to economic reform.[76] Although the new owners are limited to a 49 per cent share, they will have management rights. In the short term, the substantial sale price – approximately equal to 13 per cent of GDP – provides a large capital inflow that eases concerns about the financing of the current account deficit in 2002. Over the longer term, there are many other benefits. F*irst*, the sale provides the revenue to accelerate reform of the pension system and a reduction in public debt (see Chapter II). S*econd*, the sale of nearly half of SPP to a strategic foreign investor limits the scope for the political influence and interference that proved to be problematic in the past. T*hird*, foreign ownership is likely to enhance efficiency and the quality of service, given the motivation of the private investor to earn profits. F*ourth*, it will make SPP a stronger company able to develop in the increasingly liberalised European gas market.

The government established the Regulatory Office for Network Industries (RONI) in August 2001 and it began operations in November. The scope of its responsibility is initially limited to gas, heating and electricity but may be expanded to water and other network industries as they undergo restructuring. RONI is an independent office, with a six-person governing council appointed by the president to staggered terms. The mandate of RONI includes third-party access, service quality standards and licensing of new entrants. However, authority for price regulation will remain with the Ministry of Finance until 2003. RONI has approved a "revenue cap" price regulation system for the gas industry for the period 2003 to 2005.

The electricity sector

The electricity sector underwent a major restructuring in 2001 that is paving the way for its integration into an open European market. The sector has been dominated by Slovenske Elektrame (SE), which operates the transmission network and generates 84 per cent of total power, and by three regional electricity distribution companies, which cover the western, central and eastern regions of the country. All are completely government-owned. During 2001, SE was split into a transmission company, which will remain 100 per cent government-owned, and a generating company. The government may continue to guarantee borrowing by SE

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to enable it to overcome liquidity problems. The government has approved the sale of a 49 per cent share in the distribution companies to three strategic foreign investors. The prices bid for each of the three companies was above the level expected by the government. As for the restructured SE, which no longer includes the transmission function, the government hopes to sell a 45 per cent share by the end of 2002.

The independent regulatory body, RONI, was also given responsibility for the electricity sector at the beginning of 2002. However, as with the gas sector, the Ministry of Finance retains control over pricing until the end of 2002. Electricity prices have increased 120 per cent for residential use and 22 per cent for commercial and industrial users since 1998 to bring them closer to the cost of production.[77] Overall, electricity prices were boosted 13 per cent in 2001, although no additional hikes are planned for 2002. It is important that a transparent tariff-setting mechanism be established for the electricity sector, as it would encourage interest from foreign investors in the sale of SE. The cross subsidies for household consumers at the expense of industrial users are to be phased out in 2003.

The Ministry of Economy has established a timetable for gradually opening the electricity market for competition over the period 2002 to 2005, beginning with the largest consumers.[78] However, there will only be a few eligible consumers in 2002. The development of competition in the electricity market will require the formulation of rules by RONI governing third-party access. This will be complicated by the scope for co-ordinated action between the power generator, SE, which will still be 51 per cent government-owned after the planned partial privatisation at the end of 2002, and the transmission company, which is completely government-owned. Accession to the EU will require that the Slovak market be open to international competition.

The railways

The disappointing performance of Slovak Railway constitutes a fiscal drain as well as an obstacle to economic development. Poor service is a deterrent to labour mobility and an obstacle to balanced regional development. Slovak Railway has recorded a loss every year since 1993. Although the size of its loss has been gradually reduced from the SKK 7 to 8 billion recorded annually in the period 1996 to 1998, it remained large at an estimated SKK 4 billion (0.4 per cent of GDP) in 2001. Losses reflect the fact that passenger transport prices remain well below cost-recovery levels despite a 12 per cent increase in 2001. Another contributing factor is the accumulation of large arrears from the state on payments due for public benefit performance amounting to SKK 15 billion (1.5 per cent of GDP). Consistent losses and increasingly large financial charges have boosted the stock of debt to SKK 55.5 billion (5.8 per cent of GDP). Due to lack of liquidity – the company needs loans to make its wage payments – the rollover of its debt and

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access to new credit require government guarantees. However, access to new credit merely postpones the resolution of the fundamental problem of non-viable activities and allows debt to continue to accumulate. Guarantees provided in 2001 amounted to 1 per cent of GDP.

In October 2000, the government approved a strategy for the transformation of Slovak Railway over the period 2002 to 2007 that is intended to create the conditions for the liberalisation, and eventually the privatization, of its commercial activities. The company was divided in two, with Zeleznicna Spolocnost (ZS) taking over cargo and passenger transport and other commercial activities, while Zeleznice Slovenskej Republiky (ZSR) operates the railway infrastructure network and related activities. The reform is also aimed at improving the transparency of financial operations. Most of the debt and state arrears were transferred to ZSR, while ZS is expected to operate profitably on a commercial basis. An important element in the restructuring programme is a reduction of staff of Slovak Railway, which is currently the largest employer in the country with 44 000 employees (2 per cent of total employment). Over the next five years, a decline of between 27 and 41 per cent is envisaged, with about one-third of the cut to take place in 2002, allowing a significant reduction in costs. In addition, the government plans to reduce losses through canceling some routes, selling some assets and removing subsidies for high-speed train tariffs.

Making for a healthy business climate

Creating a better climate for business has been a government priority for the past several years. This is particularly important for small and medium-size enterprises, as larger companies are better able to cope in a complicated environment. One aspect was eliminating inappropriate policies of the past, such as the 1997 Revitalisation Act. This Act, which had allowed the authorities to grant tax relief and restructuring loans to selected companies and to exempt them from bankruptcy procedures, was intended to help companies playing an important role in supporting employment or in regional or sectoral development. The abolishment of this Act in 1999 was a significant positive step. Looking ahead, the authorities face a number of challenges. In a 2001 survey of managers and analysts, over half cited weak enforcement of the law as one of the country's greatest problems.[79] Nearly a quarter cited corruption in state administration and within the judiciary. There has been more public attention focused on corruption since the Cabinet launched its National Programme to Fight Corruption in 2000. However, there is a perception, according to the survey, that the level of corruption – including that in the judicial system – is increasing and becoming more sophisticated. Another negative aspect is that entrepreneurship is linked to criminality in public opinion and this view appears to be getting stronger.

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One area of progress in improving the business climate was the reduction since 2000 in tax rates for corporations – from 40 to 25 per cent – and for individuals, which should have a positive effect on both investment and employment. In addition, measures have been taken to improve competition policy, the regulation of entry, the corporate governance framework and the bankruptcy system. Many of these policies have been only recently introduced or are still in the process of being put in place. Hence, the major challenge is to implement the new framework effectively.

Competition policy

The Anti-Monopoly Office (AMO) was established in 1991 as an independent institution. After an initial burst of activity, there was a slowdown during the period 1994 to 1998. For example, the amount of fines imposed fell 90 per cent in 1995 from the level in 1994, which has not been reached again. This may have contributed to a reported loss of human capital from the AMO (Zemanovicova, 2001). In 2001, the AMO had a staff of 73 persons and a budget of SKK 31 million.

With the implementation of the new Act on the Protection of Competition in May 2001, Slovakia now has a legislative and institutional framework for competition policy that is compatible with EU directives.[80] The new law was also aimed at strengthening the independence of the AMO, in part by giving the president, rather than the prime minister, the power to appoint its chairman. The Act, which covers both private and public enterprises, specifies actions deemed to restrict competition. In addition, it expands the list of practices considered to be an abuse of dominant position and explicitly prohibits them. The criteria for assessing mergers and acquisitions were brought into line with EU standards, with the turnover threshold for review set at 11 million euros.[81] The Act also introduces new procedures for assessing the degree of concentration of joint ventures and increases the thresholds on turnover and market share that are used to define concentration. In 2000, the AMO examined 198 cases and imposed 52 fines amounting to SKK 11.3 million for abuse of dominant position, practices restricting competition, delayed notification of concentration or failure to submit required documentation. However, the question of state aid, which can distort competition, is handled by a separate office in the Ministry of Finance.

Regulation of entry

While the "Trade Act" introduced in 1991 set the conditions for the establishment of new enterprises, there has been a tendency to exclude a widening range of activities from this Act and to submit them to special licensing regimes. Indeed, the number of subparagraphs delineating what activities are not covered by the act has doubled from the original 12. In these other activities, new entrants must satisfy special conditions, notably related to educational attainment, osten-

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sibly to protect consumers. Moreover, the role of professional and business groups in creating those conditions has been established or enhanced. The tendency of such groups, not surprisingly, is to restrict the entry of potential suppliers in order to restrict supply and obtain rents. In addition to the various permits and licenses related to the launch of a new business, other concerns include the lengthy process of official recognition of entrepreneurs and incorporation, as well as delays in change of title and rights to real estate. According to a 1998 study of 75 countries, the entry of new business in Slovakia required 12 procedures, which took an average of 110 days to complete (Table 28). This was the third longest in the OECD area and nearly double the average. Nevertheless, the average cost of these procedures was estimated at 13 per cent of per capita GDP, well below the OECD average.

Table 28. **Regulation of entry**

	Number of procedures	Safety and health	Environment	Taxes	Labour	Screening	Time (days)	Cost[1]
Canada	2	0	0	1	0	1	2	1.4
Australia	3	0	0	1	0	2	3	2.1
New Zealand	3	0	0	1	0	2	17	0.4
United States	4	0	0	1	0	3	7	1.0
Sweden	4	0	0	1	1	2	17	2.5
Ireland	4	0	0	1	1	2	25	11.5
Finland	4	0	0	1	2	7	32	1.2
Denmark	5	1	0	1	1	2	21	1.4
Norway	6	0	0	2	2	2	24	2.5
United Kingdom	7	1	0	2	0	4	11	0.6
Germany	7	0	0	0	1	6	90	8.5
Belgium	8	1	0	1	1	5	42	10.0
Netherlands	8	0	1	1	0	6	68	19.0
Poland	10	1	0	2	1	6	26	28.0
Hungary	10	0	0	2	1	7	53	81.0
Korea	11	2	0	0	2	7	46	15.6
Japan	11	2	0	2	1	6	50	11.4
Turkey	11	0	0	2	1	8	55	3.4
Spain	11	0	0	2	2	7	83	12.7
Czech Republic	11	1	0	1	1	8	97	25.1
Italy	11	1	0	3	1	6	121	24.7
Switzerland	12	0	1	1	1	9	88	13.4
Portugal	12	0	0	2	1	9	99	31.3
Slovak Republic	**12**	**1**	**0**	**2**	**2**	**7**	**110**	**13.1**
Austria	12	2	1	1	1	7	154	45.5
Greece	13	0	0	2	2	9	53	48.0
Mexico	15	2	2	2	3	6	112	57.4
France	16	0	0	3	1	12	66	19.7
OECD average	**8.7**	**0.5**	**0.2**	**1.5**	**1.1**	**5.4**	**56**	**17.6**

1. Per cent of per capita GDP in 1997.
Source: Djankov *et al.* (2000).

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The authorities have reported progress in simplifying the registration procedures by 2001, when the number of procedures was reduced to eight.[82] In addition, the length of these procedures was limited to a maximum of 70 days and the cost was reduced to 9 per cent of per capita GDP. The reform of the commercial code in January 2002 has further simplified the registration process and made it more transparent. The new rules fully implement EU directives. It is now supposed to take no longer than thirty days to officially register a new enterprise. This should encourage the creation of small enterprises, which is a government objective in Slovakia as in most countries. Given the financial constraints facing small and medium-sized enterprises, which were particularly severe in the wake of the restructuring of the banking sector, the government offers some assistance. However, the total amount – SKK 500 million[83] (0.1 per cent of GDP) – in 2001 was rather limited. Another SKK 330 million is planned for 2002. With the creation of a healthy, privately-owned banking sector, the financing possibilities for small enterprises are likely to be significantly enhanced.

Corporate governance

Internal mechanisms for corporate governance were weak due to flaws in the design and implementation of privatisation and the problems in the legal and regulatory framework for companies. At the same time, the poor lending practices of banks and the weak bankruptcy system (see below) limited the scope for external governance mechanisms. Moreover, the securities market is extremely limited in Slovakia, as noted above. However, the new regulatory agency for the capital market and the 2002 Securities Law, which was intended to improve disclosure requirements and the regulation of brokers and dealers, tighten insider trading rules and require the registration of securities, may help in that regard. The new Commercial Code, which took effect in January 2002, is also aimed mainly at strengthening the rights of minority shareholders and workers. The main elements include:

- The threshold for calling an extraordinary meeting of shareholders was reduced from 10 to 5 per cent of shareholders.
- Cumulative voting was made mandatory.
- A minimum shareholding requirement of 5 per cent for filing derivative suits was introduced.
- Representatives of labour must account for a third of the supervisory board in companies with at least 50 employees.

In addition, Slovak companies will be required to shift to international accounting standards during the next several years.

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The bankruptcy process

During the 1990s, the bankruptcy framework, which should have been the key to enterprise restructuring, was largely inoperative due to the weaknesses both in the bankruptcy system itself and in the judicial system. While bankruptcy proceedings were initiated for more than 12 000 firms, only 5 per cent were ever declared bankrupt (Table 29). More than half of the total number remain unprocessed, and a large part are unlikely to still hold any assets. The law allowed for both liquidation and composition (restructuring). However, the latter was rarely used since in most cases bankruptcy proceedings were not triggered until a company's equity was already negative, making it too late for restructuring. The liquidation option was unattractive to creditors as it took between three to seven years. The long delays allowed asset-stripping or depreciation of the value of the property in many instances. A key problem has been that trustees, with the approval of judges, often disposed of property in ways that were disadvantageous for creditors. There were even cases where the property of a company going bankrupt was purchased for a fraction of the value by the firm's original owners, hidden by a new corporate entity and in co-operation with the trustees. The complicated and non-transparent bankruptcy system discouraged the purchase of assets of failing firms by new investors. These factors were responsible for very low recovery rates of only 3 per cent for creditors.

The government began to address these serious problems in August 2000 with amendments to the bankruptcy law to provide creditors with more rights and to limit the length of the process. The new law allows creditors to initiate bankruptcy proceedings thirty days after a company defaults. The early trigger makes composition a more viable option for creditors. The new law also gives creditors a stronger role in the process, including in the selection of trustees. Those who do

Table 29. **Bankruptcy and settlements**

Number of firms

	1993	1994	1995	1996	1997	1998	1999	2000
Bankruptcy proceedings initiated	538	1 115	1 530	1 321	1 755	1 831	2 161	2 008
of which:								
Processed:	169	466	591	672	488	702	1 289	1 547
Petition withdrawal	20	104	113	–	–	–	–	–
Cessation of proceedings	85	267	388	272	275	279	451	514
Cases handed over to locally-authorised bodies	57	69	64	–	–	–	–	–
Rejection due to lack of assets	7	26	26	66	100	219	425	574
Other	–	–	–	334	113	204	413	415
Declaration of bankruptcy	11	32	74	198	427	654	665	638
Non-processed	369	649	939	2 663	3 896	5 025	5 897	6 358

Source: Ministry of Justice.

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not co-operate with the creditors can be dismissed by the creditors. Moreover, the Ministry of Justice will allow creditors to ask for a change of judges who are demonstrably incompetent. Finally, the maximum time frame has been reduced to 18 months. Despite its short history, the new mechanism has started to promote a more responsible credit culture and greater financial discipline in the corporate sector. One indication is that there has been a significant increase in the number of voluntary debt workouts, some of them initiated by the borrowers. However, there has not been a surge in bankruptcy filings, suggesting there is room for further improvement in the system.

Attracting foreign direct investment

For much of the 1990s, inflows of FDI in Slovakia were relatively low compared to neighbouring countries. The total at the end of 1999 was $2 billion compared to $14 billion in the Czech Republic, $18 billion in Hungary and $29 billion in Poland. On a per capita basis, Slovakia's inflow was only about half that of Poland, a third of that of the Czech Republic and a quarter that of Hungary. The stock of FDI increased nearly by one-half in 2000 when Slovak Telecom was privatised.

To attract greater greenfield investment, more favourable tax treatment was introduced in 2001. It grants foreign-owned firms a five-year tax holiday, beginning the first year in which they record taxable profit. This treatment is available to firms already established in Slovakia if they have yet to realise a profit. The investment threshold is between 3 million and 4.5 million euros in the manufacturing sector (depending on the rate of unemployment in the region) and 2 million in other sectors. During the five years following the tax holiday, the firm would only have to pay half of the normal 25 per cent tax rate, if additional investments were made. Whether differential tax treatment given to foreign investors constitutes a harmful tax practice is an issue still under discussion in the OECD. Tax incentives should not be regarded in any case as a substitute for improving fundamentals in helping to make the country an attractive place for investment. Moreover, this type of measures will have to be phased out when Slovakia joins the European Union. Import of advanced technologies are also exempted from paying import duties. In a related initiative, the government passed a law in 2001 to spur the creation of industrial parks as part of its efforts to attract investors. The state may cover up to 70 per cent of the municipalities' expenses in developing such parks. Another initiative to support foreign investment was the Investment Incentives Act introduced in January 2002, enabling the government to exempt large investments from income tax for 10 years and to offer a subsidy of between SKK 30 000 and 160 000 – an amount equal to the average annual wage – for each job created by new investment. The size of the subsidy depends on the rate of unemployment in the area where the investment is made. Finally, according to the Act, the government may offer investors a subsidy of up to SKK 10 000 per person

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for requalification of employees. However, any support under the Investment Incentives Act scheme is considered to be state aid and has to comply with EU state aid regulations, which cover such areas as maximum aid intensity and sectoral constraints. It should be noted that the Investment Incentives Act does not contain any provisions discriminating in favour of either foreign or domestic investors.

Assessment

While Slovakia has made considerable progress, further effort is essential in a number of structural policy areas (Box 11). Having completed an expensive programme to clean up the banking sector, the priority now is to prevent a repeat of the non-performing loan problems that undermined the health of the banks. While the foreign presence is an advantage in this regard, it is important to implement the upgraded supervisory framework. The bank supervision department in the central bank has been re-organised, although the planned increase in staff is behind schedule. Fulfilling these targets is important to accomplish the on-site examinations of four high-risk banks that are planned for 2002. The rapid growth of the insurance industry and the planned development of pension funds may lead to a larger role for non-bank financial institutions and for securities in the Slovak market. Appropriate supervision of these institutions by the recently created Financial Market Authority is important, in particular to deal with the recurring problem of unlicensed non-bank financial institutions, some of which have been operating pyramid schemes. However, given the small size of the Slovak economy in an integrated Europe, these developments do not necessarily imply the development of national capital markets within the Slovak Republic.

The disposal of the large stock of non-performing assets held by the Consolidation Agency is a difficult task. Further improving the bankruptcy framework would be helpful in this regard. A commission is preparing a new insolvency law that would strengthen the institutions overseeing the process and create a regulatory framework governing the trustees. The government has also taken steps to reform the collateral regime. An adequate judiciary system to implement the legal framework is an indispensable part of an effective bankruptcy system, as well as of a market economy more generally. In particular, it must be able to enforce contracts and obligations fairly and without favouritism and within reasonable time limits that make a legal approach an effective remedy. Otherwise, economic agents may turn to other methods to enforce agreements. Moreover, the judicial system must be capable of detecting and punishing economic crimes, such as fraud and embezzlement. According to the Ministry of Economy, however, the investigators, prosecutors and courts have thus far "been reluctant in an overwhelming majority of cases to act" against economic crime under existing laws. One aspect of reform is to provide sufficient resources, including personnel, to the legal system.

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Box 11. Summary of structural policy recommendations

The financial sector

- Strengthen prudential supervision of banks by upgrading the skills and increasing the resources of bank supervisors in line with the Supervisory Development Plan, thus allowing more on-site examinations.
- Harmonise bank accounting standards with International Accounting Standards and improve the auditing of banks.
- Reform the Deposit Insurance Fund in order to avoid financial deficits in the future, while raising the level of coverage to EU standards.
- Strictly enforce the new Prompt Corrective Action framework to prevent a recurrence of insolvency problems in the banking sector.
- Upgrade supervision of the capital markets and the rapidly-growing insurance industry by the Financial Market Authority.
- Implement the Securities and Investment Services Act to improve the non-bank financial sector, in part by closing companies operating pyramid schemes.
- Ensure the financial stability, good governance and transparent tendering techniques by the Slovak Consolidation Agency to facilitate the disposal of bad assets that it has acquired from the banking sector.

Privatisation of state-owned enterprises

- Follow through on the privatisation of the remaining state-owned enterprises. This should include the remaining companies from the list of sixty identified for sale in the 2000 plan, notably Slovenske Elektrarne (SE).
- Consider selling part of the 51 per cent share still held by the government in such companies as SPP and Transpetrol to the strategic investors who have already been granted management rights.
- Accelerate rationalisation of Slovak Railway, including reductions in labour costs and the closure of some lines, to reduce the burden on the state budget and to resolve the problem of accumulating arrears.

Competition policy

- Ensure that the Anti-Monopoly Office has the independence and resources necessary to implement the 2001 Act on Protection of Competition, which brings the legal framework in line with EU directives.
- Promote co-operation between the Anti-Monopoly Office, the Regulatory Office for Network Industries and the office of state aid in the Ministry of Finance to strengthen competition.
- Use the newly-established Regulatory Office for Network Industries, which is responsible for third-party access, service quality standards and licensing of new entrants, to enhance competition in the recently-privatised network industries. From 2003, this office will also be responsible for price regulation.

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Box 11. **Summary of structural policy recommendations** (*cont.*)

Regulation of entry

- Simplify the company registration process to achieve the goal of limiting the process to a maximum of thirty days.
- Monitor the qualification criteria imposed by professional and business groups to ensure that they do not act as entry restrictions.

Corporate governance

- Enforce the new Commercial Code introduced in 2002, which will, among other things, strengthen the rights of minority shareholders.

The bankruptcy system

- Further improve the bankruptcy framework, in part by granting greater rights to creditors, in order to promote more efficient liquidations, facilitate restructuring of distressed enterprises and enhance financial discipline.
- Expand the institutional capacity of the judiciary system to handle bankruptcy cases and impose greater transparency, accountability and predictability in the system.
- Create a suitable framework to govern the qualification, training, appointment and monitoring of trustees.

Promote entrepreneurship

- Develop a good business climate and enhance labour market flexibility to attract greater amounts of greenfield foreign direct investment.

Labour market

- See box of recommendation in Chapter III.

The strong opposition to the sale of strategic industries, notably the gas and electricity utilities, was overcome by a legislative compromise limiting the sale to 49 per cent. Such a ceiling may also have helped restrict the size of capital inflows in any given year, thereby avoiding destabilising monetary conditions and easing the amount of sterilisation required by the central bank. However, the economic rationale for requiring the state to maintain a permanent majority ownership position, while granting management rights to strategic investors, is unclear. In essence, Slovakia forgoes an important financial reward, which could be used to advance structural reforms of the social security system and reduce government

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debt, while still giving up management control. It is argued that a majority share is required to protect Slovakia's national interests. However, the Regulatory Office for Network Industries (RONI) would seem to be well placed to deal with such concerns, given its mandate to ensure proper development of network industries. The fiscal drain caused by Slovak Railway is another concern. The recent division of the Company in two and the planned reductions in staff should improve its financial results while enhancing the transparency of financial operations. However, much remains to be done to reduce the debt and associated financial costs and to improve the economic viability of the service. The latter probably requires progress in defining an overall transport policy.

The surge in foreign direct investment related to the privatisation of the banking and energy sectors may spark investor interest in other parts of the Slovak economy, while the new tax incentives may have a positive impact. Such schemes, though, raise questions about equal treatment since domestic firms pay a 25 per cent income tax rate while foreign-invested firms pay nothing. In any case, such incentives are to be removed as part of the EU accession process. While the removal of similar incentives in neighbouring transition economies will result in a level playing field, it may change the relative attractiveness of the region relative to emerging markets elsewhere, although membership in the EU will be a big plus. The objective of attracting greater amounts of FDI in such an environment makes it even more important to develop a good business climate and to ensure adequate labour market flexibility, as discussed in Chapter III.

Implementing the improvements in the corporate governance framework and ensuring that the entry of new firms is simplified as planned are two elements that will create a more favourable business environment. Competition policy also has a major role to play, notably in protecting competition and promoting its development. The task is complicated by the fact that many companies focused on seeking rent and special favours from the government during the period of delayed restructuring. With the legal framework aligned with EU directives, the major challenge is to implement an effective and active competition policy. To protect and promote competition, it is important to ensure the independence of the Anti-Monopoly Office, avoid frequent changes in leadership and increase its capacity as necessary. The AMO will need to be alert to new practices that limit competition in the wake of the extensive restructuring and privatisations during the past few years. Given the impact of state aid on competition, it may be useful to combine the state aid office with the competition authority, as has been done in some other OECD transition economies and is under consideration in the Slovak Republic. Finally, it will be important to continue the close co-operation between the AMO and RONI. However, this may be difficult to sustain unless the AMO is given a clear legislative mandate to submit views on the costs and benefits of specific regulatory decisions.

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Notes

1. Slovakia had been downgraded in 1998. Standard and Poors raised Slovakia's rating to investment grade in October 2001. It was followed in November by Moody's, which raised Slovakia to Baa3, the lowest investment grade. However, a third agency, Fitch, still rates Slovakia one step below investment grade.
2. These bonds were issued in place of vouchers at the time of the second wave of privatisation so that citizens would be able to get cash rather than property. Roughly half of households sold their bonds on the secondary market to financial institutions prior to their redemption.
3. In 2001, fuel prices slowed core inflation by 0.7 percentage point and headline inflation by 0.4 percentage point. Core inflation slowed from 5.7 per cent in 2000 to 4.3 per cent in 2001, while headline inflation decelerated from 12.0 per cent to 7.3 per cent.
4. Europe, including the countries in the Central European Free Trade Area (CEFTA), accounts for over 90 per cent of Slovak exports. The 12.9 per cent growth in exports (in Slovak koruna value) to the EU in 2001 was slightly above the 10.6 per cent rise to CEFTA, which includes the Czech Republic, Poland, Hungary, Bulgaria, Romania and Slovenia, despite the relatively high economic growth rates recorded in CEFTA. This may reflect the fact that major foreign-owned producers, such as Volkswagen and US Steel, are aimed at the EU market.
5. Export performance is the ratio between the growth of export volume and export markets for total goods.
6. However, the share of short-term liabilities in total debt is lower at 27 per cent.
7. Potential output growth appears to be in the range of 4 to 5 per cent. Inflation in the range of 3 to 4 per cent would produce nominal growth of 7 to 9 per cent. The current account deficit that stabilises net debt as a share of GDP depends on the initial size of the net debt and the growth of nominal GDP.
8. This includes public administration and defence, education, health and social work and other community and social services, including public works.
9. OECD projections are made on the basis of unchanged exchange rates, except in the case of some high inflation countries.
10. Purchasing power parities with a 1999 benchmark are used. For a description, see P. Schreyer and F. Koechlin (2002).
11. Two other motivations for the new Act were to harmonise the legal framework with that of EU countries and to create a framework for bank supervision that complies with Basle principles.
12. The National Bank of Slovakia has announced the objective for the country to join the European Economic and Monetary Union by 2007.

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13. Such reserves accumulate interest at a fixed rate of 1.5 per cent. The reduction in the requirement will be accompanied by a modification of reserve base calculation and the introduction of market-related remuneration in 2004.
14. Year-on-year increases in December of each year.
15. The negative real interest rates on bank deposits during the last few years prompted the emergence of non-bank financial institutions offering extremely high returns to attract investors. In fact, many of these institutions are pyramid schemes. A number of these institutions closed in early 2002 (see Chapter IV).
16. Calculated relative to the currencies of 41 other countries.
17. The average daily volume of currency traded in the first ten months of 2001 was $356 million, with spot transactions averaging $55 million and futures and swap operations accounting for the remainder.
18. The GFS methodology is used in the Staff Monitored Programme (see Box 1), except for the exclusion of the operations of the National Property Fund. This results in some discrepancy in the accounts with respect to those produced by the Slovak authorities.
19. The 7 per cent surcharge, which was introduced in June 1999, was lowered in January 2000 to 5 per cent and to 3 per cent in July 2000, before being eliminated in January 2001.
20. As explained in Chapter III, social assistance includes two programmes – *social support* and *social assistance*. This chapter will use the latter term to refer to both programmes.
21. Three of the five health insurance funds are privately-owned. These funds, though, play only a minor role.
22. Since the fiscal performance of state funds, social security funds and local governments is, at this stage, only known from below the line, there is a risk that imbalances might be accumulated in the form of arrears and emerge only in years ahead.
23. According to the preliminary conclusion of the IMF mission in March 2002 to review the Staff Monitored Programme, the deficit could exceed 5 per cent of GDP. On an ESA95 basis, however, the OECD Secretariat estimates that the deficit may remain close to its 2001 level of 6.4 per cent of GDP.
24. Current practice is based on a broad interpretation of Article 40 of the Constitution. It guarantees citizens "the right to free healthcare and medical equipment for disabilities". But since Article 40 also specifies that "on the basis of medical insurance under the terms to be laid down by law", it should be possible to make legal changes to define those services that are fully covered by a basic insurance benefit package.
25. There are currently five funds, of which the two public funds are dominant.
26. Poland embarked on the path towards a model of competing funds but seems to be making a 180-degree turn towards a model with a single national fund. The reform experiment that began in 2000 encountered many difficulties. This was because of the absence of a clearly defined basic benefit package, insufficient risk equalisation, weak regulation and governance of regional funds and a vast diversity of contractual arrangements with service providers that were variously perceived by the public as chaotic and as depriving them of access to needed care.
27. The split between GPs and specialists is roughly 40:60 in Slovakia.
28. The transition process of state healthcare institutions is expected to be completed by January 2003. Of the 77 state-run hospitals (type I, II and III) only 15 will remain under the jurisdiction of the Ministry of Health (type III {regional} hospitals and university

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hospitals). Fifteen hospitals will be transformed from state-run into not-for-profit institutions. The remaining 45 hospitals, type I (municipal) and type II (district), will be transferred to the jurisdiction of local governments. This transformation will also enable these institutions to seek financing from sources other than health insurance funds.

29. See OECD (1994), OECD (1997) and OECD (1999*d*).
30. See Revenga *et al.* (2000).
31. However, the incidence of long-term unemployment is significantly higher for those with primary education than for those with tertiary education.
32. Women can retire between the ages of 53 and 57, depending on the number of children born, while the minimum retirement age for men is 60. The government has recently introduced legislation to gradually increase the age for women to 60.
33. The statistics on vacancies are thought to give an accurate indication of job availability because employers have a legal obligation to report vacancies and because active labour market policies, such as wage subsidies and loans, depend on such reports.
34. It may also suggest an increasing unwillingness of employers to hire from the pool of registered unemployed.
35. See Boeri *et al.* (1996).
36. To encourage people to accept jobs, a guaranteed labour income set at 20 per cent above the Minimum Subsistence Income was introduced by topping up earnings with social assistance when necessary. However, this measure was repealed in January 2001.
37. The unemployment insurance fund, which is administered by the NLO, is separate from the state budget. However, the NLO's annual budget has to be approved by Parliament. Moreover, only Parliament can change the level of benefits and eligibility conditions. The director general of the NLO is appointed by the Minister of Labour, Social Affairs and Family, who also serves as chairman of the NLO's Board of Directors.
38. The United States substantially reformed its welfare system during the 1990s with a view to increase the labour market involvement of welfare recipients. Although the impact of the reform is difficult to separate from the benefits of strong sustained growth, poverty rates declined throughout the 1990s, as did the number of welfare recipients. The Australian government introduced in 1998 the "Mutual Obligation Initiative", which is targeted at workers aged 18 to 35. It has been extended in 2001 to the unemployed between the ages of 35 to 49. Workers are proposed a menu of activities and asked to work for six months out of every year in unemployment. Failure to accept work makes the unemployed liable to penalties, including loss of income benefits. The programme is seen as very successful in reintegrating workers into activity (see OECD, 2001*a*).
39. Other estimates vary within a wider range of between 60 000 and 180 000 persons, or between 11 and 35 per cent of unemployed workers.
40. The National Labour Office has presented to the Ministry of Labour, Social Affairs and Family a set of measures, including legislation, aimed at curbing such underground employment.
41. This would lower the sickness insurance contributions for all workers, including the unemployed, whose contributions are paid out of the unemployment insurance contributions of workers.
42. The low figure reflects the fact that most income support for the unemployed is provided through social assistance, which is not included as labour market expenditure.

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43. Were the NLO to have insufficient funds to pay for passive policies, the government would provide loans.
44. Participants receive a benefit that is slightly higher than that offered by unemployment insurance during the training, which usually lasts between a few weeks and a couple of months.
45. According to one study (Martin, 2000), "Most evaluations show that subsidies to private-sector employment have both large dead-weight and substitution effects".
46. If the unemployed fall ill during the "protection period", they can receive the sickness benefit from their former employer. After this period, no benefit is provided despite the premium paid by the NLO.
47. This does not include those who commute to work in different regions, which, in any case is relatively low in Slovakia.
48. It should be noted that international comparisons of regional mobility are inherently difficult to make.
49. The high rate of home ownership in the Slovak Republic may also reduce mobility and boost the unemployment rate. A number of studies have found a positive relationship between the rates of unemployment and home ownership. See Bover *et al.* (1989), Hughes and McCormick (1987) and McCormick (1997).
50. Eligibility requires twelve months on the unemployment register or six months for students after school graduation.
51. If a firm wishes to terminate the employment contract of a trade union member, it must gain the approval of the trade union. If such approval is not given, the employer can request the Labour Inspectorate for approval.
52. The survey, which was conducted by the European Bank for Reconstruction and Development and the World Bank (see Revenga *et al.*, 2001), is consistent with the findings of an OECD survey of the Visegrad countries conducted in 1995 (see Lageman *et al.*, 1996).
53. See OECD (1994).
54. According to an OECD survey conducted in 1996, excessive social security contributions together with lack of credit and difficult administrative start-up procedures were the main obstacles to the creation of new businesses. See Lageman *et al.* (1996).
55. Revenue up to SKK 0.5 million is taxed at 2 per cent, SKK 0.5 to 1 million at 2.25 per cent, and SKK 1.0 to 1.8 million at 2.5 per cent. In addition, firms adopting the simplified system are exempt from bookkeeping and reporting obligations.
56. OECD (1999*d*).
57. Loans are classified as *standard* and *special mention*, which are less than 90 days overdue. Non-performing loans included *substandard* (more than 90 days overdue but not classified as doubtful or loss), *doubtful and litigious* (overdue by 91 to 359 days) and *loss* (overdue by more than 360 days).
58. Všeobecná úverová banka (VUB), Slovenská sporitelňa (SLSP) and Investičná a rozvojová banka (IRB).
59. According to some experts, "Investment activity in some banks was used as an instrument to finance political parties" (Barto and Kmet, 2000).
60. In January 2001, 87 per cent of SLSP, the largest bank, was sold to a foreign investor. One month later, the European Bank for Reconstruction and Development and the International Finance Corporation each acquired 12.5 per cent shares in VUB, the

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second-largest bank. In June, a 69 per cent stake was sold to a foreign investor. Finally, IRB was sold to a foreign investor in April 2002.

61. Excluding two branches of foreign banks.

62. In particular, the maximum period of conservatorship has been reduced from two years to one, and conservators are now obliged to preserve the assets and property of the institutions in order to limit claims on the DIF. In addition, the central bank has been empowered to impose precise guidelines on conservatorships.

63. The only exceptions that require the approval of the MOF are the establishment of a home savings bank and an application of an existing bank to enter the mortgage banking business.

64. These figures exclude the Konsolidačná banka, a state financial institution for workouts, which was dissolved in January 2002. Including this bank, the share of classified loans was 22 per cent. The statutory successor of Konsolidačná banka is Slovenská Konsolidačná, a non-bank agency for problem loans.

65. The experience of the Investicni a Postovni Banka (IPB) in the Czech Republic illustrates that foreign ownership is not a cure-all for problems in bank management (see OECD, 2001*c*). This bank, formerly one of the four large state banks, was sold to foreign investors in 1998. In mid-2000, though, it had to be placed under forced administration by the central bank. The full cost of the IPB losses may amount to as much as 5 to 10 per cent of GDP (Wagner and Iakova, 2001).

66. Implementation of this plan and the increase in the number of examiners is one of the conditions of a Staff Monitored Programme agreed to with the IMF. Another condition was to conduct on-site examinations of at least four banks identified as high risk and implement corrective action plans. The Slovak authorities also agreed to settle the issue of the institutional location of bank supervision. In the end, it was decided to leave it with the central bank until 2005 rather than move it to the Financial Market Authority (FMA), which was established in the Ministry of Finance in the autumn of 2000. Hence, until 2005, a two-pillar supervisory framework will continue, with the NBS responsible for the banking sector and the FMA responsible for the insurance industry and the capital market. A Co-ordinating Commission consisting of members of the NBS, MOF and FMA is to be created to establish, by the end of 2004, the legislative and technical framework for the integration of all supervisory functions in one institution.

67. In July 2001, the Konsolidačná banka transferred SKK 22 billion of such loans to the Slovak Consolidation Agency. This move was aimed at increasing management efficiency since both institutions had common borrowers. Moreover, given the scarcity of workout skills in Slovakia, combining this effort in one institution is likely to be more efficient. As noted above, the Konsolidačná banka was dissolved in January 2002, as it did not meet the criteria to operate as a bank under the new bank act.

68. This company will lose its monopoly in car insurance and in on-the-job accident insurance in 2002.

69. According to one estimate, these assets reached SKK 20 billion (2 per cent of GDP), double the amount invested in the mutual funds of licensed asset management companies (Gajdzica, 2002).

70. The first wave was based on voucher privatisation. Each citizen had the right to purchase a voucher book for 1 000 koruny, with 1 000 coupons that could be invested in the enterprises selected for privatisation. Concerned that this was resulting in an excessively dispersed ownership structure, the second wave of privatisation was based

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largely on direct sales. For details, see Niznansky and Reptova (1999) and Marcincin (2000).

71. The law on large privatisations also forbid the privatisation of six companies producing armaments and general machinery, two pharmaceutical firms and 12 enterprises involved in agriculture, forestry and water management.

72. The previous government even initiated a national referendum in 1998 to support a proposed constitutional ban on the sale of these strategic industries. However, the referendum was ruled void as voter turnout was less than one-half.

73. Such problems are described in Pazitny (1999).

74. As part of the restructuring of this sector, the monopoly of Slovak Telecom in the local and international markets will end in 2003. Moreover, Deutsche Telekom is required to invest 1 billion euros in Slovak Telecom's core business and complete full digitalisation of the fixed network by the end of 2004.

75. Natural gas is accessible to 85 per cent of the population, the highest proportion in the OECD area after the Netherlands.

76. At the end of 2001, the government sold a 49 per cent stake in Transpetrol, the oil pipeline, to a Russian company. The new investor promised to boost the utilisation of the pipeline from 40 per cent of capacity at present to 100 per cent by 2006. The government maintains a majority stake as a guarantee for the protection of the strategic interests of Slovakia. The presence of a foreign investor, though, will limit the practice of using transit fees from foreign countries to subsidise the below cost sale of gas to households.

77. Meanwhile, gas prices have increased by 105 per cent for residential use and by 53 per cent for commercial and industrial users.

78. Consumers will be eligible to purchase power from alternative suppliers if their annual consumption is above 100 GWh in January 2002, 40 GWh in January 2003, 20 GWh in January 2004 and 9 GWh in January 2005.

79. This survey, by the Institute for Public Affairs (2001), is based on replies by 64 managers and 13 analysts.

80. Work is underway to supplement the new law with something parallel to the block exemptions adopted under European competition law. These changes will have important effects in terms of fine-tuning and adding greater precision to the general competition law.

81. In comparison, the threshold is set at 4 million euros in Hungary and 50 million euros in Poland, while the Czech Republic does not set a threshold.

82. There was one procedure for health and safety, two for taxes, two for labour and three for screening.

83. Of this amount, SKK 200 million was from the state budget, SKK 200 million from the EU under the PHARE programme and SKK 100 million from commercial banks.

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Annexe I

Chronology of recent events

2001

January

The government issues SKK 83.7 billion in special Treasury bonds to replace state guaranties in the portfolios of three restructured banks, Všeobecná úverová banka (VUB), Investičná a rozvojová banka (IRB) and Slovenská sporitelňa (SLSP).

An 87.2 per cent stake in Slovenská sporitelňa (SLSP), the country's largest commercial bank, is sold to Erste Bank of Austria for SKK 17.7 billion.

The import surcharge introduced in May 1999 is phased out.

February

Parliament passes an amendment to the Slovak constitution allowing the decentralisation of public services and the establishment of regional self-governments.

Regulated prices are increased for a number of items, including electricity (25 per cent for households and 10 per cent for business) and gas (25 per cent for households, 15 per cent for retailers and 30 per cent for large customers). In addition, prices for rail transport are raised by 15 per cent, bus transport by 20 per cent, postal services by 9.9 per cent, water and sewage by 20 per cent, housing rents by 45 per cent and heating by 20 per cent.

March

The government approves the establishment, effective in January 2003, of a regulatory body for energy.

The National Bank of Slovakia cuts official interest rates by 25 basis points. This lowers rates to 6 per cent for overnight sterilisation operations, 9 per cent for overnight refinancing operations and 7.75 per cent for the two-week REPO rate.

The government introduces new bills on the civil and public services, as well as the draft of a new labour code.

The government issues a statement of economic policies in the context of a Staff Monitored Programme with the International Monetary Fund.

April

Parliament amends the Act on the National Bank of Slovakia and the Banks Act in order to harmonise the legal framework with the EC *acquis communautaire*.

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May

Four chapters of the *acquis communautaire* required for EU accession – telecommunications, company law, free provision of services and social policy and employment – are provisionally closed.

June

Two chapters covering the free movement of people and capital are provisionally closed as part of the EU accession process. A two-year transition period, renewable for three years and then two years, is agreed to in the chapter governing the movement of people. A seven-year transition period is established for the sale of farms and forestland to EU citizens.

The government adopts an IMF Staff-Monitored Programme, which is a pre-condition for receiving a World Bank Financial Sector Adjustment Loan (EFSAL).

The IMF staff approves the statement of economic policies made by the Slovak government in March 2001.

July

Parliament approves the creation of eight regional self-governments.

September

The World Bank extends a Financial Sector Adjustment Loan (EFSAL) of EUR 200 million with maturity of 14 years and a five-year grace period. The facility is designed to help the government finance its bank-restructuring programme.

The National Bank of Slovakia declares Devin Bank, a medium-sized financial institution, insolvent and starts liquidation procedures.

The customs tariff on imports for personal use and priced between EUR 175 and EUR 250 is lowered from 5 to 4 per cent.

October

Standard and Poor's upgrades Slovakia's sovereign debt to investment grade. The rating on long-term foreign currency denominated debt is boosted to BBB- from BB+, while that for long-term domestic currency debt is raised to A– from BBB+.

November

A 94.5 per cent stake in Všeobecná úverová banka (VUB), Slovakia's second largest bank, is sold to Italy's IntesaBCI. The preliminary purchase price is set at SKK 23.7 billion.

Moody's upgrades the rating for sovereign foreign currency bonds and notes from Ba1 to Baa3 and for foreign currency bank deposits from Ba2 to Ba1.

The National Property Fund completes the redemption of privatisation bonds issued in 1996 and held by domestic residents.

December

With the agreement on the chapter on financial control, 22 of the 31 chapters required for EU accession are provisionally closed.

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The 2002 state budget is approved with a deficit ceiling of SKK 38 billion.

Elections are held for chairmen and deputies of the eight new regional self-governments.

2002

January

The corporate income tax rate is cut from 29 to 25 per cent, while personal income tax rates are reduced from 42 to 38 per cent at the high end and from 12 to 10 per cent at the low end. The number of brackets is lowered from seven to five.

The excise tax on tobacco is raised from 29.4 to 32 per cent while the price of gas for business increases by 19.3 per cent.

February

The World Bank grants a credit line of USD 23.5 million, to be released over five years, for reform of the administration of social benefits.

The government approves the Act on Social Security, which permits the opening of individual accounts, a first step toward reform of the pension system.

March

The sale of natural gas monopoly Slovensky Plynarensky Priemysel (SPP) to a consortium of Ruhrgas of Germany and Gaz de France for a price of USD 2.7 billion is approved.

April

The new labour code and Civil Service and Public Service laws take effect.

The National Bank of Slovakia increases interest rates by 50 basis points, thus boosting the two-week REPO rate to 8.25 per cent, the overnight sterilisation rate to 6.5 per cent and the overnight refinancing rate to 9.5 per cent.

The excise tax on cigarettes is hiked from 32 to 36 per cent.

The chapter on transportation – the 24th in the EU accession process is provisionally closed. A two-year transition period will be granted to Slovak companies when they start operating in the unified market.

The Anti-Monopoly Office approves the sale of a 66.8 per cent stake in Slovenska Poistovna (SP), the largest Slovak insurer, to Allianz AG of Germany at a price of EUR 114.9 million.

Hungarian savings bank OTP Bank becomes the owner of 92.6 per cent of Investičná a rozvojová banka (IRB).

May

The sale of 49 per cent shares in each of the three electricity distributors is approved. Zapadoslovenska Energetika (ZSE) is sold to EON of Germany for EUR 330 million, Stredoslovenska Energetika (SSE) to électicité de France for EUR 158 million and Vychodoslovenska Energetika (VSE) to RWE Plus of Germany for EUR 130 million.

Parliament passes a child allowance law, effective in July 2002, which does not require testing of family income.

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The government approves a timetable for adjusting tobacco excise taxes to the EU level of 57 per cent over a five-year period. By December 2008 a fixed-rate tax of EUR 64 per 1 000 cigarettes will be introduced.

Parliament passes a law increasing parental allowances from SKK 2 740 to SKK 3 790, effective in November 2002.

The government approves a 5 per cent increase in pension benefits, effective in July 2002.

The government agrees to sell 49 per cent stakes in four bus companies (SADs) to private investors for a total of SKK 488 million.

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